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Q1. Explain the concept of economic growth and economic development. How do indicators like national income and per capita income measure a country's progress? Highlight their limitations in reflecting holistic development. (800 words)

Ans. Economic activity is essentially an attempt to strike-out a balance between unlimited wants and scarce resources. A nation consists of many economic ecosystems which impact the lives of its citizens. So, to calculate the change in economic activity and its impacts over a specific period of time, economists came up with concepts of economic growth and development.

Both are similar concepts but differ largely in their perspective, scope, measurement and implications for a nation.

Economic growth is the change in the total value of goods and services produced in a period of time compared to a base year. It is a quantitative parameter to gauge a country's improvement. Some of the methods used to measure economic growth are Gross Domestic Product, Gross National Product etc. Economic Growth basically measures the scale of economic activity going on in a country. It constitutes factors like infrastructural development, jobs created, exports etc.

While economic development is more of a qualitative parameter to measure a country's journey for its betterment. It focuses on evaluating the overall well-being of individuals. Economic growth is mere a subset of economic development. It measures the improvement in factors like education, healthcare, access to resources etc and checks if issues like illiteracy, high mortality rate are waning over a period of time. Economic development focuses on human factor more than money factor. Some tools to measure it are Human Development Index, Gross Happiness Index etc.

National Income and per capita income are important indicators of economic growth. National Income is the total value of products and services generated in a country over a period of time. Higher national income means an increased production and economic strength. It also tells the size of economy and production capacity of a nation.

Per capita Income is national income divided by the total population. It shows the living standard of inhabitants of a country. It determines the average income for each individual. In most scenarios, more per capita income means better access and availability of resources.

Although there are some anomalies when it comes to relying on indicators like national income and per capita income. For example, if there was an earthquake in a country and considerable work went into repairing roads, and buildings, and restoring the damage caused. In this case, national income could falsely appear to have increased while it is a setback not progress. Indicators like National income and per capita income do not bother about lives lost or injuries.

Some of the limitations of national income and per capita income are:

a. Hiding inequality—These indicators do not account for the distribution of income in an economy. World Inequality Labs reported that the top 1% rich in India have 22% income while the bottom 50% have only 15% income. Even if a country's per capita income is high, it does not ensure everyone's access to resources.

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b. Not taking informal economy into consideration- In a big country like India many economic activities are informal in nature. There is no much data available about this and is often missed in computation of national income.
c. Does not recognize some important services- Work done by housewives or volunteer works etc. which do not involve the exchange of money is not considered in national income but are instrumental in final output generation.
d. Sustainability- Factors like sustainability, consideration for environmental damage is the need of the hour. Unfortunately, they are not considered but are very important for all around well-being of individuals.
e. Fails to take overall well-being of individuals into account.

Economic growth and development are two important factors of a nation's progress. One focuses on the expansion of economic activities and its output while the other is concerned with the expansion of people's entitlements such as education, nutrition etc.

Indicators like national income and per capita income are useful to some extent and display how a country is positioned economically but they fail to paint a more holistic picture.

To balance the two, a term was used in India's 11th Five-year Plan (2017-2012) - Inclusive growth. It means delivery of core public services while maintaining rapid growth. More balanced approach is the way to go and adopting that can ensure wide reach of nation's progress.

Q2. In the context of Amrit Kaal, critically examine the significance of the informal economy in India's aspiration to become a developed nation by 2047. Highlight the challenges associated with integrating the informal sector into the formal economy and suggest measures to harness its full potential for sustainable development. (800 words)

Ans. India is set to complete 100 glorious years of independence in the year 2047. In Union Budget 2021-2022, the term 'Amrit Kaal' was used to describe the vision for the next 25 years- India from 75 years to 100 years of independence. The term translates to a golden era that brings positive results to any venture started or simply the best time to do something good.

The government's vision for Amrit kaal is to work on reforms that will lead India to become a developed nation by 2047. India is standing at a very pivotal point in its journey. This vision can only turn into a reality if all the sectors of economy are given the attention, they deserve.

India's Informal economy is one such important sector which contributes significantly to the GDP and is employer to a huge workforce. Informal Economy is the one which is not registered with the Government of India and as a result does not follow the taxation system, labor laws, social security mandates etc laid down by the government.

The significance of informal economy has been highlighted in the following points:

a. **Contribution to GDP**- Informal economy contributes around 40% of the GDP. The scale of activities involved is huge and spread across the country, which makes it a vital sector in India's growth story.
b. **Job Creation** - In a developing country like India, over 90% workforce is employed in the unorganized sector. It includes domestic help workers, factory workers, and gig workers like delivery agents for big

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companies like Zomato, Swiggy, and Amazon and the drivers for ride hailing apps. By providing livelihood to such a large population, the informal sector has a significant impact on poverty eradication.

c. **Innovation with scarce resources**- It also includes small companies and startups that are into tech innovations or solving people's problems with very limited resources.

Considering the size of individuals involved and contribution in GDP, it becomes vital to look closely into the challenges being faced and possible measures that can be taken to support this sector.

Challenges faced by the informal sector are listed below:

a. Lack of available data and tools to collect it makes it very difficult to monitor or make policies for this sector.
b. The tedious process of registration and documentation makes it tougher for them to synchronize with the formal economy
c. Exploitation – People employed in unorganized sector are prone to exploitation as there are no laws to support them and safeguard their basic rights.
d. Social Security – Informal workers have limited access to pension, insurance or formal loans, which makes them prone to suffer from financial exclusion and this may lead them to struggle with financial crises in the future.
e. Pay Disparity – Women employed in unorganized sector often face pay parity and earn less than their male counterparts which negatively impacts their social status and income.
f. Tax Burden – Since the informal economy does not come under the radar of government monitoring and their taxation system, they get away from paying taxes very easily and this burden falls upon the formal economy, where individuals have to pay exorbitantly high taxes even upto 30%.

Some of the measures that can be taken are listed below:

a. **Incentivizing companies to provide social security to their employe**es – Policymakers can incentivize the enrollment of informal workers in social security plans like the Provident Fund, Pension Fund, Insurance etc. This will encourage companies to register themselves.
b. **Single window registration facilities** – Less documentation and quick registrations enabled by tech-based systems. Udyam registration is an example of this. It is free, paperless and self declared online registration process to easily register Micro, Small, and Medium-sized Enterprises (MSMEs) as legal entities in India.
c. **One-stop solution for registering and accessing schemes targeted for them**- e-Shram portal is a welcome move in this direction. It provides easy registration for unorganized workers and also enables them to access welfare schemes like MnREGA, Shram Yogi Mandhan etc.
d. **Increasing Financial Inclusion** – The government's endeavor to make everyone have the access of financial services and integrate to formal credit lines can only be successful if last mile connectivity of these services are provided to informal workers also.
e. **Upskilling and certification** – Providing training and certification will help the employees to do better in their profession and can prove to be a way to measure their proficiency and experience. Skill India Mission is a good initiative in this regard. For example, service providers register themselves on platforms like Urban Company or NobrokerHood and are assigned category of services based on their experience (years of service), certifications, and customers feedbacks.

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f. **Usage of Tech facilities**- Portals like eShram, skill India ensures more popularity and reach to unorganized workers and that also helps in data collection that can ultimately be proven instrumental in targeted policy making.
g. **Launching surveys for feedback and improvement**- Organizing Labor surveys and feedback can enable policy makers to dig the truth from ground, actual problems being faced or what is working and what needs improvement.

In the totality of the truth before us, the Informal economy comprehends a golden opportunity for achieving the vision of India @2047 – that is inclusive and sustainable development. But this dream can transform into reality only by creating awareness, making the system more transparent and integrating informal economy seamlessly into formal economy.

Q3. Poverty is a complex phenomenon with multiple dimensions extending beyond economic hardship. Discuss the concept of poverty, its various types, and how these dimensions influence human capital, societal well-being, economic capabilities of individuals in India. (600 words)

Ans. Poverty is a state in which an individual is deprived of basic needs like nutrition, income, education, and health. Though often poverty is interchanged with the people's income unavailability, it is a multifaceted concept that looks after an individual's basic needs, including education, health, living standards, and the income they generate. Adding to this, World Bank, highlighted that $2.15 per day is the extreme poverty line. Though, all other aspects are also calculated using Multidimensional Poverty Index in India.

The types of poverty that prevail are

1. **Absolute Poverty**- It is the threshold of the country that the individuals earning below the specified poverty line are called poor. It generally looks for income earned by them and calorie consumption. For Example, In India Rs. 1059 per month and Rs 1286 per month is the poverty line in Rural and Urban areas respectively.
2. **Relative Poverty**- Poverty where an individual is compared to the other section of society in terms of income and living standards. For Example- People living in slum areas are considered poor as compared to the ones living in the main cities.
3. **Generational Poverty**- The poverty that is transferred from one generation to the other. Exemplifying- People in slum areas transfer poverty to their young ones, which can not be avoided. They lack education facilities, improper health facilities, etc.
4. **Situational Poverty**- When because of certain situations people become poor is the certain poverty. During the COVID-19 pandemic, many people lost their jobs, and because of this, they became poor. Providing certain assistance can help them come out of such type of poverty.
5. **Multidimensional Poverty**- When any individual lacks in three areas, which are Education, Health, and Living Standard, is said to be known as multidimensional poor. According to the MPI, 11% of India's population is still in poverty.

These dimensions have certain impacts on various parts as:

1. Impact on Human Capital:

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- **Education**- Poor people lack education, as they are forced to drop their schools at tender ages, and are expected to work. India observed more than 12% drop out of secondary school.
- **Health**- People are usually deprived of the health facilities, which must be provided to them, as they lack income. Though many schemes have been launched by the government like Pradhan Mantri Jan Aarogya Yojana, which has benefitted over 3 crore people

2. Influence of Societal Well-Being

- **Gender Disparity**- According to the reports, men below poverty line earn 80% of the wages whereas Women stand at only 18%. So there is always a gender gap between men and women, specifically among poor people.
- **Involvement in Crimes**- Since the poor people earn less, so they are the ones who are more into activities like crime and others. c. Inequality in Castes- Poverty exacerbates the inequality in terms of caste. As they are the ones with orthodox thinking and believe it too much.

3. Economic Capability-

- **Employment**- People from these areas are more or less employed in the informal sector which offer discriminatory low wages.
- **Entrepreneurship**- Poverty makes the people funds and skills deprived, because of which they fail to expand their works. Though government has come up with initiatives like Pradhan Mantri Vishwakarma Yojana.

Though, eradicating poverty in India is challenging because of various factors like population of 144 crore, lack of skills, education, poor health infrastructure, etc. But government is continuously working towards it to align with Goals 1, 2, 4 of SDG 17, that is No Poverty, Zero Hunger, and Quality Education. For this, it has come up with various initiatives like MGNREGA, PMJAY, etc. So tackling intertwined dimensions is important.

Q4. Critically analyse the statement: 'The Tendulkar poverty line is a destitution line, not a poverty line.' How does the Multidimensional Poverty Index (MPI) provide a better understanding of poverty compared to income-based measures?" (600 words)

Ans. Poverty Measurement is a cornerstone in poverty alleviation, which helps policymakers to formulate policies that can eradicate poverty. Till date, there were many policies formed, like Rangarajan Committee, Alagh Committee, Tendulkar Committee, etc, which have defined poverty in their term either taking income or consumption into account. Though, Multidimensional Poverty focuses not only on the monetary indicators but also on the education, health, and living standards.

If we specifically talk about the Tendulkar Committee, then it proposed an indicator to measure poverty in 2009. It stated a person living in a rural area if earns less than Rs 27 per day and one living in an urban area earns less than Rs 33 per day, then is said to be known as Poor. This was the poverty line given by him. But is this seriously a poverty line or a destitution line? The answer to this question lies in the flaws it had.

1. **Focus on Income factors**- Tendulkar Committee focused primarily on the income generated by the individuals. It neglected factors like sanitation, quality education, better health facilities, etc.

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2. **Poverty Line estimation was too low**- Since the poverty line parameter estimated by his committee was too low because of which many people were deprived of social welfare schemes.
3. **Inflation Ignorance**- In the year 2009-10 having such a low poverty line seemed unrealistic keeping inflation in mind.

Due to these factors, India observed a steep decline in Poverty, that is from over 37% in 2004 05 to 21% in 2010-11. Tendulkar committee resulted in the deprivation of various facilities to the ones in need, because its over-emphasized income factors and neglected the various living standards.

Compared to the other methods of poverty estimation, Multidimensional Poverty is considered as one of the most realistic, which comprehensively includes 3 parameters; Health, Education, and Living Standard comprising of 12 indicators. It gives a better understanding of the poverty estimation because of the following reasons

1. **Comprehensive Understanding**- It gives the comprehensive understanding of the various factors like health, sanitation, etc. Because many a times a person might be earning more than the threshold but might not be able to afford basic amenities.
2. **Realistic Data**- The data provided is usually realistic as it evaluates every possible needs for the individual. 230 million people still suffer poverty.
3. **Targeted Policy Formation**- Since every sector's needs are known, so accordingly policies can be formulated. Like it highlighted that 11% of the India's population is under poverty in 2023 as compared to 21% in 2011-12.
4. **Regional Segregation**- Every state has a different population and size so comparing them on the same parameters is not advisable, so revealing insights that helps them in their needs is easily done by MPI. Example- Bihar has poor health facilities, and income inequality, whereas Kerela performed best in Education and Infrastructure.

Tendulkar Committee can be said that it failed to capture the full insights of every aspect of the poverty, which justifies the statement that 'Tendulkar poverty line is a destitution line not a poverty line'. In contrast MPI offers a holistic understanding of the poverty catering every aspect of the poverty, by sustainable development is imperative.

Q5. Discuss the various techniques used to estimate poverty in India, highlighting their evolution over time. Critically evaluate the importance of adopting a multidimensional approach to poverty measurement for addressing contemporary challenges. (600 words)

Ans. Poverty estimation techniques have evolved over time, with the intent of getting more accurate measures. It indicates that people are deprived of basic goods and services in the economy. Estimation at regular intervals gives us a comprehensive idea about how well the policies are effective in the current situation of the economy. Poverty line is the threshold which indicates the minimum income required to live a life by fulfilling all the basic requirements in terms of goods and services. Here, when people are devoid of most basic necessities in life, it is called absolute poverty. When a household's standard of living is less the average economy's standard of living, it is called relative poverty. Several poverty estimation techniques are:

Pre-independence poverty estimation techniques –

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- **Dadabhai Naoroji** - The estimation of poverty line was given in his own published book at Rs 16 to Rs 35 per capita per year, based on the diet needed to be consumed.
- **National Planning Committee** - It was set up by Netaji Subhash Chandra Bose under the chairperson Jawaharlal Nehru. Here, the poverty line was set at Rs 15 to Rs 20 per capita per month.
- **Bombay Plan** - As per it, the poverty line was set at Rs 75 per capita per year.

Post-independence poverty estimation techniques –

a) **Planning Commission Expert Group** - It has set separate poverty line for rural and urban areas - Rural - Rs 20 per capita per year and Urban - Rs 25 per capita per year.
b) **VM Dandekar and N Rath** - It will assess poverty based on the data from National Sample Survey. It is set at 2250 calories per day in both urban and rural areas.
c) **YK Alagh Committee** - Poverty line in both rural and urban areas has been set based on nutritional requirements and consumption. In the following years, the poverty estimated will adjusted for inflation.
d) **Lakhadwala Committee** - Here, a basket of goods and services was used as a reference shifting from calorie-based estimation. The basket needed to calculate CPI-Agricultural labour and CPI Industrial Workers reflect the consumption activities of the people. State specific poverty lines should be constructed.
e) **Tendulkar Committee** - Here a uniform poverty line basket was used instead of calorie-based estimation to prepare poverty lines for rural and urban areas of every state. The threshold was set at Rs 447 per capita per month in rural areas and Rs 579 per capita per month in urban areas. Mixed Reference Period was used to collect the data.
f) **Rangarajan Committee** - Here the estimation is based on household surveys made by the Centre for Monitoring Indian Economy. Modified Mixed Reference Period was used for data collection. The threshold is set at Rs 47 per day in cities and Rs 32 per day in villages.

Now, NITI Aayog publishes the Multidimensional Poverty Index (MPI) which takes health, education and living standards into to give the index value. It gives us a more holistic idea of the progress made in the economy than the income-based measure. The importance of adopting a multidimensional approach to poverty measurement for addressing contemporary challenges is:

a) **Holistic measure** - By taking into consideration many dimensions, we get a proper picture of loopholes in the economy on which we should work on. This promotes sustainable development by also taking care of the social welfare of the people.
b) **Captures interconnection between problems** - Many prevalent problems are intertwined in this economy. Illiteracy gives rise to poverty by not providing proper employment opportunities and on contrary, poor people don't get the opportunity to afford education.
c) **Hidden poverty** - Many people in spite of having adequate earnings can't get access to services like education, housing, healthcare services and others. The MPI helps in capturing them and spreading awareness to such people.
d) **Better policy making** - The government can get a more accurate picture of the effectiveness of the already set policies and later make changes accordingly.
e) **Human development** - Here the social welfare of people is also evaluated through this index which helps us in assessing and making changes for human development.

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The poverty estimation is very crucial for a developing country like India at regular intervals. It helps in checking the outcomes of the policies and how they are bringing advancements in the economy. We should keep working to improve such techniques to get the more accurate picture of the poverty in India.

Q6. The National Multidimensional Poverty Index (MPI) 2024 by NITI Aayog highlights "24.82 crore people escaped multidimensional poverty in the last nine years" between 2013-14 to 2022-23. Critically analyze the factors driving this reduction, the shortcomings of MPI, and suggest a way forward for accurate poverty measurement and alleviation. (800 words)

Ans. The Multidimensional Poverty Index (MPI) is a measure of poverty that takes into consideration the parameters of health, education and living standards to give us a comprehensive idea about the progress our economy has made in terms of poverty mitigation. Globally, it was developed by Oxford Poverty and Human Development Initiative along with UN Development Programme. In India, it is released by the NITI Aayog. As per the recent estimates, poverty has reduced by 18% between 2013-14 and 2022-23.

The reduction in poverty rate to 11.28% can be attributed to several factors, they are:

a) **Economic growth** - After the reforms in liberalization, privatization and globalization India has performed satisfactory in achieving an adequate average economic growth of 7% in the following years. This growth has helped in job creation in formal sectors and providing good wages to the employees. This has brought improvement in the living standards of people.
b) **Education** - The education system in India has improved in comparison to early years. The gross enrolment ration has increased in primary education and efforts are being made to raise it in higher education also. Improvement in infrastructure has also encouraged students to attend school. Literacy will make people more aware about benefits they can avail themselves from various domains and can also understand law in a better to fight against injustice.
c) **Better health services** - The set up of primary health centres and community health centres in rural areas has made health services accessible to people in the rural areas. This has provided primary health check-up for people, which has also promoted better human capital in the economy.
d) **Nutrition** - The Government has started giving food items at a lower price rate to the targetted beneficiaries in India through the Public Distribution System. The PM-POSHAN scheme also provides meal to the school going children. These initiatives help to provide adequate nutrition to the children and will make their immunity strong which will help them to fight against any diseases. The better upbringing of the children will also produce efficient human capital in the economy.
e) **Equality** - Gender inequality has made the lives of the women miserable as they fail to get access to the basic need of life. Setting policies for empowering women and increasing female literacy rates have helped many women to work on their own and become independent. This has also made them to fight against poverty.
f) **Tax reforms** - The government has introduced Goods, Services and Tax in 2017. This has brought huge reforms in the tax sector. The tax rate calculation and collection have become transparent, which has reduced tax evasion. Better revenue collection by the government has promoted developmental activities in the economy, which will contribute to improve the lives of the people.

The shortcomings of MPI are:

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a) **Uniform weightage** - The MPI calculation has given equal weightage to every dimension to calculate the index. This simplifies the complexities of poverty, failing to convey the diversity of resources in various regions of the country.
b) **Data unavailability** - The data is generally taken from National Family Health Surveys (NFHS). NFHS is conducted every 5 years and thus MPI may not capture the current changes in the condition of poverty. MPI also doesn't take data from National Sample Survey, which creates unreliability on the index.
c) **Missing dimensions** - The calculation of MPI has not considered many dimensions like social exclusion, violence, environment degradation and others. This fails to give a complete and holistic picture of poverty situation in the country.
d) **Intrahousehold differences** - Here, the MPI doesn't take the discrimination faced by the women and children of the households. So, this also makes the MPI data unreliable.

The way forward for accurate poverty measurement and alleviation are:

a) **Take income fluctuations into account** - The sudden decrease in the State per capita income gives rise to increase in MPI. Here, we can incorporate a lagged income variable to capture consequences on the economy.
b) **Rural-Urban migration** - People migrate from rural to urban areas in search of jobs or to improve their lifestyle. During pandemic period, a reverse migration was observed which should be taken into account.
c) **Sensitivity analysis** - This should be implemented to check the reliability of the calculation process. We should check how difference in inputs taking affect the index value.
d) **Policy implementation** - Policies should be set such that it promotes income equality and more access to education and healthcare. Corruption should be prevented as much as possible.
e) **Parity in effects of education and healthcare** - One percent increase in education expense will result in more reduction in MPI than same increase in healthcare services. Parity should be brought between them in the calculation process.

So, poverty should be mitigated from the country as soon as possible as it is the root of many problems prevalent in the society like increasing crime rate, unemployment and others. Policies should be made to attain sustainable economic development to achieve the goal of Viksit Bharat where India will become a developed nation by 2047.

Q7. "An estimated 135 million Indians emerged from multidimensional poverty between 2015-16 and 2019-21, according to the Economic Survey 2023-24" Assess the impact of government interventions in poverty alleviation, with an emphasis on key schemes and their success in addressing the diverse and multidimensional facets of poverty (700-800 words)

Ans. In words of Amartya Sen, Poverty is the deprivation of a person's capabilities to live a life that they have reason to value. In other words, a person should be able to make realize one's true potential and make choices. Deprivation from these affects his capacity to have a decent standard of living. Alleviation of poverty has been the focus of government since independence and several initiatives have been taken in this direction. As per Economic Survey 2023-24, around 135 million people escaped multidimensional

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poverty between 2015-16 and 2019-20. Government's interventions have an important role to play in this.

Different interventions have been launched to attack different facets of multidimensional poverty. Some of them which have been impactful are:

1. **Employment generation schemes**-

- **MGNREGA**- Mahatma Gandhi National Rural Employment Guarantee Programme (MGNREGA) was launched in 2005 with an aim to provide 100 days of gainful employment to unskilled workers of rural areas. As per the recent update from Ministry of Rural Development, the scheme has generated around 309 crore person-days of employment has been generated from this scheme of which more than half has been provided to women.
- **PM Employment Generation Programme (PMEGP)**- This scheme has been launched by Ministry of Micro Small and Medium Enterprises to provide financial assistance to set up new enterprises. As per the recent data, an average of more than 80,000 units have been provided assistance under this scheme every year since its launch.

2. **Social Security Schemes**-

- **Atal Pension Yojana**- This scheme aims to provide a pension ranging from Rs 1,000 to Rs5,000 depending upon contribution of beneficiary. It aims to prevent poverty at old age. As per the data of Ministry of Finance, more than 8 crore people have been enrolled under this scheme.
- **PM Jeevan Jyoti Bima Yojana**- This scheme aims to provide life insurance of Rs 2 lakh to poor families against a nominal premium of Rs 436 per month. As per the data of Ministry of Finance, more than 16 crore people have been brought under this scheme.
- **PM Suraksha Bima Yojana**- This scheme provides an accidental insurance of Rs 2 lakh to protect the families of beneficiaries from poverty. This scheme has also enrolled more than 35 crore beneficiaries.

3. **Schemes focusing on Health**-

- **Ayushman Bharat Yojana**- This scheme provides a health insurance cover of Rs 5 lakh per family to people of poor socio-economic background. It thus provides them quality health care and protects them from poverty. As per recent data, more than 6.5 crore hospital admissions have been provided under this scheme.
- **PM Surakshit Matritva Aashvasan (PM SUMAN**)- This shame was launched in 2019 by merging three different schemes to provide quality healthcare facilities to newborn as well as mothers to reduce infant, neonatal, and maternal mortality rate. As a result, as per National Family Health Survey (NFHS 5), infant and maternal mortality rates have been reduced to 36 and 97 respectively.

4. **Scheme focusing on Education**-

- **Samagra Shiksha Abhiyan**- This scheme was launched in 2017 to increase enrollment in schools and provide good quality education. It has been aligned with New Education policy to achieve the target of 100% gross enrollment ratio among school children by 2025.
- **PM SHRI (Schools for Rising India**)- This scheme was launched in 2022 to develop 14,500 schools to provide quality education along with development of critical knowledge, and communication skills.

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These schools will act as model schools with better learning opportunities to make students more competent in the job environment.

5. **Schemes for improving standard of living**-

- **PM Aawas Yojana**- Aawas Yojana was launched to provide houses to poor people in rural as well as urban areas. As per the recent data of Ministry of Information and Broadcasting, around 2.67 crore houses have been built in rural areas and 1.14 crore in urban areas.
- **Har Ghar Jal Yojana**- This scheme was launched to provide good quality drinking water in rural areas. This scheme has already provided access to tap water to 78% of rural population as per data of Ministry of Jal Shakti.
- **Ujjwala Scheme**- This scheme was launched in 2016 to provide LPG (Liquefied Petroleum Gas) connections to women at affordable rates. As per the data of Ministry of Petroleum and Natural Gas, more than 10 crore connections have been provided under this scheme.

Therefore, different initiatives in form of schemes are running to target different dimensions of poverty. It is important to assess the gaps in implementation of these scheme so that the diversion or misuse of funds can be minimized and schemes achieve their objectives completely. Further, more such schemes should be launched particularly in underdeveloped areas to speed up the rate of development. This would ultimately help India to achieve SDG (Sustainable Development Goal) 1, that is No Poverty by 2030.

Q8. Examine the various types of unemployment prevalent in India. Discuss the government's initiatives to address these issues and evaluate their effectiveness in reducing unemployment rates (400 words)

Ans. Unemployment is defined as a situation where a person is capable of working but is unable to get a job. In India, involuntary unemployment is a major issue. As per the PLFS report (July 2023 - June 2024), the unemployment rate in India for both male and females aged 15 years and above was 3.2%. As a subcontinent home to 1.45 billion people, this percentage depicts crores of people outside the workforce and their potential being untapped. Unemployment exists in India in several forms, such as:

1. **Disguised Unemployment**: Often evident in the agricultural or unorganized sector, this type of unemployment occurs where more people are employed than actually required.
2. **Seasonal Unemployment**: Arise when people become jobless as need for labor decreases. For instance, resort employees are laid off in off season or agricultural laborers turn jobless when it's not the growing season.
3. **Structural Unemployment**: It occurs due to structural changes in the economy, such as change in technology (from labour intensive to capital intensive) or due to change in pattern of demand. Here, a person fails to grasp the opportunity due to mismatch in his skills and qualifications and the availability of jobs in the market.
4. **Frictional Unemployment**: When people switch jobs or search for a new one, the brief period of unemployment that arises is referred to as frictional unemployment. To tackle the issue of unemployment, the government has been spearheading several initiatives.

These are:

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1. **MGNREGA (Mahatma Gandhi National Rural Employment Guarantee Act):** Launched in 2005, the scheme's primary objective is to provide 100 days of employment to any rural adult, offer it within 15 days of demanding work, and if government fails to do so, they'll be provided an unemployment allowance. The initiative has created 2923 crore person days (total number of workdays generated) between 2014 to 2024.
2. **PMKVY (Pradhan Mantri Kaushal Vikas Yojana**): The scheme was launched in July 2014 to promote skill development by offering short-term free skill training programs. Under PMKVY 2.0, 1.10 crore people were trained between 2016 to 2020.
3. **PMRPY (Pradhan Mantri Rojgar Protsahan Yojana**): Catering to the demand side, PMRPY incentivizes employers registered with EPFO for job creation. Introduced in the Budget 2016, more than 1 crore beneficiaries benefitted (enrolled in EPFO) from the initiative from 2016 to 2019.

In conclusion, the government is implementing several welfare schemes, skill development programs, and offering assistance to bring people into the workforce. Not only the initiatives are targeted to create more demand for jobs, but also employers are incentivized and educational reforms are being instigated to eradicate the root causes of unemployment.

Q9. Most of the unemployment in India is structural in nature. Examine the methodology adopted to compute unemployment in the country while highlighting the importance of demographic dividend for India @100. (600 words)

Ans. Structural unemployment is a situation where the jobs available in the market do not match with the skills and qualifications of job seekers. It may arise due to various reasons such as, advancement in technology that leave non-tech people behind or change in preferences of customers that lead to decline of an industry. Lack of education and requisite skill set also hinders people from taking up the desired roles.

India is struggling with a situation of structural unemployment. This is particularly evident through the increasing incidents of layoffs and retrenchment. Concentration of non-agricultural jobs in the urban areas has also created a biased picture where the rural population ends up with limited opportunities in their hand.

To compute unemployment rate in India, the government has adopted several methods conducted under the guidance of (MoSPI). These methods are:

1. **PLFS (Periodic Labour Force Survey):** National Sample Survey Office launched PLFS in April 2007. The primary objective of the survey is to measure employment and unemployment rates among the masses. The survey offers annual and quarterly data on key metrics like Worker Population Ratio, Labour Force Participation Ratio, and Unemployment rate.
2. **Quarterly Employment Survey**: QES is conducted by the Labour Bureau to measure unemployment and employment changes in firms with 10 or more workers across nine selected sectors.

The NSSO uses three different methodologies to assess the extent of unemployment in India:

1. **Current Daily Status**: It indicates activity status of a person on the basis of activities pursued by the person during a specific reference period. The reference period in CDS is one or more days.

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2. **Current Weekly Status**: It determines activity status of a person on the basis of the last 7 days before the survey date. In the unemployment context, CWS measures the number of people who were unable to find even an hour of work in the past week.
3. **Usual Status**: The activity status of a person in the last 365 days before the date of survey. It measures the number of people who remained unemployed for a year.

Demographic Dividend is crucial for India as it embarks on a journey of becoming a developed nation by 2047. It refers to growth in an economy that causes change in the age structure of a country's population. The change typically occurs due to declining fertility and mortality rates. India is currently considered as a nation with a young population owing to the demographic dividend. In a report by the RBI, it is stated that for India to reap the benefits of the demographic dividend that started in 2018 and is expected to last till 2055, it must grow at 8-10% growth rate. DD is important for the following reasons:

1. **Better economic growth**: As the dependent population reduces and more people join the workforce, economic activities increase which eventually lead to better economic prospects.
2. **Role of women**: Greater access to education, skilling, accompanied with young age bring women to the forefront. It also allows them to make their own decisions. Reduction in fertility has been made possible due to upliftment of women that can be a new source of growth.
3. **Industrialization and Urbanization**: Increased labour supply will enable the economy to grow multiple-fold. This growth will also bring innovation, create more enterprises, and lead to rapid industrialization. More cities will turn into economic hubs and bring jobs to people instead of people migrating in search of it.

In conclusion, we are moving towards a world where globalization is creating fierce competition or terms like AI and ML have become a new norm. Hence, it has become imperative for the government to use the surveys to create effective policies and interventions to tackle structural unemployment. Creating more jobs will also help in using the full potential of demographic dividend and lead the nation to become a prosperous country.

Q10. "India Accelerates Progress towards the SDGs Despite Global Headwinds" Overall SDG score for the country is 71 for 2023-24, significant improvement from 57 in 2018 (Baseline report). Critically examine India's progress towards achieving the Sustainable Development Goals (SDGs) and challenges faced. (600 words)

Ans 1. Sustainable Development Goals (SDGs) are the call for action to address the most pressing issues in front of the world. Adopted by the United Nations in 2015, it aimed to alleviate burning issues such as poverty, health, education, climate change, and many more. The SDGs not only provide the blueprint for current development but also assist in making a sustainable and future-ready society. India along with SDGs goals adopted various other policies such as National Determined Contribution and Localized SDGs to uproot all evils that persist in the economy.

India's progress can be measured on several fronts by analyzing its achievements in key different SDGs-

1. **Poverty**: India has done well on this front. According to NITI Aayog data, around 24.82 crores people escaped poverty between FY 2014 to FY 2023. As per various economists, the multidimensional poverty in India is very low at around 5%.

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2. **Health**: Targeted Schemes like PM ABJAY, the Nation Food Security Act 2013, and Nutritional Support to pregnant and lactating mothers have reduced the mortality rates in the country. The MMR stood at 97 while the Under-5 mortality rate came out just 32.
3. **Gender Equality**: India lags in this metric. The low score of SDG5 in the progress report depicts the same picture. However, government intervention in the long run will definitely achieve its core objective. Allocating 6.8% of the budget in the name of "Gender Budgeting" provides a clear sign.
4. **Education**: Education enrollment and literacy rates are improving in the country day by day. As per the ASER report, roughly 86% of the students between the age group of 14-18 are enrolled in government institutions. The AISHE report also provides a rosy picture regarding higher education in the country. It depicts that STEM participation for girl children is improving day by day.
5. **Clean Energy**: The government took "Panchamrit" in the COP 16. It stated to reduce the carbon intensity by 45% by the year 2030 and 50% of the electricity will come from green sources. In a recent report, India's total renewable energy production capacity improved to 209.44GW a 15.84% rise, showcasing India's commitment towards sustainable earth.

However, on many fronts, the SDGs lag in producing the required outcomes due to various reasons-

1. **Unequal Progress**: The achievement of all the sustainable development goals is not equal. The score of SDG 7 stood at way above 92, whereas SDG 5 is just 48 in the Progress of Sustainable Development Report.
2. **Pace of Achievement**: The achievement pace of SDGs is quite slow. According to the United Nations, only 15% of the SDGs are on track to achieve the desired outcomes by the year 2030.
3. **Cost**: To achieve the environmental goals under SDG requires a huge sum of money, leaving the developing country vulnerable on this front. The COP 29 ended with a decision of just $300 billion in assistance from developed nations towards developing countries annually to meet environmental requirements, which is insufficient.
4. **Policy Makin**g: The government and responsible administration face difficulties in making proper policies to achieve the SDGs in due course. Long gestation periods and lack of collaboration make the initiatives less effective at the ground level.
5. **Digital Divide**: Advancement in technology divides the population into two parts- pro technology and technology avoiders. It hiders the process of inclusive growth. For instance, Financial inclusion affects a total of 8 SDGs but, without proper digital penetration, it cannot be achieved it true means.

India's progress in the SDGs provides a mixed picture. In some sections, India performed well, and other sections needed improvement. The government has taken policy measures on each front to achieve the required goals. It will be quite challenging for the government to achieve these goals in a very short span (by 2030). But nothing is impossible. With the 3P - Persistence, Positivity, and Patience, the rest journey can be covered.

Q11. Analyze the Government of India's efforts in integrating the Sustainable Development Goals (SDGs) into national policies. Highlight both national and international initiatives and their role in fostering sustainable and inclusive growth. (600 words)

Ans 1. The Brundtland Commission defines Sustainable Development as the development that meets the needs of the current generation without compromising the ability of the future generation to meet theirs.

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The 17 Sustainable Development Goals lie at the core of the member nations' efforts towards ensuring a sustainable future. India has always upheld its commitment to the SDGs and has brought out various initiatives to achieve them. It can be summarised under the three domains of economic growth, environmental protection, and social inclusion.

Environmental Protection

1. India has brought out the Nationally Determined Contribution by committing to bring down the emission intensity of GDP by 45%, attain 500 GW renewable energy capacity, develop 50% of installed electric capacity, and cut absolute emissions by 1 Billion tonnes by the year 2030. It has also set a target to become a net zero-carbon economy by 2070.
2. Missions like Swachh Bharat Abhiyan made significant progress in sanitation and water conservation by making 95% of the villages open defecation-free in 2014.
3. Programs like the National Clean Air Program have been devised to reduce particulate matter in the air in 131 critical cities.

Social inclusion

1. Poverty eradication programs are in full swing in India through initiatives like Public Distribution System which distributes subsidized food grains. National Food Security Act 2013 ensures free food grains to nearly two-thirds of the population.
2. Jandhan -Adhaar- Mobile Trinity has revolutionized digital and financial inclusion in India by increasing the ease of access and free transactions in the economy.
3. PM Jan Arogya Yojana, one of the largest public insurance schemes has helped the poor to get cashless secondary and tertiary care at the hospitals.

Economic Growth

1. PM Mudra Yojana which provides loans ranging from 50000Rs to 5Lakhs rupees to new enterprises has kickstarted economic activity, especially among the rural areas.
2. To give a push to the industry’s performance Linked Incentive Scheme has been launched in 2021, to incentivise companies based on production.
3. MSME Competitive Lean scheme and ZED Certification aim to make industries take up production activities with minimal impact on the environment and with zero wastage.

As all these initiatives have been going on in India, actions for Sustainable Development have been going on in the background on a massive scale focusing on partnerships among nations with 193 UN members adopting SDG Agenda 2030.

1. Climate action has been focussed through various initiatives like the United Nations Climate Change Conference under the United Nations Framework Convention on Climate Change. 196 countries have legally committed to reducing greenhouse gas emissions under the Paris Agreement of 2015.
2. A Green Climate Fund has been set up in COP 16 to mobilize 100 billion Dollars annually till 2025 from advanced economies for climate change mitigation and adaptation activities.
3. In 2007, a few development banks and multilateral organizations including the World Bank issued green bonds for the first time to raise money for climate finance, the popularity of which is currently growing.

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4. International Solar Alliance: It is a collaborative platform set up by India and France to increase the penetration of solar power.

Sustainable development requires a synergistic effort by all nations along with cooperation among federal structures within the country. India has made considerable modifications in its policies in every domain to include the element of sustainability. With India's population set to rise for a couple of decades in the future we have a huge responsibility of providing a foundation by safeguarding resources for them.

Ans 2. India follows a holistic approach towards its 2030 Sustainable Development Goals (SDGs) by launching various schemes. India's SDG score has improved from 57 in 2018 to 71 for 2023-24, thus highlighting the significant strides taken to integrate the UN SDGs into its national policies and development framework. NITI Aayog, the Government of India's premier think tank, has been entrusted with the task of coordinating the SDGs, mapping schemes related to the SDGs and their targets, and identifying lead and supporting ministries for each target.

National initiatives taken by govt for SDGs:

1. **National Food Security Mission**: The govt revamped the almost universal PDS and launched the Targeted Public Distribution System (TPDS) in 1997 to narrow its coverage to a focused group of population who were Below the poverty line (BPL). A supplementary food security scheme is also in service to cater to the poorest of the poor stratum of society, namely the Antyodaya Anna Yojana (AAY). These schemes have played an important role in India's target to eradicate hunger (SDG2) and reducing poverty (SDG1).
2. **Initiatives to end poverty**: MGNREGA was launched to provide at least 100 days of guaranteed wage employment in a financial year to every rural household whose adult members volunteer to do unskilled manual work. This has helped in reducing poverty by providing employment to people which is SDG1. The govt launched Pradhan mantri Jan Dhan Yojana in 2014 to foster the financial inclusion in the country by banking the unbanked population. This not only inculcated the savings habit among people but also helped people and govt in easy delivery of govt subsidies. This has also helped in govt's pursuit to eliminate poverty.
3. **Health initiatives:** Ayushman Bharat Jan Arogya Yojana was launched to safeguard the underprivileged from a financial crisis in the event of a medical emergency. It provides a coverage of Rs 5 lakhs to each family and 3 days of pre-hospitalisation and 15 days of post- hospitalisation coverage. PM-JAY provided health insurance coverage to over 100 million families, reducing out-of-pocket healthcare expenditure and improving access to quality medical services. Integrated Child Development Scheme is a unique childhood development programme, aimed at addressing malnutrition, health and also developmental needs of young children, pregnant and nursing mothers. It's beneficiaries are children from 0-6 years of age and women between 15-44 years of age. These schemes addresses SDG 3- good health and well-being.
4. **Sanitation**: Swachh Bharat Mission launched in 2014 aims to improve sanitation infrastructure and promote hygiene thus addressing SDG 6- Clean water and sanitation.
5. **Affordable and Clean Energy**: Govt launched National Solar mission to promote solar energy and reduce country's reliance on fossil fuels.

International Initiatives for SDGs:

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1. **Paris Agreement**: India under the Paris agreement has pledged to reduce the emissions intensity of its GDP. India in 2023 achieved two of its targets under the Paris agreement- to reduce emissions intensity of its GDP by 33 to 35% by 2030 from 2005 levels and to achieve about 40% cumulative electric power installed capacity from non-fossil fuel-based energy resources by 2030. These targets were later revised.
2. **International Solar Alliance**: India cofounded ISA to promote solar energy and reduce its dependence on fossil-fuels. This has helped India to reduce its carbon emissions under its climate action plan SDG-13.

India's efforts to integrate the SDGs into its national policies reflect a comprehensive and ambitious approach to fostering sustainable and inclusive growth. However, achieving the 2030 Agenda requires continued focus on equitable development, stronger partnerships, and innovative solutions to ensure no one is left behind.

Q12. The National SDG 2023-24 Index highlights SDG 5 (Gender Equality) as one of the lowest-scoring goals in India. Discuss the challenges faced in achieving SDG 5 and its implications for India's socio-economic development. (400 words)

Ans. "Where women are worshipped, their lives Devtas" goes with an old proverb. But the data represent a contrasting picture in considering India as a land of Gods. India's 129th rank in the "Gender Gap Index" depicts the same picture. Driven by various socio-economic factors, the women of India are facing several constraints that not only hinder their progress but also their dream of inclusive development. The following are some of the challenges faced by Indian women in achieving SDG 5 (Gender Equality).

1. **Birth**: The patriarchal mindset of the society appreciates the birth of the boy child, above the girl child. Incidences of foeticide are widespread in many places, hampering the birth rate of the girl child.
2. **Education and Skill Development**: Women generally lag in education and skill development, leading to lowering their career growth. As per the AISHE report 2020-21, the enrollment of females in higher education is just 2.1 crores.
3. **Child Marriage**: Incidences of child marriage hinder the progress of gender equality in the country. As per NFHS-5, 23.3% of the women aged between 20 to 24 got married before 18 years of age. Child Marriage is very prevalent in states like Rajasthan, Bihar, and Jharkhand.
4. **Lower Workforce Participation**: It is perceived by society, that a girl has to look after the household work, while men will perform the outside tasks. This perception leads to a lower Female Labour Participation Rate in the country. As per the PLFS data, the LFPR stood at just 37% as compared to 76% for males.
5. **Domestic and Workplace Violence**: Domestic and workplace violence is also one the major reasons for lower gender inequality in the country. Despite having various rules and regulations in place, the acts of women harassment, sexual assault, stalking, and verbal abuse are the daily headlines in newspapers.

India faces bad repercussions of the previously stated long-lasting challenges in both economic terms and social development.

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1. **Low Literacy Rate**: The literacy rate among women is very low in the country. As per census 2011, it stood at just 65.5% for India.
2. **Economic Impact**: According to NFHS-5, Women contribute roughly 48% of the population but contribute only 18% of the GDP. This study also shows that if India can integrate its female population into the labor force, the country will add $28 trillion to its economy (a 30% rise).
3. **Political Underrepresentation**: Lower gender equality in society limits the participation of females in the administrative and political front. Mere 15% of the MPs in the Lok Sabha are females.
4. **Skewed Sex Ratio**: Biasedness towards having a boy child makes the skewed sex ratio in the country. As per, "Women and Men in India Report 2023" [MoSPI], the projected ratio is 948 for 2026 and 952 for 2036.
5. **Glass Ceiling**: Women face challenges in career growth even when they get employment in some organizations. Key positions are often occupied by the men, restricting them from key policy framing in the organization. As per a study, just 5% of the top 500 NIFTY Fifty companies are led by women.

From the above discussion, it is clear that India's position in front of Gender Equality is quite low. Mere government intervention will not suffice. Collaboration of different stakeholders NGOs, Private Organizations, Teachers, Parents, and above all social perspectives is crucial to uproot this evil. Hope in coming years key government initiatives like Beti Bachao Beti Padhao, Drone Didi, Women SHGs, and Mahila E-Haat will show their positive outcomes, leading to "Sabka Saath, Sabka Vikas".

Q13. What are the environmental, social, and economic impacts of climate change on India? What are the initiatives taken by regulators and other financial institutions to tackle these effects? (600 words)

Ans. Climate change refers to long-term shifts in temperatures and weather patterns. The climate change is happening at an alarming rate. India being one of the most densely populated and geographically diversified countries is highly prone to the effects to climate change. This effect is multidimensional and affects the environmental, social and economic aspects of India in following ways:

1. **Environmental Aspects**:
    a. **Rising Temperature**: The more greenhouse gases we release in to the atmosphere, the more average temperature of earth will increase. India has already seen the effects of this global warming as visible from frequent and intense heat waves. We often see the record of peak temperature being broken every single year during summers and majority of these peaks have been observed in the past decade.
    b. **Monsoon Patterns**: The effects of climate change are evident from the erratic weather patterns being observed in recent years. Changes in intensity, timing and distribution of rainfall has caused some places to experience floods and others facing droughts.
    c. **Rise in Sea-Level**: With rising temperature, more glaciers are melting and hence sea level is rising at an alarming rate. This puts coastal cities like Mumbai, Chennai etc.
        into increased risks of drowning and coastal erosions.
2. **Social Aspects**:

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a) **Migration**: Climate change has affected the working of people in rural and coastal areas. People suffering job losses undergo displacement and migration to cities which are already overpopulated, putting such cities further into a difficult situation.
b) **Health Risks**: Extreme weather events like floods, droughts and heat waves pose serious threats to health of individuals in the country. Old age people, children and people with existing ailments are the ones who face these threats the most.
c) **Uncertainty in agriculture**: People employed in agriculture and allied activities that already face challenges of cyclic unemployment now face challenges of climate change as well. The erratic weather patterns highly affect the crop yield and food security which also takes mental toll on farmers' health.

3. **Economic Aspects**:

a. **Infrastructure Damage**: Extreme weather events in some part of the country usually happen every single month. Deployment of disaster relief teams on to such sites put a hole in the governments' pocket. This also includes expenditure on migration, recovery and rebuilding of places. This also affects the productivity and health of people living in such areas and hence directly impacts the economic growth of the country.

b. **Reduced Labour Productivity**: Heat stress impacts worker productivity with people in agriculture and outdoor labour affected the most.

The following initiatives have been taken by regulators and other financial institutions to tackle these effects:

1. **Shift to Renewable Energy**: The government has set an ambitious target to achieve Panchamrit goals by targeting climate change reduction and a strong emphasis on sustainable development. The financial institutions also play a crucial role by financing to renewable energy sector. This will reduce reliance of fossil fuels which are a major contributor of greenhouse gases.
2. **Green Bonds:** The bonds which are designed to support specific climate-related or environmental projects are called green bonds. The financial institutions issue such bonds from time-to-time to attract private capital for climate action.
3. **Climate- Risk Disclosure**: Recently in 2024, the Reserve Bank of India (RBI) issued draft guidelines on "Disclosure framework on climate- related financial risks". This is a step by RBI to develop a framework to identify and manage the climate risks of the lending institutions.

Climate change poses serious threats to India but the government has been actively taking measures to keep the threats under control. It is high time that government becomes proactive and take learnings from the countries that are managing their climate change well and further mitigate the effects of climate change.

Q14. Climate change risks have started to impact the financial system and could pose systemic risks in the coming future," as stated by RBI Deputy Governor M. Rajeshwar Rao. Throw some light on this statement, analysing the potential implications for India's financial stability and suggesting measures to mitigate these risks. (600 words)

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Ans 1. "Climate change risks have started to impact the financial system and could pose systemic risks in the coming future." This statement by RBI Deputy Governor M. Rajeshwar Rao throws light on alarming rate at which climate change is affecting our life and country. This is also a sign that climate change not just affects environment but is an economic and financial issue. It has following implications for India's financial stability:

1. **Physical Risks**: The world is going through a lot of extreme weather events. Recent fire in California is an example of how badly the climate change can effect the normal course of life. Almost 40000 acres of land has been destroyed by this fire. India, like other countries is currently facing extreme weather events like floods, droughts, heat waves etc. Physical risks from such events can directly impact the physical infrastructure. This can further worsen the situation with more insurance claims being lodged.
2. **Transitions Risks**: "Change is the only constant." Currently with more and more focus shifting to renewable energy, sectors which are heavily dependent on fossil fuels face serious challenges of transition. Banks and financial institutions that have invested or lent money to such sectors also face threats of asset devaluation, impacting the broader financial system.
3. **Credit and Market Risks**: Credit is a risky business. Banks are exposed to credit risks due to lending being made to businesses and individuals who are impacted by climate change. Disruptions in agriculture sector due to erratic monsoon are a classic example of the same. Due to irregular monsoon, crop yield is reduced which leads to lesser income of farmers. Due to this lesser income, farmers can either run their households or can pay back banks' money. This leads to default in their loans and accounts turning NPA. This further puts bank in a difficult situation to lend for future prospects. This leads to lesser liquidity in the banking system and reduced economic growth.
4. **Impact on Insurance Sector**: Insurers may face rising claims, particularly in high-risk areas, which could drive up premiums and reduce affordability. In the worst-case scenario, some insurers might become insolvent if they do not have the capital reserves to cover these claims.

Following measures can be taken to mitigate the above mentioned risks:

1. **Integration of Climate Risk in Scoring Model**: Banks employ various credit scoring models to judge the feasibility of a proposal. These models currently don't consider climate change parameters. This will lead to a comprehensive model which takes into account wider parameters and will help banks to be proactive in their lending approach. Apart from this, banks can be put under stress tests to check the real health of banks currently and to be aware of what risks potentially exists in the future. This will lead to a resilient banking system.
2. **Green Finance**: India's financial sector should prioritize green finance to foster sustainable development. This includes promoting the issuance of green bonds and increasing investments in renewable energy, energy-efficient infrastructure, and other low-carbon technologies.
3. **Climate- Risk Disclosure**: Recently in 2024, the Reserve Bank of India (RBI) issued draft guidelines on "Disclosure framework on climate- related financial risks". This is a step by RBI to develop a framework to identify and manage the climate risks of the lending institutions.
4. **Global Alignment**: Since climate change is a global challenge, India's financial system can collaborate with international organizations like IMF and World Bank to align with global best practices in managing climate risks.

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Climate change poses serious threats to India but the financial sector has been actively taking measures to keep the threats under control. It is high time that financial sector becomes proactive and take learnings from the countries that are managing their climate change well and further mitigate the effects of climate change.

Ans 2. Climate change is one of the burning problems in front of the whole world. India is not an exception to it. Climate change is not restricted to any geographical region. It is a global problem. As per the Global Risk Report 2024 (WEF), Climate Change ranks first under long-term risks. The effect of climate on developing countries like India is more severe. According to the Report on Currency and Finance 2022-23, India has to bear Rs. 85.6 lakh crores to address climate change-related risk by the year 2030.

Climate change hampers the economic prospects of India in many ways-

1. **High NPA Burden**: Climate change leads to higher default on loans in several fields from agriculture to business-related activities in the country. The farmers will be unable to pay the loan amount because of crop failure and business owners might struggle to meet the business expenditure.
2. **Insurance Claims**: The claim rates may increase during unexpected weather events. Deteriorating health conditions and loss in agriculture productivity, loss of property and infrastructures are major reasons for the same.
3. **Supply Chain Disruptions:** Global and national supply chains might hamper in some cases, leading to higher input costs for every item in the country. Sensitive crude oil prices might take a hit.
4. **Export Vulnerability**: Reduced crop production and low yield in farming will hamper the exportability of India. Lower exports will further increase trade deficit for the country, and lower forex reserve, placing the country in a vulnerable situation.
5. **Government Spending**: To mitigate climate-related hazards the government has to come forward to rescue the economy. It will limit the capex spending of the government as the mitigation and adaptation of climate change- related techniques cost a higher amount. Consequently, it leads to lower human development in India.

To mitigate the above-stated issues government along with private organizations and individuals can adopt the below-stated measures with words and spirit.

1. **Reduction of GHGs**: The country needs to curb greenhouse gas emissions drastically. India has pledged 1 billion tonnes of CO2 sequestration by the year 2030 and it is also moving towards reducing its carbon intensity by 45% in the economy.
2. **Afforestation**: Mass-level afforestation is crucial for the prevention of further deterioration of Mother Earth. Plantation drive from NGOs, and private sectors will be crucial. "Ek Ped Maa Ke Naam Campaign" is the prime example in this regard.

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3. **Climate-Resilient Infrastructure**: The GoI has to be more focused on establishing climate-resilient infrastructure in India, that will be able to withstand any environmental crisis.
4. **Shifting to Renewable** Energy Sources: The government has to completely move away from fossil fuel-related sources from the production of energy. It should focus more on renewable sources of energy like wind power, hydropower, and solar energy. India's current renewable energy capacity stood at roughly 209 GW, moving towards the 500 GW mark.
5. **Awareness Generation**: Mere government effort will not suffice to fulfill India's dream of "Net Zero by 2070". Individual participation is utmost necessary for this. The government initiative of Mission LiFE (Lifestyle for Environment) is a landmark initiative in this regard. 75 environment-friendly life habits will help Demand, Supply, and Policy related issues.

In short, mitigating climate issues in one go is not a cakewalk and not even a sky-high challenge, if we keep moving forward with baby steps. The real change happens when we see the solution to climate change not as a burden but opportunity to revive Mother Earth. With collaborative effect, we will surely reach our destination of "Net Zero by 2070".

Q15. India's economy witnessed significant growth post-GFC, but the COVID-19 pandemic reversed many of those gains. Discuss the key policy lessons India could learn from the GFC and the black swan event to ensure resilience against future global economic shocks (800 words)

Ans 1. The Global Financial Crisis (GFC) that took place in 2008 was a period of extreme stress in the global financial markets and banking systems. During the GFC, a downturn in the US housing market was a catalyst for a financial crisis that spread from the United States to the rest of the world through linkages in the global financial system. The recovery from the recession was very slow and several new reforms and policies were made to escape any future economic shocks. In spite of the reforms, another black swan event, the COVID-19 pandemic reversed our gains to a great extent.

Therefore, we need to take several policy lessons from the GFC to ensure resilience against future global economic shocks. Some of the key lessons are as follows:

1. **Diversification of Investment**: The most important key takeaway from the GFC is that we should diversify our sectors of growth. Overreliance on specific sectors can amplify vulnerabilities. India should expand its manufacturing base, invest in infrastructure, and promote balanced regional development to reduce dependence on external demand shocks. We have the example of overreliance on housing sector in the US during the GFC resulting in huge financial losses.
2. **Balance in the Monetary policy**: A balance should be maintained in the increase and decrease of interest rates. Adequate focus should be made on growth as well as inflation control. In the past, we have seen that years of low interest rates by the Federal Bank made people borrow more and the people who borrowed at lesser rates were later unable to repay when the federal reserve actually increased the interest rates to ward off inflation.
3. **Strengthening of Fiscal policy**: Establishing special buffers and contingency reserves can provide necessary fiscal support during any crisis. Adequate taxation should be maintained against the capital gains. During the GFC, we know that the taxation relief given through the Tax Payer Relief Act, 1997,

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diminished tax on capital gains, causing investors to be more prone to speculations in the financial markets.

4. **Credit resilience and tight lending standards**: Economy should be credit resilient by maintaining healthy cash flow, managing debt obligations and diversifying revenue streams. There should be tight lending standards and proper evaluation of credit scores and quick recovery of loans. In the GFC, loose lending standards led to housing price bubble. Even subprime borrowers with poor and no credit history, were able to realize the dream of buying a home as they also had an easy access to credit leading to huge number of non performing assets (NPAs).
5. **Less dependence on few export destinations**: Our export dependence should not be limited to few specific destinations, we need to diversify our trade relationships and participate actively in global value chains to mitigate the risks from external shocks. The GFC underestimated the interconnectedness of global markets.
6. **Regulation of real-estate and mortgage-backed securities**: The origins of the GFC in poorly managed mortgage-backed securities (MBS) markets highlight the need for robust regulation in these areas. The bank and subprime lenders kept up selling their mortgages on the secondary market in order to free up money to grant more mortgages. India must develop comprehensive policies to oversee real estate transactions and securitization practices. This includes enhancing transparency, preventing speculative bubbles, and ensuring that lending standards in real estate are rigorously enforced.
7. **Increased investments in infrastructure and innovations**: Infrastructure investment acted as a stabilizing force during the GFC recovery. Continued focus on infrastructure development both physical and digital can drive long-term growth. Encouraging innovation through research and development incentives and fostering entrepreneurship is equally critical for economic resilience.
8. **Building robust social security nets**: GFC had highly impacted employment and livelihood as we know that unemployment was above 9% even in 2010. India's limited social safety nets highlighted the need for stronger mechanisms. Expanding programs like direct benefit transfers, employment guarantees, and food security schemes can safeguard vulnerable populations during economic turbulence.
9. **Building a resilient financial sector**: The GFC revealed vulnerabilities in financial systems globally. India must prioritize robust financial regulation and oversight to ensure systemic stability. Strengthening the banking sector's asset quality, promoting financial literacy and inclusion and addressing non-performing assets (NPAs) are critical to minimizing risks during downturns.

Notwithstanding the havoc the GFC caused in global financial markets and the indelible mark it left on the sands of time, it exposed the loopholes in our financial system that could lead to even more disastrous consequences during future black swan events. Therefore, we need to build up a robust and resilient financial system in India by focusing on fiscal prudence, financial stability, economic diversification and global integration, so that India can stand headstrong during future economic shocks and achieve sustainable growth.

Ans 2. The GFC (Global Financial Crisis) or Great Recession which started in 2007,had a very severe impact on the financial condition of the world, started by falling of banks in US. After the GFC, India witnessed significant growth due to reformed policies and regulatory changes in the country. But the COVID_19 pandemic brought in the worst with the overall contraction of 7.3% for the 2020-21 year, thus reversing many of the gains. Thus, post-GFC saw growth in Indian economy due to certain changes in policies, these are:

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- Accessing the vulnerability during the GFC, the central regulatory body, RBI came up with new methods of risk management and mitigation to maintain stable banking system during the period of uncertainty.
- Diversified trading became an important factor during GFC, as the foreign imports were seized the need for trade through diversification became important. The need for expanding trades with multiple countries rather than depending on select few also came to light.
- Seld dependency became really important as unemployment increased and thus policies were integrated to increase employment within the country by increasing of opportunities and proving vocational training along with emphasis on rural development.

Due to the sudden invasion the black swan event like COVID-19 pandemic, the economic condition further saw huge drop in GDP and the lessons learned were:

- Health infrastructures, saw the immediate need for improvement both in urban and rural areas as the insufficient supplies along with lack of proper instruments and medicines increased further problems and the need of proper system seemed crucial to tackle emergencies during COVID.
- Digital transformation, became the need of the hour as the education and finance system totally stopped during the lockdown and the need for online classes and UPI and online banking were seen. Even healthcare system was dependent on the online system of vaccination booking, certificates, tests along with hospital formalities .Thus was seen the need of proper digital sector in rural India along with knowledge about cybersecurity.
- Environmental care: The need of a pollution free environment along with sufficient trees become a need seeing people gasping for oxygen. Thus the concept of sustainability along with energy efficiency came to light.
- Self Reliance and innovation, became important as due to the global shutdown, the dependency shifted on local industries and sectors as manufacturing and skill development improved and the sectors of pharmaceuticals and healthcare saw huge growth like catering to the needs of PPE kits to sanitizers and masks.

Thus, the issue faced during the unpredictable times of GFC and the COVID-19 taught many lessons and brought in changes in several policies and regulations to withstand any such critical situations in future which include:

- Risk management and mitigation: By maintaining and keeping in check of the fiscal deposit along with maintaining a stable financial system which is strengthened by regular performance checks and early detection of vulnerabilities along with keeping checks on NPA.
- Working on welfare: The need to work on the three sectors of development including health, education and social wellbeing is crucial for growth.By working on imporving the educational schemes so that enrolment increases along with focussing on skill development and innovation in sectors of healthcare along with development of healthcare centres could help in overcoming crisis situations.
- Global involvement: Working on developing global trades and diversification could help in improving the economy as well as collaboration with world could lead to forming of strategic policies which could help in dealing with the crisis with proper planning and resources along with focussing on sustainability.

India after braving the consequences of GFC and COVID-19 has learnt many lessons and has come up with several policies and regulations to overcome these uncertainties but still there is a need for a robust

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planning and mitigation to overcome the challenges that come in our way whether in terms of proper technologies for healthcare, global collaboration or sustainability , thus it's the need of the t ime to come together and collaborate for our country's economic development and growth to withstand future challenges.

Q16. The post-1991 economic reforms marked a watershed moment in India's economic history." Do you agree with this statement? Justify your answer by discussing the impact of these reforms on various sectors like primary, secondary and tertiary. (600 words)

Ans 1. The year 1991 was a watershed moment in India's economic history, as the country embarked on a series of major reforms commonly known as LPG (Liberalization, Globalization, Privatization) across the sectors which had altered the trajectory of India's economic history. The reforms were taken on the backdrop of balance of payment crisis which was primarily caused due to license raj, import substitution, high external debt and fiscal imbalances. Gross fiscal deficit rose to greater than 10% in 1991.

The LPG reforms were aimed to open the economy, reduce government intervention, promote foreign investments and integrate India into the global economy. These reforms have impacted every sector of Indian economy be it primary, secondary or tertiary fostering growth and integration with the global economy.

Impact on Primary Sector:

1. **Agriculture Growth**: The agriculture sector witnessed a slow yet consistent growth after the economic reforms. The sector was grappled with heavy regulations, restrictions and price control from government. The reforms encouraged competition providing farmer with better price for their produce and increase in export of agricultural products.
2. **Increase in Private Investment:** The reforms allowed various sectors such as mining, agriculture to get investment from the private industry which fostered innovation and gave access to the advanced technology of the west. The access to credit for farmers was also improved with the investment of private sector.
3. **Technological Advancement**: The reforms allowed the import of the advanced machinery, technology, tools to increase productivity of the primary sector. High yielding varieties of seeds were also imported and innovated in the country for better yields and to remain resilience against pests and climatic changes.

Impact on Secondary Sector:

1. **Infrastructure and Industrial development**: The infrastructure and industries once dependent upon public investment were open to the private investment which increased competition, efficiency of the sector. The regulated industries were brought down from 17 to 8 and then currently to 2. FDI was increased at a greater rate in infrastructure which further lead to industrial growth.
2. **Deregulation**: The industries were heavily regularized with cap on production, diversification and expansion which discouraged entrepreneurship and restricted growth. The deregulation led to increase in industrial activity, increase in competition and growth of industries and their capacities fostering growth and reducing dependencies on foreign countries.

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3. **Export Diversification**: The opening of the economy and the economic reforms increased competitiveness among the industries with and outside the country resulting in better quality products with reduced cost. This also led to setting up of new industries and various MSMEs which led to increase in export on various sectors and reduction in import as well. The increase in export diversification helped in maintaining a stable financial system in case of failure or setback in any particular sector.

Impact on Tertiary Sector:

1. **Growth in IT services**: The economic reforms turned India into a global powerhouse in terms of It exports and services. The impact was such that India jumped directly from an agrarian economy to service economy. India became IT outsourcing hub contributing to large number of jobs and high value of export.
2. **Increase in Financial services**: The economic reforms led to the entry of foreign banks, private banks and foreign financial institutions in the country which improved the competition among the public sector banks and led to adoption of advanced technology, better customer service and more accessible banking services.

The post 1991 reforms was indeed a watershed moment for India as it change the course of the economic history of the country and helped in bringing financial stability in the country. It led to the development in all the sectors of the economy and also led to human and social development as well. However there are some challenges that still need to be addressed in order to sustain the growth and development of the country such as skill development, infrastructure betterment etc. By continuing to address these challenges and investing in sustainable infrastructure and practices we can continue India's economic progress.

Ans 2. The economic reforms initiated in 1991 indeed represent a significant change in economic journey of India. These reforms turned Indian economy from pre-dominantly state-controlled economy to market oriented one, impacting various sectors significantly. The 1991 reforms were introduced primarily as a response to balance of payments crisis. The reforms aimed to liberalize, privatize and globalize India economy, by reducing the control of government and boosting private and foreign investment.

The key impacts of these reforms on various sectors are discussed below, one by one:

Primary sector: Although reforms were focused on industry and services sector, agriculture benefited indirectly. Things got better for primary sector also but challenges persisted such as lack of easy credit availability, poor modernisation and unequal access to resources, which needed to addressed to attain the sustainable growth.

a. **Liberalised trade barriers**: The ease of import tariffs and removal of export tariffs provided farmers access to high quality seeds, fertilizers, equipment and other agricultural inputs. Also, opening up the agriculture market allowed farmers to get higher price of their products from international market.
b. **Diversification**: Promotion of international trade encouraged farmers to produce cash-crops, horticulture with significant demand abroad which boosted the income of farmers and earned foreign exchange reserves.

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c. **Infrastructure**: Increased investment in rural infrastructure in field of roads, electricity etc. improved the connectivity and productivity in agriculture sector. Also, construction of warehouses provided the pre and post-harvest support to farmers.

Secondary sector: The secondary sector, consisting of industries and manufacturing, was significantly benefitted from 1991 reforms.

a) **Industrial Deregulation**: Ease of license raj boosted private investment in sectors which were earlier reserved for public players only. This encouraged the entrepreneurship in manufacturing wide range of commodities by improving competitiveness and transparency. The dismantling of license raj system reduced bureaucratic hurdles and promoted the entrepreneurship.
b) **Foreign direct investment**: Opening the economy for global market attracted huge flow of foreign direct investment in Indian industries which created the large-scale employment opportunities and increased the purchasing power of India consumer. Indian economy also benefitted with foreign technology, market and managerial expertise.
c) **Privatization**: Entry of private players in manufacturing sector boosted the efficiency, productivity and competitiveness. Privatisation also helped reduce the fiscal burden of the government.

Tertiary sector: Tertiary sector covering services witnessed the most significant transformation post 1991.

a) **Growth of IT and ITES**: The liberalization and globalisation boosted the growth in Information Technology (IT) and Information Technology Enabled Sector (ITES) sectors. India started to come-up as a hub of IT sector, post-reforms.
b) **Financial sector reforms**: Financial sector of India also experienced reforms such as income tax reform, enhanced regulatory supervision, establishment of private banks and deregulation of interest rates etc.
c) **Telecommunication**: Liberalisation of telecommunication sector resulted in rapid modernization and growth of the sector, making communication more accessible and affordable for masses.
d) **Tourism and hospitality**: Ease in travel restrictions posed India as a great tourism destination among foreign tourists. India started to attract a large of foreign tourists which strengthened the Indian economy by bringing economic growth and employment. Boost in tourism sector also boosted the handicraft and other related sectors.

The post-1991 economic reforms marked a watershed moment in India's economic history by making India economy more open and market oriented. These reforms also highlighted the importance of measures to address infrastructural crisis, regulatory shortcoming and prevailing inequalities to achieve sustainable growth and inclusive society.

Q17. How did the Global Financial Crisis (GFC) impact India's economy? Discuss the measures taken by the fiscal and monetary authorities to mitigate its effects while ensuring economic stability (600 words)

Ans 1. The Global Financial Crisis (GFC) had the significant impacts on the Indian economy in areas such as trade, finance and commodity prices. Though Indian economy was relatively insulated, spill over impact was faced by Indian economy reversing many gains achieved post 1991 reforms.

The key impacts of GFC on Indian economy are discussed below:

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a. **Trade disruption**: The global slowdown reduced the demand of Indian goods in foreign market particularly impacting the textile, gem and jewellery sectors. This reduction in exports impacted the GDP growth also.
b. **Commodity prices**: Fall in the overall commodities prices resulted in lower value of Indian exports. Further, depreciation of domestic currency also increased the burden on exporters. However, this reduction in commodities price also reduced the import bill of India by significant reduction in oil prices.
c. **Currency depreciation**: At time of crisis, the demand of more stable and safe currencies such as dollar increased and investors rushed towards which lead to depreciation of domestic currency in terms of dollar.
d. **Capital outflow**: Foreign portfolio investors also pulled out investments in Indian stock market due to panic in global financial system. The sudden large scale exit of portfolio investors caused the stock market crash like situation in India.
e. **Slow GDP growth and liquidity crunch**: The GDP of India was ranging above 9% before GFC; it started to slide in the range of 5-6% due to global slowdown. Also, bank and NBFCs faced shortage of funds due to capital outflow by portfolio investors.

To mitigate the impact of GFC on Indian economy several range of measures were taken by authorities. Fiscal measures include:

a. **Fiscal stimulus**: Government of India announced packages worth trillions of Rupees to support the crumbling state of economy. It infused funds to boost manufacturing, infrastructure and employment. Also, tax cuts were announced to increase the household consumption. Schemes such as MNREGA got enhanced funds which sustained the rural economy.
b. **Export incentives**: In order to bring back the exports on tracks, many schemes incentivising exports were announced. Govt. provided subsidies to exporters, established more SEZs and removed many restrictions of exports.
c. **Public sector investment and disinvestment delays**: To stimulate the consumption and economic activities, government infused additional equity in public sector. Further, it delayed the plans of disinvestment from several public entities to provide stability in equity market.

Monetary measures:

a. **Intervention in forex market**: Due to the high demand of dollar globally, Rupee depreciated significantly which resulted in high import bills for India. To ensure the smooth flow of currency, Reserve Bank of India intervened in the forex market by selling of dollars and buying the Rupee, which provided some sort of stability to Rupee.
b. **Easing liquidity and policy cuts**: To ensure the required liquidity with banks, RBI reduced the Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR). These reductions increased the fund availability with financial institutions. Further, policy cuts were introduced to boost credit availability in economy.
c. **Financial sector reforms**: To protect the financial sector from future shocks, financial sectors reforms were introduced such as adoption of Basel-III norms, stringent regulatory framework over financial sector and enhanced risk management practices.
d. **Capital market measures**: To support the capital market, bank and other financial institutions were allowed to invest in corporate bonds and equity market etc.

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The GFC impacted Indian economy in several ways and tested the resilience of Indian financial system. The proactive and collaborative measures by fiscal and monetary authorities mitigated the adverse impact of the crisis and prepared Indian economy for future challenges also. The lessons from GFC are the main reasons behind the current strong and resilient Indian economy.

Ans 2. The Global Financial Crisis occurred in 2007-08 with its origin from the US where housing sector was collapsed which led to the failure of the financial institution and banks as banks gave loan to the subprime borrowers which inflated the housing prices and after the bubble was busted it led to the economic shock across the global economy.

Although India was not directly affected from the crisis due to its very limited exposure, the spillover effects were still seen in the Indian economy through reduction in trade, investments and economic growth. The stock market witnessed high volatility and there was significant decline which plummeted investors wealth and confidence. Export was reduced due to financial crunch in the US and other affected economy which led to increase in unemployment in the country. Foreign investments were reduced significantly and even there was capital outflows that override the capital inflow leading to liquidity shortage and slow development.

Measures taken to mitigate the effects of the GFC:

1. **Fiscal Stimulus**: The government announced the fiscal stimulus packages to increase demand and spending by the consumers by investing in infrastructure, industries and rural development which will further lead to increase in public spending.
2. **Monetary policy measures**: RBI slashed the repo rate and also decreased the CRR requirements allowing the cheaper loans , increasing liquidity in the banking system and also encouraged banks for lending more to businesses. RBI by slashing the reverse repo rate as well.
3. **Refinancing of Institutions**: The government announced the refinancing of the affected institutions such as NBFC and other sectors to improve the finances of the company and pull them from the industrial sickness so as to improve the growth and employment rate.
4. **Support to Export driven sectors**: The government laid special focus on supporting the sectors which were export oriented by providing incentives and subsidies.
5. **Infrastructure Development**: Government started to invest more in the physical and social infrastructure to increase the inflow of the investments and to be self reliant on various measures by reducing the infrastructure constraints.
6. **Counter Cyclical Fiscal Policy**: Government and Rbi decided to use the counter cyclical fiscal and monetary policy measures so as to better deal with such crisis and recessionary cycles and mitigate the impact investing more during such crisises.
7. **Forex Market Intervention**: Rbi intervened in the forex market to keep the rupee stable against the global currencies and maintain exchange rate stability to keep the import and export in check with a balance in both.
8. **Relaxing Regulations**: RBI relaxed various regulatory norms temporarily so as to provide relief to banks and other institutions to recover from the shock of the crisis and enable their working with minimum constraints and restrictions.

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9. **Tax Reliefs**: Government announced tax relief measures to both individuals as well as businesses and corporates to boost demand and increase the production and expansion to get the economy back in the track.

India was among the few countries that avoided the direct exposure to the Global financial Crisis reducing its impact on the economy but spillover effects were still seen by decrease in economic growth, slowdown in exports, trade and reduced foreign investments. India took a series of fiscal and monetary measures after the crisis to mitigate its effect such as export diversification, slashing policy rates, providing subsidies and tax reliefs. These measures ensured a rapid recovery and helped the economy to get on the path of resilient growth.

Q18. Analyse the issue of fiscal deficit in India, highlighting the role of (FRBM). Discuss the challenges faced by the government in managing the fiscal deficit in the current economic context and suggest measures to achieve sustainable fiscal consolidation (800 words)

Ans 1. Any imbalance between government receipts and expenditures will result in either a deficit or a surplus. Indian government experiences an overall deficit due to higher expenditures on developmental and welfare activities. Fiscal deficit is the difference between the government's total expenditure and its total receipts excluding borrowing.

Gross fiscal deficit= Total Expenditure – (Revenue receipts + non-debt creating capital receipts)

Over the years, India's budget has seen a fiscal deficit due to inadequacy of government revenues for financing its expenditure. Fiscal responsibility and budget management act was enacted in 2004 to provide an institutional framework and bind the government to adopt prudent fiscal policies.

Fiscal Responsibility and Budget Management Act-

The Fiscal Responsibility and Budget Management Act, 2003 (FRBM) is an Act of the Parliament of India to improve fiscal discipline, reduce India's fiscal deficit, improve macroeconomic management and the overall management of the public funds by moving towards a balanced budget.

The act was enacted to support India's economy which was undergoing through high fiscal deficit, high revenue deficit and high debt-GDP ratio in 1990s and 2000s.

Some of the major roles of the act are as follows:

- To reduce the fiscal deficit by 0.3% per annum and reach the levels of 3% fiscal deficit by 2008-09.
- To reduce the revenue deficit by 0.5% per annum and to eliminate revenue deficit by 2008 09.

The set targets could not be achieved by the end of 2008-09. One of the major reasons behind such failures was the 2008 international sub-prime crisis. The act was again revised in 2012 with fiscal deficit target of 3% of GDP by 31st March, 2015 which again remained incomplete.

Therefore, the FRBM Act was revised by the N.K Singh Committee recommendations in 2018. Some of the clauses of FRBM Amendment Act, 2018 are as follows:

- To limit the fiscal deficit up to 3% of GDP by 31st March 2021.

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- General government debt shall not exceed 60% by the end of 2024-25.
- Central government debt shall not exceed 40% of GDP by the end of 2024-25.
- Any deviation from fiscal deficit target shall not exceed 0.5% of GDP in a financial year.
- The central government shall not borrow from RBI except through the means of Ways and Advances.
- As per the escape clause, deviations of up to 0.5% of GDP from the stipulated fiscal deficit target may be allowed under special circumstances.

The fiscal deficit of India in 2023-24 was 5.6%, and according to the recent budget our fiscal deficit for the year 2024-25 is estimated to be 4.9%. As we know that the targets of fiscal deficit have not been met, the challenges being faced by the government currently are-

1. **Subsidies and Welfare spendings**- India's subsidy programs and social welfare schemes like Mudra, PM-SVANidhi, PM- Awas Yojana, and others insert fiscal pressures. To control fiscal deficit along with welfare schemes is a challenging task.
2. **Less Revenue** – Due to tax-evasion and large informal sector, the government faces difficulties in generating sufficient revenue to cover the expenditures.
3. **Infrastructure and capital spending**- To increase the economic growth, huge amount of investment is required in the infrastructures like transport, buildings, industries which conflicts with the measures of fiscal consolidation.
4. **Geopolitical conflicts**- Rising oil prices due to Russia-Ukraine war, US strict tariff policies influence our fiscal consolidation.

Several measures can be taken to ensure sustainable fiscal consolidation which are as follows-

- **Strengthening Revenue Collection**: The tax collection administration should be strengthened and the tax base can be broadened to increase tax collection. Taxed should be introduced more on luxury items and wealth.
- **Managing Expenditures**: Government expenditures should be supervised to identify inefficiencies and spend in priority sectors like healthcare, education and infrastructures.
- **Debt Management**: The government can diversify the investor base and sources of financing to reduce the exposures to market risks. Refinancing risks can be minimised through efficient debt management plans.
- **Fiscal discipline**: The government should adhere to the rules and targets set by the FRBM Act. The debt-to-GDP ratio should be reduced to ensure sustainable public finances.

Therefore, by proper implementation of fiscal consolidation measures, India can try to effectively manage its national as well as fiscal debt. There are several challenges on our way to achieve our f iscal deficit target but India must undertake structural reforms, widen the tax base, rationalise subsidies and ensure fiscal discipline to foster sustainable fiscal stability. A balanced approach towards our short-term and long-term growth can help us attain our sustainable fiscal consolidation.

Ans 2. India has historically faced high fiscal deficit due to its development needs and infrastructural investment. Fiscal deficit is the difference between the government 's total expenditure and it's total receipts excluding borrowing, it has been a persistent concern for India as there are significant causes that Indian governments uses for budget while sometimes it's important to borrow to enhance growth of an

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economy but the issue of fiscal deficit is increasing continuously in India which highlights the importance of fiscal policies.

Issues of fiscal deficit

a. **High subsidies** - Indian government uses a big portion of budget in subsidies on various goods like food and fertilizers by borrowing heavily from central bank which leads to inflationary pressure on an economy.
b. **Increased spending during downturns** - During 2008 financial crisis and Covid 19, government borrow a hefty amount from international organisation like world bank, IMF and utilise it in social programs. some borrowing is necessary but large borrowing which was not so needed enhance inflation as it increased money supply in the market.
c. **Lesser investment in long term goals**- Borrowing was used for the short-term goals eventually which do not benefit much instead use it for long term like infrastructure, defence education, health which will help out in long term.

To reduce high fiscal deficit government launched fiscal responsibility budget management act (FRBM) to manage the fiscal deficit by reducing the debt burden of future generations. The FRBM Act was enacted in August 2003 aims in introducing transparency in fiscal deficit with a long-term objective to achieve fiscal stability.

Role of FRBM

a. **Reducing fiscal deficit** - This act sets a target for reducing the fiscal deficit to 3% of GDP by 2008 by imposing limits on government borrowing and expenditure, pushing for a balanced budget which helps in long term growth of an economy like more expenditure on infrastructure, health, education sector which eventually helps in growth and enhance income.
b. **Enhanced transparency** - This act pushes the government to disclose details about the fiscal situation including medium term policy.
c. **Limited borrowing from RBI** - Government can borrow money from RBI only through ways and means advances at repo rate for 90 days which limits unlimited expenditure.

Still many challenges were faced by the Indian economy in managing fiscal deficits like

a. **Impacts of Covid 19** - The Covid 19 pandemic led to a sharp increase in fiscal deficit because of high borrowing and expenditure on healthcare, social schemes and there were no such income generation because of that large amount were used in subsidies in food, fertilizers and eventually reduces revenues collection and widened fiscal deficit.
b. **shortfall in revenues** - Due to inefficiency in the tax system, many people evade taxes due to its complex issues and inefficiencies in tax structure and administration which reduces revenues and expand and fiscal deficit.
c. **High subsidy burden** - Government used a large portion of its revenue in freebies like in food, farmers, women through different schemes like PM garib kalyan yojana, PM kisan, Unemployment allowance by borrowing funds from international organisations which eventually increase fiscal deficit.
d. **Interest payment and past debt** - As a significant portion of the budget is going in the repayment of interest and past loans. This limits the funds available for some other essential services.

Measures for fiscal consolidation are

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a. **Investment in long term**- There is a significant requirement of public investment in infrastructure, healthcare, education sector which helps India to sustain its economic growth and development
b. **Employment generation** - To reduce expenditure on social sector schemes like unemployment allowance, free food Indian government should focus on schemes which will enhance quality education, skills, generate more employment through entrepreneurship and focus on enhancing income and utilise demographic dividend in a better way.
c. **Disinvestment** -Government can sell its portion in government organisations which are loss making or inefficient in making profit as it will enhance its revenue for the short term and reduce government financial loss of salaries and management of that company.
d. **Strengthen FDI** - By enhancing limit on foreign direct investment in various sectors like in defence, insurance, manufacturing, to 100% helps in boosting capital and in the creation of jobs and helps to reduce unemployment rate in India. It also helps in technological enhancement, competition which helps Indian companies to compete provide better services and goods to consumers and focus on exports rather than imports.

Managing fiscal deficit in India is a complex process as there were many issues like spending on subsidies to focus on short term gain but FRBM acts provide a strong framework which helps in transparency and limit on borrowing by government but it's success is depend on government's commitment to address challenges in current economy but with implementation of measures suggested above India can achieve fiscal consolidation.

Q19. Discuss the fiscal and monetary reforms introduced in India post-1991. How have these reforms contributed to the country's economic growth and stability? (600 words)

Ans 1. The year 1991 marked a significant turning point in India's economic history. In 1991, India was undergoing a severe balance of payments crisis and we had only two weeks of foreign exchanges reserves for import and the inflation was rising. To address this concern, our then Finance Minister, Dr Manmohan Singh introduced some economic reforms that transformed India from closed socialist economy to market-oriented and liberalised economy.

Following 1991 reforms, several fiscal and monetary reforms have been introduced in India.

FISCAL REFORMS-

a. **Introduction of GST**- Goods and Services tax was introduced on 1st July, 2017. GST has made it very difficult for a business entity to be not part of the chain, thereby curbing tax evasion, increasing the revenue collection of the government.
b. **FRBM Act, 2003**- The Fiscal Responsibility and Budget Management Act, 2003 (FRBM) is an Act of the Parliament of India to improve fiscal discipline, reduce India's fiscal deficit by 0.3% per annum and to 3% of GDP and maintain financial stability.
c. **Disinvestment and Privatisation**- After the reforms, companies like BALCO, VSNL, Hindustan Zinc were privatised and Air India, Maruti Udyog, BPCL were disinvested strategically thereby reducing the burden of the government.
d. **Expenditure towards Priority sectors**- The government prioritised expenditures towards sectors like health, education and infrastructure to curb the fiscal deficits.

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MONETARY REFORMS-

a. **Change in India's exchange rate policy**- India shifted from fixed exchange rate system to managed floating exchange rate system that has brought flexibility along with required regulations in the market.
b. **Introduction of Monetary Policy Committee**- Earlier the policy rates were decided by the RBI itself, but in 2016 the MPC was formed with the recommendations of the Urjit Patel Committee that consisted of three additional members to represent the government of India.
c. **Inflation targe**ting- After the introduction of the MPC, the inflation has been targeted to keep it at 4% with a tolerance band of + and – 2%. This has helped us reduce inflation to a great extent and ensure financial stability in the economy.
d. **Regulation of Capital Markets**- The Securities and Exchange Board of India (SEBI) was granted statutory powers to regulate and supervise the capital markets. Electronic trading was introduced that increased the FDI and FPI in India connecting it to the global markets.

The monetary and fiscal reforms introduced post-1991 reforms brought great impact on the economic growth and stability of the country in the following ways:

a. **Rapid economic growth**- The disinvestments and privatisations, expansions of the capital markets, infrastructural growth led to rapid increase in GDP growth from 3-4% to 7-8% very soon post 1991.
b. **Increase in FDI and savings**- In connectivity with the global markets, through efficient regulation of the capital markets, brought in huge foreign direct investments and surged the saving rates in the economy.
c. **Poverty Alleviation**- The rationalised expenditures towards the prioritised sectors improved the health, education and the standard of living of people. According to the multidimensional poverty index released by the NITI Aayog, 24.82 crore people have moved out of poverty in the last 9 years.
d. **Controlled inflation**- Monetary reforms and increased repo rates by the MPC has helped to control inflation in the last few years to remain in the bandwidth of 4 to 6%.

After the 1991 reforms in the fiscal and monetary policies, though the problems like regional disparities, gender inequalities and others exist, but the reforms have laid the foundation of the fastest growing and financial stabilizing nation. Moving forward on the path of fiscal consolidation and financial inclusion, we can soon realize our aspiration of being a developed economy by 2047.

Ans 2. The time period post 1991 was a watershed moment in India's economic history as it brought various reforms in response to a severe balance of payment crisis and slowing economy. Many fiscal and monetary reforms were introduced in India post 1991

Fiscal reforms –

a. **Rationalization of tax structure** - A phased reduction of extraordinarily high rate of import duties from 200% in 1991 to 25-30% for certain items and direct tax structure has been greatly reformed and tax base was broadened to reduce evasion which helps in revenue and government also abolished the wealth tax, and later on in 2027 GST was launched by subsuming all central and state taxes into a single tax and it brings more transparency.

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b. **Disinvestment and privatization** - Government sell a portion of a public sector company to improve their profits, reduced their expenditure and burden of public debt.
c. **Expenditure management** - Government reduces their expenditure on subsidies to reduce fiscal deficit, and direct benefit transfer was introduced for better targeting if subsidies and reduce leakage, expend on long term goals like infrastructure, education which enhances skills , healthcare sector by launching schemes like MGNREGA , stand up India , which promote entrepreneurship and contribute in economic growth .
d. **FRBM act** - Fiscal responsibility and budget management act, 2003 introduced to limit borrowing or reduce fiscal burden on government by setting a limit on borrowing and by increasing investment in long term.

Monetary reforms –

a. **Deregulation of interest rate** - The reforms helped in changing previous interest rate to market determined interest rate which will provide flexibility to banks by allowing them to freely adjust interest rate which enhanced competition among public and private banks.
b. **Adoption of Basel norms** - India adopted Basel norms in 1999, these norms are introduced by Basel committee on banking supervision which aims to provide stability and risk management in the banking sector, like before 1991 India faced high NPA, poor asset quality but after adopting norms it focused on capital adequacy requirement like CRAR that should be 9% for Indian banks and helped in better risk management.
c. **Formation of FEMA** - Foreign exchange management act was introduced in 1999 to encourage foreign investment, external trade and enhance overall integration with world by promoting a more open and market-oriented approach and it helps in simplification of foreign financial transaction
d. **FITF** - Flexible inflation target framework was adopted in 2016 by RBI to control price volatility and with that formation of monetary policy committee will help in regulation and inflation target was set up 4% with a lower and upper limit of 2% and 6%.

Fiscal and monetary reforms helped a lot in economic growth and stability

a. **Higher economic growth** - Due to various measures taken by government with the help of Reserve Bank of India led to a significant increase in growth from 3-4% in 1991 to around- 7% in subsequent decade. This was driven by increased investment, high foreign investment, by using dividend demographic.
b. **Reduction in fiscal deficit** - Decrease in subsidies, limited borrowing, focusing on long term projects like infrastructure , healthcare , education will enhance revenue and reduce fiscal deficit .
c. **Increased in Foreign reserves** - As FDI limit was increased in various sector upto 190% which enhanced more capital investment in India and in 1991 there was approx $5 Bn of foreign reserves which increased that in 2024 India has approx $ 600 bn foreign reserves which helos in maintaining currency, and promoting trade and investment.
d. **Social sector improvement** - as LPG policy helps in social sectors like education, infrastructure, healthcare ss India noticed a significant rise in literacy rates from 50% in 1991 to 80% in 2024 and also shows a decline in poverty.

Overall fiscal and monetary reforms have had a positive effect on the country's economic growth and development, these reforms helped in high growth, improved exports and saw huge improvement in social sectors still some sectors are lagging behind for that policymakers and government should come

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together and make policies according to that by utilising our demographic dividend and make India a developed country by 2047.

Q20. Critically analyze how initiatives like establishment of 'plug and play' industrial parks in nearly 100 cities, as proposed in the Union Budget 2024-25, can enhance India's manufacturing capabilities and attract FDI. Discuss the challenges for implementing schemes in improving the manufacturing sector. (600 words)

Ans. In 2024-25 budget session, setting up of Industrial parks in 100 cities through plug and play model was proposed, which gave fillip to the manufacturing sector and enhance further India's manufacturing capabilities. Plug and Play refers to the mechanism in which all the essential utilities like electricity, regulatory permits, infrastructure, water, basic technological set ups etc. are pre-built and thus companies can directly come and start the business with minimal paper work and therefore focus more on their operations part. This model can be game changer model as it addresses the various challenges and its advantages are-

a. Ease Business Operations-This model could simplify business operations as time would be saved of the Investors and thus ready infrastructure could boost the efficiency and productivity.
b. Filip To domestic manufacturing-With these industrial parks being set up ,it could attract huge capital inflows and boost the manufacturing sector's contribution to GDP as these centers would be single point of contact for their operations and thus reducing turnaround time at every stage thusmaking investment friendly.
c. Skill Strengthening and Job creation would be increased due to more companies getting attracted towards investor friendly policies.This would also ease the business to hire the workforce as in a single zone they will be able to recruit manpower and also labour force would be skilled according to the industry demands and technical skill running in the market.
d. Increased Revenue-Business would be able to generate more revenue with less investment and capital saving policies because of the ease of plug and play model.
e. Regional economic growth would also be accelerated by setting up of Industrial parks as it would it give opportunities to local industries to expand and grow as well.
f. Improve in Supply chain efficiency-The plug and play model would integrate the primary and secondary sector and thus reduce logistics and operational costs, thus with better linkages and increase in supply chain efficiency.

However, there are certain challenges with respect to implementing of Manufacturing sector, some of them are-

a. **Structural unemployment**-With wide variation in skills of the labour force and industrial demands, addressing skill gap remains one of the biggest concerns as it contributes to unproductivity and under utilistion of demographic dividend and thereby companies finding difficult to recruit skill manpower with technical know-how.
b. **Red tapeism**-With issue like corruption and scams prevailing at various instances it leads to misutilization of the funds and therefore delay in set up of businesses affecting the business environment.

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c. **lack in Infrastructure and Technological support**-With Infrastructure lagging behind, it leads to operational inefficieny, higher operational costs and thus failing to retain FDI's and shifting of foreign companies to countries with better infrastructure.
d. **Environmental and Social livelihood Aspect**-With setting up of manufacturing hubs, industrial parks, it leads to deforestation, polluting of the rivers due to their effluent discharge thus affecting the aquatic ecosystem and water of the rivers. Apart from it, it also leads to displacement of the Tribal and vulnerable population from their original habitat. For example-In Odisha, a place called as Niyam giri where bauxite mine was acquired by the Vedanta Mine and witnessed huge protest.

Thus, this plug and play model and addressing these challenges ,would give filip to the manufacturing sector however continuous monitoring, implementation and structured approached is imperative to harness the full potential and enhance manufacturing capabilities to make India a developed nation by 2047 with sustainable practices in an inclusive manner.

Q21. What are the current challenges faced by India in attracting FDI, and how are recent government initiatives addressing these issues? Suggest future measures to further enhance FDI inflows and support India's goal of becoming a developed nation by 2047 (600 words)

Ans 1. Foreign Direct Investment (FDI) is when any party acquires an ownership stake in a foreign company for the long term. It's a non-debt creating capital flow in the economy and gives the investor direct control in the management of the organization. Recently, as per DPIIT, the FDI inflow crossed over $1 trillion from the 2000-2024 period. Despite achieving remarkable achievements, the FDI in still India is facing several challenges.

The challenges faced by India in attracting FDI inflows are as follows:

a. **Infrastructure deficit:** There is a lack of poor infrastructure in rural areas and some sectors. Due to this, the same share of FDI is not reached properly which leads to economic disparity.
b. **Complex tax laws**: The complex tax regimes and issues related to transfer pricing hindered the investment. Also, due to high tax compliance sometimes leads to legal disputes and financial loss of the organization.
c. **Labor market impact**: As FDI increases the number of jobs but the nature of work, job security, and displacement of people are a matter of concern Also, the wage provided to labor is less.
d. **Threat to local business**: The international competition among investors hampered the local MSMEs. They find difficulties in competing and scaling with big organizations or investors.
e. **Environmental concern**: The rise of investment in the mining and manufacturing sectors comes at a cost to the environment. There is no proper policy support or auditing framework resulting in the deterioration of ecosystems and nearby communities.

To address these challenges the government has taken several measures so to attract investment and maintain a balanced growth. The measures are explained below:

1 **Liberalized FDI policy**: By increasing sectoral caps in automatic routes for certain sectors India attracted much investment in defense, telecom, retail, and insurance sectors.

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2 **Promoting Ease of Doing Business**: With the decrease in Red tape and compliance burden and by enhancing the regulatory approvals in digitized format India strengthened the ease of doing business. Accordingly, India ranks 63rd in the World Bank's Doing Business Report.
3 **Schemes**: Schemes such as Make in India, Start-Up India, and Production Linked Incentive (PLI) helped India in bringing lots of investment.
4 **Bilateral agreements**: The Bilateral agreements and Free Trade Agreement helped the economy attract investment by providing greater market access, improved investor confidence, and providing legal protections.
5 **Infrastructure development**: Various initiatives such as Bharatmala (Roads), Sagarmala (Ports), Industrial corridors, PM Gati Shakti, etc. helped in building world class infrastructure and led to an increase in FDI in logistics and manufacturing.

As many measures are effective in attracting investment but to support India's goal of developing India by 2047 there is a need to adopt some measures. Some of these are discussed below:

1. There is a need to formulate separate policies for manufacturing, Special Economic Zones (SEZ), Coastal Economic Zones (CEZs), and other sectors.
2. By implementing insurance mechanisms to manage political risk and protect foreign investors from geopolitical risks.
3. Strengthen and enforce environmental regulations, regularly audit FDI projects for their environmental impacts, and ensure sustainable business practices.
4. Encouraging investment in R&D is crucial along with supporting startups, promoting industry-academia collaboration can attract many investors.
5. There are required anti-corruption laws and establish robust safeguards to ensure a transparent and fair business environment.

The FDI is an indicator of a country's political and socio-economic stability. The increased investment fosters India's vibrant and resilient economy. There are some challenges and with proper collaboration between public and private sectors the FDI inflow in the economy can be expected to increase rapidly and India will become a power house of Global investment and driving sustainable economic growth and progress.

Ans 2. Foreign Direct Investment means any company based out of India, investing in the Indian domestic market for setting up business by collaborating with Indian entity, thus with aim of earning profit. This investment is long term in nature and is not volatile, but rather stable unlike Foreign Portfolio Investments. Attracting FDI is an crucial to attract Investors as it brings innovation, healthy competition and strengthens forex reserves, which strengthen capital account of the country. However, there are certain challenges in attracting FDI in India, some of them are-

1) **Regulatory Compliance**-With complex and tedious procedures of entering in Indian market and tax laws, thus complying with it often hinders the foreign investors to Invest in India. Thus, due to which Vietnam is now becoming most preferred destination with other factors also adding up and therefore many MNC's are rushing towards the south east Asian country.

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2) **Center state political feud**-Due to political thrift between center and state it delays the setting up of plant, land clearances etc. and thus affecting the overall sentiment and course of business which does not makes environment business friendly.

3) **Unskilled Workforce**-The lack of technical skills required with the changing work dynamics globally is also an major factor of foreign investors being reluctant to invest. The rigid and complex labour laws of the country also affects business efficiency and operations.

4) **Lack of Infrastructure**-Due to lack of infrastructure facilities as compared to the competing nations, it increases the logistics cost and manufacturing price, which decreases the net profit margin.

To overcome this challenges, Government of India has taken various initiatives, some of them are-

a. **Production Linked Incentive scheme**-PLI scheme for 14 sectors worth 1.97 lakh crore has been brought up to boost manufacturing and providing incentives to the companies, thus making it a lucrative deal for the companies.
b. **Automatic route approval**-In many of the sectors, Government of India in consultation with RBI has liberalized FDI approval in automatic routes like automobiles, tourism, IT, e commerce etc.
c. To Nurturing **Business friendly environment**, DPIIT set up Non -profit institution "INVEST INDIA", which serves as a national investment promotion and facilitation agency of India.
d. Setting up of **Special Economic zones** with zero tax on goods and establishing International Financial Services Center Authority (IFSCA) in GIFT city, Gandhinagar to bring capital inflows and make India a preferred destination for investment.

These measures are being implemented by Government of India aggressively and UNCTAD's World Investment report in which India ranked 15th from 8th in 2023, due to some geopolitical factors, however India remained one of the top destinations in greenfield projects and international project deals, which shows India has huge potential to attract more FDI than its current investments. Thus, to further enhance FDI inflows, some of the measures which should be implemented are-

a. **Building Infrastructure**-Government of India should focus more on infrastructure projects by public private partnership model as increase in capital expenditure would reduce logistics cost in long run,make business friendly and also generate revenue in future.
b. **Strengthening Skills of the workforce**-With rapid technological advancements, skilling of workforce is essential so that company can get local expertise and manpower and thus easing business operations.
c. **Protecting IP rights-**Reforms towards strengthening IP rights should also be looked upon.
d. **Easing Regulatory Compliance**-The complex process of compliance must be eased to make investment friendly environment and efforts should be on digitization of the onboarding, paper less work and providing technical know-how and legal consultants to make the process seamless.

Thus, various initiatives have been taken and are implemented. Further addressing the above lacuna's and taking a nuanced approach India can boost FDI inflows and achieve goal of becoming a developed nation by 2047.

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Q22. Discuss how recently passed labour codes can have a transformative impact on labour empowerment in India. Also, discuss the challenges associated with the codes and suggest future measures for the same. (courtesy - Drishti IAS) (800 words)

Ans 1. Labor is a factor of production and laws pertaining to it are significant for the efficient functioning of the economy. With the intention of streamlining labor market operations, offering flexibility, and improving the working class's economic and social security, the government passed four Labor Codes, unifying 29 existing Central laws in 2020. These include:

1. Code on Wages 2019

2. Code on Industrial Relations 2020

3. Code on Occupational Safety, Health and Working Conditions 2020

4. Code on Social Security.

These laws have a transformative impact on the economy in the following ways.

1 **Social security to workers**: The code prescribes a minimum wage for the workers and ensures t imely payment of wages too. It can improve the average income of the workers and financial planning.
2 **Flexibility to Industries**: Working conditions are to be notified for industries with more than 300 workers against the earlier limit of 100 workers. Small companies can deal with uncertainties efficiently without worrying about commitments, offering more flexibility.
3 **Women empowerment**: The code advocates for equal pay for women and also for the employment of women in night shifts in all sectors provided the employers ensures for their safety. This can directly improve the labor force participation of women.
4 **Streamlining of litigation and disputes**: The code prescribes amicable ways to settle disputes and sets a code for organizing strikes by mandating a 60-day notice period. Also, it reduces the dispute over wages as the floor wage is fixed by the central government.
5 **Focus on the informal sector and migrant laborers**: The code ensures the security of platform, gig, and contractual workers by advising the companies to set up a fund with a contribution of 1-2% of annual turnover. It also provides a definition for migrant labourers which helps in better inclusion in social schemes.

The Labour Codes address various issues plaguing the labour market but there are challenges ahead in implementing these and materializing into results.

a. **Issues with the protection of labor rights**: As mentioned earlier the companies need not issue a standing order on terms and conditions of employment if the worker strength is less than 300. Although this can increase the flexibility for companies, it can add to job insecurity and stoppage of income at unexpected times. This will adversely affect the vast majority of workers in small-scale industries.
b. **Lack of provisions for affordable housing**: The code demands companies to provide travel expenses to migrant laborers, but doesn't recommend for providing affordable housing. This can significantly affect production because traveling up and down can be time-consuming and expensive.

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c. **Constitutional challenges**: Since labour belongs to the Concurrent List of the Constitution, both the Centre and State can make laws regarding it. This can lead to a conflict of interest between both parties and delay implementation.
d. **Neglect to rural workers:** The Code is more focused on urban workers and related issues. It entirely dismisses the issues faced by workers in rural areas, self-employed workers

25 out of 28 states have made drafts of the Labor Codes, and the results of these changes can be understood only after its much-awaited implementation. Nevertheless, by observing the model various suggestions can be made for its improvement in the future.

a. **Provisions for housing of workers**: Countries like China inhabit its workers in dormitories constructed by employers in state-sponsored land. Such policies can be adopted in India to offer safety and security to the workers and increase their efficiency at the same time.
b. **Focus on skilling programs**: Although the Code recommends the skilling of retrenched workers by the employer, its scope should be widened by advocating for upskilling of employees on a regular basis, at least for high turnover companies as a pilot.
c. **Focus on women**: The Code has brought some changes in improving the working condition of women like increasing the maternity leave from 12 to 26 weeks. Women should be provided facilities for stay, especially those working night shifts. Focusing on improving women's participation in the manufacturing sector can give a boot required by the sector.
d. **Recognition of unpaid labor**: Non-monetary exchanges like unpaid domestic work and family members working in agricultural farms should also be brought under the purview of labor laws to increase visibility.

The unified Labour Laws is a significant move towards balancing the flexibility of labor market and the security and rights of workers. These efforts can aid economic growth and development in India by triggering private investments. It can also attract Foreign investments as rigid labour laws have always been a constraining factor.

Ans 2. The recently passed labor codes are a promising attempt at labor empowerment and at enhancing the ease of doing business. It aims at simplifying and consolidating the existing twenty-nine labor codes into four. The labor codes are The Wage Code 2019, The Industries Relation 2020, The Workforce Safety, Health and Working Conditions 2020 and The Code on Social Security 2020. While the changes can have transformational impact on labor landscape in India, the implementation can be challenging and requires strategic execution.

Positive Impact of the Labor Codes:

- **Consolidation and improvement of labor codes**: The old labor laws are complex webs that is very difficult to understand and get by with. The four new labor codes aim to simplify and consolidate the 29 laws into four broad codes with significant improvements.
- **Acceptance of Minimum Wages**: Since labor laws are in the concurrent list, which means it can be interpreted both by state and union government, leading to varying thresholds for minimum wage in different states. The recent codes provide uniformity and even minimum wages across India.

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- **Enhanced Social Security Net**: With the inclusion of informal economy under the labor codes, the ambit of social security net is going to be widespread. Social security schemes such as PF, NPS etc. are going to enroll more and more workers.
- **Improved Work Conditions**: For a company with 10 or more workers, it is mandatory to comply with The Workforce Safety, Health and Working Conditions 2020. It will lead to improved work conditions for all specially for women workers presence of facilities like creches, canteens etc. boost participation in the economy and promote work satisfaction.
- **Promotion of digital technology**: Use of tech enabled systems for registration, monitoring of compliance and feedback gathering makes the processes more transparent and reduces harassment of the help seekers. It provides empowerment to raise voice against injustice and provides protection against bribes, bureaucratic delays etc.
- **Gender Gap Closure:** Providing support to women with workplace facilities, social security initiatives and discouraging pay parity can lead to closure of gender gap and help India achieve sustainable development goal 5 – gender equality.

Probable challenges in implementing the Labor Codes:

- **Coordination from various stakeholders**: Execution of the new codes at grassroot level requires coordination from state government, employers and the trade unions. Strategies to being all these stakeholders under single umbrella can be brainstormed to ensure successful enforcement.
- **Inclusion of unorganized sector**: 90% of the country's workforce is employed in unorganized sector. Synchronizing this with the labor codes can be a complex beat to achieve. Lack of awareness and comprehensive database can create a blindside to implementation.
- **Skill Development**: The labor codes stress on re-skilling of laid off employees so to achieve that skilling and training infrastructure needs to be developed which India lacks currently.
- **Data Collection and Monitoring**: Ensuring and monitoring compliance to these codes can be a daunting task as majority of Indian workforce is not formalized and there is no data coverage for them to enable checks and alerts on non-compliance.
- **Hesitation from employers**: Providing satisfactory workplace amenities, complying to minimum wage, enrolling into social safety schemes can be financially burdening for the employers. The might not be motivated to comply with the codes and might look for ways to evade them.

Possible future measures to ensure success of the labor codes implementation:

- **Harnessing technology**: For spreading awareness about the new labor codes, data collection on informal sector, and formulating targeting policies, comprehensive data collection is a must, which can be achieved by leveraging the power of digital technology. Also, to formulate compliance frameworks, monitoring etc technology can help in cutting cost and promoting ease and transparency.
- **Skilling and capacity building**: Capacity building is needed for enforcement of labor codes and government need to train the human resources for the same. Also, grievance redressal needs informed and skilled staff so capacity building and training should be enhanced.
- **Involvement of stakeholders**: Collaborations and discussions with various stakeholders and involving them in decision making and providing listening ears to their view can minimize conflicts and maximize ground level implementation.

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- **Incentivizing compliance**: Employers might be motivated to evade the labor codes as implementing them can be financially burdening for them. Providing tax breaks, incentives, subsidies etc. can ensure more compliance.
- **Focus on the migrant workers**: Migrant workers are most vulnerable groups in turbulent times or during policy changes. Special attention to be provided to them while formulating policies and strategies for implementation.

The aim to enhance labor ecosystem with better wages, working conditions, security net and industries relation is a welcome move and can increase FDI inflow, create better working conditions and make workforce more inclusive. Promoting sustainability in the approach, conducting regular feedback and updating the labor codes accordingly will lead India to a empowered and future ready workforce.

Q23. Trace the evolution of monetary policy in India. Discuss the key direct tools & indirect used in monetary policy and analyze their effects on the economy. (600 words)

Ans 1. Monetary policy is the set of decisions taken by the central bank in the country to maintain money supply and interest rate in the market. The goal of monetary policy in India is to control the inflation while keeping the objective of growth. The evolution of Monetary policy started from the establishment of Reserve Bank of India in 1935 under RBI Act 1934.

The evolution of monetary policy in India can be classified into seven different phases,

1. **Initial phase (1935-1949):** During this phase main objective of monetary policy was to keep the parity with British money by regulating the liquidity.
2. **Synchronisation with five year plans (1949-1969):** After Independence the government aimed for planned economic development. So the five year plan was evolving around the requirements of five year plans.
3. **Credit planning(1969-1985**): During this phase the bank nationalisation happened,which ensured the availability of credit. But during this phase stagflation was present, with high inflation and reduced growth, making the tools like open market operations and bank rate inefficient.
4. **Monetary targeting (1985-1998**): These phase of deficit financing and high inflation RBI increased the CRR and Bank rate and made the monetary targeting as formal monetary policy frame work.
5. **Multiple indicator(1998-2015**): During this phase along with monetary aggregate other forward looking indicators like credit, output, inflation, trade are included in monetary policy.
6. **Inflation targeting(2013-2016**): Here pre conditions are set for inflation targeting and RBI adopted a gliding path to tackle inflation.
7. **Flexible inflation target (2016 onwards**): From 2016 onward RBI has kept an inflation tolerance band of 2-6% and adopted policies to keep the inflation within this limit.

RBI has conducted the monetary policy through certain tools which can be classified as direct and indirect tools.

Direct tools helps RBI to maintain the inflation target without the interference from the other parties like banks and other financial institutions. This tools includes CRR, SLR and refinancing.

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1. **Cash Reserve Ratio(CRR**): The percentage of NDTL that a bank should maintain with the RBI as liquid cash or cash deposits .CRR helps to maintain the cash flow in the economy. If CRR decreases it will increase the cash flow in the market and thus reduces the interest rate, promoting spending.
2. **Statutory Liquidity Ratio (SLR**): Minimum amount maintained by banks in the form of cash or near cash items. It will also controls the liquidity available in the market thus controls spending and inflation.
3. **Refinancing**: The repayment of previous loans or rescheduling it with change in terms. This will also help to control the money supply in the market and impact growth.

Indirect tools helps to maintain or adjust inflation with the help of other parties like financial institutions. These include Repo and Reverse Repo rates, LAF, MSF OMO etc

1. **Repo Rate**: The rate at which RBI provides liquidity against the collateral of government bond. The repo rate reduction helps the bank to avail more liquidity, thus increases borrowing in the economy by making it cheaper.
2. **Reverse Repo rate**: The rate at which banks can park their excess liquidity with RBI. This will reduce the money supply in the economy.
3. **Liquidity Adjustment Facility(LAF**): Allow banks to borrow money through repurchase agreements. It will also helps to control the money availability in the market through banks.
4. **Open Market Operations(OMO**): The RBI purchases or sells the government securities in the open market from or to banks and individuals. These will also adjusts the liquidity in the economy.
5. **Marginal standing Facility(MSF**): penal rate at which banks can borrow overnight from RBI by dipping into their SLR. Reduced MSF helps to increase the liquidity in the economy.

RBI controls the inflation without impacting the growth through monetary policy by utilising certain tools which are direct and indirect in nature. Through this RBI can keep inflation within its tolerance band and ensure the financial stability of Indian economy.

Ans 2. Monetary policy involves set of policy measures taken by the central bank of any country to control the money supply in the economy. In India, Reserve Bank of India (RBI) is the controller of monetary policy and tries to maintain a balance between growth and inflation while also ensuring financial stability. This policy in India has evolved over a period of time depending upon the needs of the economy in following phases.

1. **1935 to 1949**- During the initial phase, RBI tried to maintain a balance in the money supply by using traditional measures like Cash Reserve Ratio (CRR) and Open Market Operations (OMO).
2. **1949 to 1969**- In this phase, the monetary policy was linked to the requirements of five year plans. The tools being used majorly were CRR, OMO, bank rates, etc.
3. **1969 to 1985-** This period was characterised as that of liquidity crunch due to bank nationalisation leading to widening their base, and frequent wars. The tools used in this period involved bank rates, CRR, OMO etc. were largely ineffective and the economy suffered from stagflation.
4. **1985 to 1998**- During this period, there were major changes in the nature of Indian economy. The bank rate, CRR and Statutory Liquidity Rate (SLR) were raised to control the rising inflation while trying to balance growth. However, the approach was flexible depending upon the changing conditions.

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5. **1998 to 2015-** In this period, RBI followed multiple indicators approach where it tried to assess various indicators like exchange rate, inflation, trade, capital flow etc. These indicators formed input for the monetary policy decisions.
6. **Post 2016**- In the year 2016, Monetary Policy Committee (MPC) was formed following the recommendations of Urjit Patel Committee which started following flexible inflation targeting approach. Here MPC uses various quantitative and qualitative tools to maintain the inflation to a set level with a target band of +/- 2%.

As monetary policy requires various tools, key direct tools and their impact on economy are-

1. **CRR**- Cash Reserve Ratio refers to the prescribed percentage of the deposits of the banks which it has to keep as reserve with RBI.
    a. Effects – An increase in CRR requirements decreases the money flow in the economy and a reduction in it increases its flow.
2. **SLR**- Statutory Liquidity Ratio refers to the proportion of total deposits that banks have to keep with themselves in form of liquid assets before extending credit to the customers.
    a. Effects- Similar to CRR, SLR can be raised or reduced by MPC to decrease or increase money supply respectively.
3. **Credit rationing**- Credit rationing involves setting the maximum limit on amount of loans that can be extended by the banks to particular set of borrowers.
    a. Effects- Through this measure, RBI puts direct control on the flow of credit and can direct it to the sectors facing liquidity crunch.

Some of the indirect tools are-

1. **Repo rate**- Repo rate is the rate at which banks can borrow funds from RBI against government securities as collateral. It is a kind of repurchase agreement.
    a. Effect- RBI raises or decreases the repo rate transmission of which further influences the lending rates for all the participants in the economy.
2. **Reverse repo rate**- It is the rate at which banks lend funds to RBI in exchange of government securities.
    a. Effect- Similar to repo, an increase in reverse repo rate decreases the money supply and vice versa.
3. **Bank rate**- It is the rate at which banks can sell or get their bills discounted from the RBI.
    a. Effects- An increase in bank rate also tightens the money flow while a reduction in it increases the liquidity.

Therefore, there are multiple ways through which monetary policy can operate in an economy. It is important for the central bank to use these tools effectively after monitoring the real economic conditions. This would help them to be more effective and help the financial system to be strong and resilient.

Q24. Amid the ongoing debate on the inclusion of food & beverages in the Consumer Price Index (CPI), critically examine its implications for the effectiveness of the MPC in addressing inflationary trends and ensuring monetary policy stability and accountability. (600 words)

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Ans 1. Monetary Policy Committee under chairmanship of RBI governor is responsible for the conduct of monetary policy which ensures the financial stability of Indian economy by controlling inflation and ensuring growth. The MPC is also responsible for any changes in the inflation level beyond the tolerance band for more than three consecutive months.

In India the inflation is measured using two indices, Wholesale price inflation and Consumer Price inflation(CPI). Recently there is a debate going on about the inclusion of food and beverages in CPI, Because these inflation is the main cause of the inflation being in the upper tolerance level. This inflation is climate dependent, so it is beyond the central banks control. These are the main reasons for the debate about inclusion of these factors in CPI.

But these factors have importance in the effectiveness of monetary policy committee, though effective management of inflation by

a. **Share of food and beverages in CPI**: Foods and beverages has highest share in consumer price inflation which is 46% . So role of these factor in determining inflation cannot be undermined.
b. **House holds budget**: The food and beverage inflation is mainly due to inflation of Cereal, pulses and Vegetables. Cereals includes rice and wheat and the dal is a pulse, which are staple food for Indians. The vegetable inflation is mainly contributed by tomato, potato and onion (TOP), which are also integral part of Indians meal. The increase in the price of these items will affect the household budget.
c. **Purchasing Power**: As the food and beverages are essential item to survive, the increase in the price of this essential commodity will decrease the spending on other items. This will lead to decreased purchasing power of the population thus hinders the growth.
d. **Supply side constrains**: This inflation is also caused by the bottleneck in the supply chain. So exclusion of this inflation will also leaves the bottlenecks in the supply chains unattended, affecting the movements of other items and also leads into policy mistakes
e. **Second round impact**: If the food and beverage inflation kept unattended it will lead to second round impact on production and wages.

As ex-RBI governor Mr. Shaktikanta Das said, The food and beverage inflation has a greatest share in determining consumer price inflation. So neglecting its impact won't be a wise decision as it has effect on the impact of monetary policy. Even though food price inflation includes factors which are outside the central banks decisions, keeping it unattended will affect the overall inflation and economic growth because most of Indian household's expenditure arises from food and beverages. So tackling this inflation is important for the effectiveness of monetary policy in addressing the inflationary trends and ensuring the monetary policy stability and accountability.

Ans 2. The Monetary Policy Committee (MPC), in India uses Consumer Price Index (CPI) under its flexible inflation targeting framework where it aims to keep it in range of 4% to 6%. CPI is the measure of increase in prices of a basket goods and services in an economy over a year from the viewpoint of consumer. At present, the weightage of food and beverages in CPI basket is around 46% which makes it very volatile. Thus, there have been debates on excluding the food prices from this targeting framework.

However, this inclusion of food & beverages is very important for effectiveness of MPC in following ways-

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a. **Assessment of actual impact on poor**- Inclusion of food prices in inflation targets of MPC is important as it helps in monitoring of actual impacts on the consumers. As per Household Consumption Expenditure Survey (HCES), around half of the population in country spend nearly 40-50% of their income on food. In this scenario, to ensure efficacy of monetary policy for the general public, food inflation should always be taken into account.
b. **Impact on household savings**- MPC decisions have important influence on household savings and therefore also on the investments in the economy. An reduction in policy rate looking at crude inflation at the time when food inflation is high can have detrimental impact on the savings. In this way it would hamper the investment activities, and economic growth as well. This would impact the effectiveness of MPC in balancing inflation and growth.
c. **Encourages further policy measures**- Inclusion of food inflation in CPI inflation band also draws attention of key policy makers. In this way, it encourages required policy actions in terms of supply side measures or other government interventions.

However, high weightage of food and beverages also leads to certain challenges in the maintenance of monetary policy stability. Some of them are-

a. **Excessive fluctuations**- As the food prices are very volatile, they keep changing at frequent intervals. Due to this, it becomes difficult for the MPC to adjust policy rates to adjust to these fluctuations. Several times, the changes in policy rates to address short term price fluctuations can have long term impacts on the money supply.
b. **Limited role in supply push inflation**- If the rise in food prices is due to disruptions in supply chain, the impact of monetary policy in that case is limited. In this case rise in policy rates to reduce money supply can create a situation of high inflation with a lower rate of growth. In this scenario, the government interventions to increase the supply would be more effective.
c. **Reduced focus on other commodities**- Excessive weightage of food in CPI reduces the focus of MPC decisions on other commodities. It may include prices of durable goods, health, education, etc. A balanced indicator should represent all the commodities in adequate proportion.

Therefore, though food and beverages are important components of the consumer's basket, excessive focus on them can increase challenges in path of monetary policy stability. However, as the food cannot be completely ignored, a reduction in its weight in the CPI can provide a viable alternative. In this way, MPC can achieve its objective of ensuring money supply with accountability thereby also maintaining a balance between economic growth and inflation.

Q25. Why are efficient capital and money markets crucial for India to achieve its goal of becoming a developed nation by 2047? Discuss how these markets contribute to economic growth and development, with relevant examples (600 words)

Ans 1. Financial markets in India are broadly divided into two categories i.e. the money market and the capital market. The money market, which deals in short-term financial instruments that mature within a year, and the capital market, which deals in long-term financial instruments like shares, are both equally crucial for the long-term growth of any country. An efficient financial market ensures the right and timely mobilization of funds and smooth financial operations within an economy playing a pivotal role in growth.

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The money market and capital market are crucial components of the country's financial system. They contribute to the growth and development of a country in the following ways-

Money market-

1. **Accessibility to funds**- An efficient money market provides enhanced accessibility to funds for businesses. With the money market, quick and low-cost funds are easily accessible contributing to the expansion of the business. Example- Businesses like RIL (Reliance Industries Limited) issue commercial papers for access to quick funds.
2. **Innovation and research-** For the development of a new product or a new technology, meeting the short-term fund requirements for research can be easily carried out with money market instruments. By raising funds through the money market, business can increase their scope of research and innovation. Example- Tata Motors raised funds through the money market for carrying out r&d for EV mobility.
3. **Liquidity requirements**- Money market instruments help in meeting the short-term liquidity mismatch of businesses. Businesses often require overnight funds to carry out business activities for which they use the money market. Example- Banks indulge in borrowing money from the call money market for overnight liquidity requirements.

Capital market-

1. **Infrastructure development**- Infrastructure projects that require high capital can be f inanced through efficient capital markets by providing large and comparatively cheaper credit options as compared to financial institutions. For example- the NHAI has issued bonds multiple times to fund the development of roads and highways with amount as high as 10,000 crores.
2. **Business expansion**- With the use of efficient capital market instruments, companies can raise capital for the expansion of their business activities. Capital markets provide eased accessibility to funds even for startups that sometimes find it hard to meet capital requirements from conventional sources of credit. Example- Startups like Zomato have launched their IPOs for an expansion in their business activities by sourcing funds from the capital markets.
3. **Attracting FDI and FII**- An efficient capital market helps in attracting FDI and FII that eventually contributes to the overall growth of the economy by bolstering the businesses. Example- Businesses like RIL, HDFC, and Adani group have attracted significant FDI and FII to expand their business activities.
4. **Corporate governance**- Efficient capital markets lead to enhanced transparency and corporate governance practices due to regulations laid by regulators like SEBI. This builds investors' confidence and helps in attracting more investment. For example- IT sector companies like Infosys and TCS have upheld high governance practices and transparency which has attracted investments and contributed to growth opportunities.

India is on its way to becoming a $30 trillion economy by 2047. To become a developed nation by that time, efficient capital and money markets become crucial contributors to the growth. Efficient capital markets are instrumental to growth and development as they help in resource mobilization, business expansion, infrastructure development, and much more. With the effective use of efficient financial markets, India can pave its way to growth and fulfill the aspiration of becoming a developed nation by 2047.

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Q26. "Examine the role of the Reserve Bank of India (RBI) in fostering financial inclusion and promoting economic development in the country. (400 words)

Ans 1. Since its inception on 1st April 1935, the Reserve Bank of India has taken several developmental roles in terms of banking regulations, payment & settlement systems, forex markets, and many more. Successful navigation through various economic downturns has proven its prudent measures and strict vigilance in the economy. Winning two times "Governor of the Year Award" by former governor Shaktkanta Das is a prime example of the same.

RBI's approach to financial inclusion and economic development has gone through ups and downs with the passage of time.

A) Role of RBI in Financial Inclusion:

a. **Banking Services**: By regulating the financial system it ensures that every citizen of the country has the basic financial services in hand. Implementing PMJDY (Pradhan Mantri Jan Dhan Yojana), and Lead Bank Scheme (1969) is a key component for opening banking services in the economy. As per the government data, nearly 53 crore bank accounts have opened since inception out of which 67% opened in rural and semi-urban areas.
b. **Digital Payments**: The development of IMPS (Immediate Payment Services) and Real Time Gross Settlement has initiated the digital payment ecosystem in India. And afterward, it gets boosted by the Unified Payment Interface and the introduction of Payment banks in the country.
c. **PSL**: For making sure inclusive development the RBI introduced Priority Sector Lending. It streamlined all the efforts of a certain district for financial inclusion. Under this segment, a scheduled commercial bank has to spend 40% of the Adjusted Net Bank Credit to the marginalized section of society like Agriculture, MSME, Renewable Energy, etc.

B) Economic Development:

a. **Monetary Policy:** The RBI is the monetary authority of India. With help of rate change, it controls the inflation in the economy. Balancing between the growth and inflation levels is a pivotal responsibility of RBI.
b. **Forex management**: The RBI handles the forex transaction on behalf of the government of India. Maintaining a high forex reserve gives confidence in international trade. Higher forex reduces the default of international loan payments, fostering high rating for India, and lucrative investment opportunities in the country.
c. **Banking Regulation and Supervision**: The RBI is the regulator and supervisor of the banking system in India. It provides directions to the banks, regarding what path should they follow for the betterment of the socio-economic development of India.

The constant increase in the score of the Financial Inclusion Index (64.2 for March 2024) shows RBI's commitment to full financial inclusion in India. On the other hand, retaining the fastest-growing economy tag for quite a long time prevents the collaborative effort of RBI and GoI. Moving forward, collaboration, innovation, and strict monitoring will be crucial for further development.

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Q27. "Digital Public Infrastructure instrumental in promoting financial inclusion says RBI governor" Critically analyze the above statement (600 words)

Ans 1. In an increasingly interconnected world, Digital Public Infrastructure plays a cornerstone role in an efficient, secure, and digital society. Digital Public Infrastructure DPI refers to interoperable, secure, and scalable digital systems that provide various public services like identity proof, payment mechanisms, storage of documents, etc. India's DPI consists of Aadhar, Unified Payment Interface, Digi Locker, Bhashini, etc.

DPI is one of the key drivers of financial inclusion in the economy

a. **Universal Access**: Every corner of the country can access the DPI as it is an online system. It helps the government to its aim of inclusive development in the country. The rural and semi-urban sections can be upgraded with the help of DPI. The Direct Benefit Transfers through the BSBD account are the main drivers for the eradication of poverty.
b. **Lower Transaction Cost**: Being an online medium the DPI lowers the cost of fund transfer significantly. Also, leakages can be prevented through it. For example, transferring money through UPI does not involve any charges. And on the other hand, according to Budget 2024, the government has saved Rs. 2.7 lakh crores with a DBT of Rs. 34 lakh crores.
c. **Entrepreneurship**: New and emerging sectors of FinTech and payment settlement systems leave a huge space for entrepreneurship in this segment. For example, companies like third-party UPI service providers, cross border payment systems, and wearable payment methods are in a rising trend in recent times.
d. **Global Presence**: The introduction of DPI not only helps India but also all the collaborating nations in terms of financial inclusion in their respective nations. As per the official government data, till now India has collaborated with more than 12 nations including Sri Lanka, Nepal, Singapore, etc for the spread of DPI

However, with all the positive aspects of the DPI have many drawbacks

a. **Data Privacy and Security**: The collection and storage of large-scale public information poses concerns about frequent data breaches and misuse of financial information. It leads to the deterioration of public trust in the DPI. For example, Bharat Sanchar Nigam Limited BSNL suffered a loss of 278 gigabytes of data recently. On top of that, incidences of Digital Arrest have captured the helpline in recent times.
b. **Monopoly in the Market**: Early penetration of large companies sidelined the business opportunities of another domestic or international payer in the DPI market. It raises the issue of concentration risk in the market. For instance, the third-party payment system using the UPI market is majorly captured by PhonPe and Google Pay (nearly 85%)

The government along with the regulators have taken several measures to mitigate related problems.

a. **Establishment of Act:** The government of India came up with the Digital Personal Data Protection Act 2023 for the strict regulation regarding privacy and personal data protection.
b. **NPCI**: The National Payment Corporation of India decided to impose market cap restrictions on the third-party UPI service providers in the country. It is decided for a 30% market cap. However, the deadline for the same has been postponed to 31 December 2026.

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In short, just like physical infrastructure- roads, bridges, factories- the digital public infrastructure provides an instrumental role for financial inclusion and the overall development of the nation. Addressing the shortcomings, establishing further use cases, and rapid internationalization will be crucial for the future of DPI. India's UPI has already gained attraction from the global stage, hopefully, we will produce the same result for DPI, resulting in India a "Digital Nation".

Q28. Critically analyze the current state of India's agriculture and industrial sectors. How can these sectors contribute to India's vision of being a developed nation by 2047? (600 words)

Ans 1. India's agriculture and industrial sectors are centerpiece of its economic growth and development and therefore vital for India's vision of being a developed nation by 2047. According to the economic survey of 2024-25, India's agriculture sector contributes 16% to GDP, employing 46% of the population with 5% annual growth rate. At present agriculture sector in India is riddled with several challenges:

1. **Monsoon dependence**- Due to its utmost dependence of seasonal rainfall, agriculture is vulnerable to climate change, water shortage and uncertainty in weather patterns. Natural hazards like floods or heavy rainfalls severely affects agricultural produce and farmers livelihoods.
2. **Lower agricultural yield-** In India farming is still practiced using traditional methods with inefficient irrigation systems and outdated equipments which reduces agricultural yield and hinders growth. Further, partitions in lands leading to fragmented farming practices affects the yields.
3. **Supply chains issues**- The supply chain in India is not properly equipped and is often disrupted. Storing facilities are poor, transportation infrastructure is inadequate, and market access is limited.
4. **Farmer income**- Farmers in India often face low and unstable incomes. The lack of social security and financial support in dire circumstances threaten their financial stability.

Agriculture can contribute in our economy's development in following manner:

1. **Agricultural modernization**- Agri-tech solutions such as artificial intelligence and IoT based agriculture monitoring can boost productivity. High-yielding crop varieties, better irrigation systems and soil based studies can improve outputs and further help in reducing water wastage.
2. **Sustainable farming practices**: Adopting to organic farming, crop diversification and reducing reliance of chemical fertilizers can increase long-term food security.
3. **Upscaling infrastructure**- Storage facilities, transportation and cold-chain infrastructure should be upgraded to improve market access and reduce post-harvest losses.
4. **Farmer welfare and income support**- Direct financial assistance, crop insurance, skill development and better implementation of Minimum Support Prices can go a long way. Further financial inclusion is necessary.

India's industrial sector is a key driver of its GDP as India is transitioning away from primary sector to secondary and tertiary sector. The key challenges to industrial sector are:

1. **Low manufacturing productivity**- India's manufacturing is largely focused on low-value added production and its manufacturing productivity remains low. India faces tough competition from China, Vietnam etc.

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2. **Poor infrastructure**- The biggest hurdle to industrial sector is gaps in infrastructure- poor logistics, inconsistent power supply, inadequate transportation facilities and low connectivity with ports and railway.
3. **Skills gap**- A large population in India lack the skills needed for modern manufacturing and industries, which limits the sectors growth and capability to innovate.
4. **Weak R&D**- India's is relatively weak in innovation and research and development which makes it hard to compete in the competitive world.
5. **Regulatory hurdles**- India's complex regulatory and taxation compliances creates barriers for businesses.

Industrial sector can contribute to India's economic growth in following manner:

1. **Make in India 2.0 and manufacturing growth**- India needs to focus on indigenous manufacturing particularly in high-value added sectors such as aerospace, electronics and pharmaceuticals. Production linked incentives schemes should be revamped.
2. **Infrastructure development**- Infrastructure should be built including roads, ports, railways and energy infrastructure. Smart cities and plug and play industrial parks should be developed to attract investments.
3. **Skills development**- India should invest in upgrading technical education aligned with industrial needs. Vocational training programs should be boosted.
4. **Innovation and R&**D- India should focus on creation of incubators and technology parks to encourage start-ups and industry-academic collaborations.
5. **Ease of Doing Business reforms**- Labor laws, tax systems and business regulation needs to made more business friendly to attract foreign direct investment in India.

With such reforms, India would be able to extract most out of its agriculture and industrial sector which in turn would help India in realizing its ambition of becoming developed nation by 2047.

Ans 2. An economy majorly consists of 3 sectors – primary [agriculture], secondary [manufacturing] and tertiary [services] sector. In case of India agriculture and manufacturing sectors employ the highest workforce but cumulatively contribute less than the services sector. This is because of the unique phenomenon where India jumped directly from the agriculture to services sector bypassing the manufacturing [industrial] sector.

The current state of the agriculture and industrial sector through a bird's eye view is as follows:

Agricultural sector:

a) This sector employs nearly half of the workforce in the country. However, it contributes to 17.5% of the GDP (at current prices in 2015-16).
b) India is one of the highest producers of milk and food grains [second highest producer of fruits and vegetables]. However the agricultural yield is lesser then that of the advanced economies like US and Brazil.
c) Key strategies which have been adopted to boost agricultural productivity include enhanced accessibility to credit [PSL – Priority Sector Lending], boost in technology adoption [drones for fertilizers], greater access to irrigation facilities [PM-Krishi Sinchayee Yojana] etc.

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This sector has immense potential which is yet untapped. Unleashing this potential would help us achieve our vision of becoming a developed economy [DE] @ 2047 in the following ways:

a) **Boost in forex reserves**: Agricultural exports such as that of wheat, rice, sugarcane etc. can help us earn valuable foreign exchange [forex] which can act as a cushion against price shocks, strengthen economic stability and reduce currency volatility.
b) **Rural Development**: Agricultural growth can enhance the living standards of our farmers which would lead to agricultural mechanization, enhanced productivity and overall rural infrastructural development. This would lead to reduced income inequality and rise in per capita income of our country.
c) **Food Security**: Agriculture can help us tackle the twin menace of poverty and malnutrition. The paradigm shift to growing millets and pulses and various welfare initiatives to ensure nutritional security will help us enhance human capital and reap our demographic dividend.

Industrial [Manufacturing] sector:

a) The industrial sector is considered an integral pillar in the country's economic growth contributing around 20% of the nation's GDP and over 25% of the country's workforce [majority of them are associated with the informal sector].
b) India has the capacity to export goods worth US$ 1 trillion by 2030 and is on the road to becoming a major global manufacturing hub.
c) The current phase has been dubbed the "golden era" of India's industrial boom by industry experts. Positive changes in the manufacturing sector, such as increased merger and acquisition activity, supportive government policies, expanded production capacity, and substantial investments from private equity and venture capital, are building a strong foundation for the nation's long-term economic success.

The industrial sector can also contribute in a similar way as the agricultural sector through the following ways:

1. **Attract investments**: Booming industrial sector has a direct correlation with rise in GDP growth. This boosts investor's confidence leading to an increase in FDI [foreign direct investment] and FII [foreign institutional investment] leading to exchange of cutting-edge technology, valuable forex earnings and economic stability.
2. **Reap demographic dividend**: Industrial sector can utilize the young and skilled workforce to boost overall production, export of heavy goods and overall consumption [demand] leading to economic growth.
3. **Increased urbanization**: Industrial sector can lead to rise of urbanization propelling infrastructural development. This can create a virtuous cycle creating job opportunities, accessibility to basic health/education and reducing discrimination/inequality.

Hence both the twin pillars of "agriculture" and "industrial" sector are invaluable towards economic growth and socio-economic development. The existing challenges in both the sectors are being addressed through various government initiatives indicating a progressive approach. India is like a phoenix – which will rise from the ashes and lead from the front by becoming a DE @ 2047.

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Q29. Evaluate the impact of recent government initiatives like the NMSA, PMFBY, NICRA schemes on India's agricultural sustainability. How can these efforts contribute to addressing climate resilience and food security by 2047? (600 words)

Ans 1. India has introduced several initiatives to improve agricultural sustainability, climate resilience and food security which includes National Mission for Sustainable Agriculture (NMSA), Pradhan Mantri Fasal Bima Yojana (PMFBY) and National Initiative on Climate Resilient Agriculture (NICRA).

1. **National Mission for Sustainable Agriculture**:

NMSA was launched under India's National Action Plan on Climate Change to promote sustainable agricultural practices. It focuses on use of organic farming, water-use efficiency, soil health improvement and climate-resilient cropping patterns.

Impact on Agricultural Sustainability, climate resilience and food security:

a) Soil Health enhances soil fertility, promotes biodiversity and prevent soil degradation. Crop diversification ensures that farmers security against monsoon unpredictability.
b) Efficient irrigation techniques helps in conservation of water which addresses water stress and increasing agricultural productivity in India.
c) Diversification in crops will secure farmers from monsoon unpredictability. NMSA contributes to climate resilience by enhancing soil health, improving water use efficiency and promoting sustainable agricultural practices. It will help farmers adapt to changes in climate conditions, reduces risk associated with crop failure and extreme weather events. Resilient farming practices boosts food security by improving agricultural productivity.

2. **Pradhan Mantri Fasal Bima Yojana** (PMFBY):

PMFBY aims to provide crop insurance to secure farmers from losses due to natural calamities and diseases. It provides affordable insurance cover to farmers in case of crop failures.

Its impact on agricultural sustainability, climate resilience and food security:

a) PMFBY reduces the financial risks due to erratic weather patterns worsened by climate change. It secures crops against floods, droughts and other weather conditions.
b) This scheme is safety net to prevent farmers from falling into poverty due to crop loss. It further improves their capacity to afford better seeds, fertilizers and use modern farming techniques.
c) It reduces the likelihood of widespread crop failures, stabilizes food supply chains and maintains food production. It also covers disruption in supply chain due to unforeseen circumstances hence ensuring food security.

3. National Initiative of Climate Resilient Agriculture (NICRA):

NICRA involves research, technology development and climate adaption practices. It focuses on improving resilience of crops, livestock, fisheries and agriculture systems from climate change impacts.

Its impact on agricultural sustainability, climate resilience and food security:

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a) NICRA focuses on developing climate-resilient agricultural technologies such as water efficient irrigation systems and drought resistant crop seeds to promote improved farming practices and climate smart agriculture.
b) This also focuses on training farmers regarding climate-smart agriculture, to ensure they adopt new technologies and practices. These secure farmers from extreme weather events and changing climate patterns.
c) NICRA ensures food security across agriculture and allied activities sector. The broader spectrum of its ambit supports diverse sources of nutrition and income for farmers.
d) NICRA address climate vulnerabilities by boosting climate resilience across agricultural sectors. It emphasizes on climate-smart agriculture and diversification which improve sustainability of farming practices. It boosts agricultural productivity and resilience hence securing long-term food security.

NICRA can contribute to India's vision of addressing climate resilience and food security by 2047:

a) **Climate resilience**- These initiatives equip farmers with adequate resources to adapt to climate changes. By stressing on use of climate-resilient crops, water-use efficiency and climate-smart practices, they can mitigate the risks caused by erratic weather patterns and ensure regular agriculture production.
b) **Food security**- PMFBY provides insurance, NMSA provides sustainable agricultural practices and NICRA advances climate-resilient research which together can secure India a steady food supply. This will ensure steady crop yield, mitigate risks and improve farming practices to help keep food-based inflation in control, reduce supply chain disruptions and prevent food shortages.

With continued efforts to enhance sustainability, research and policy support, these initiatives can ensure financial protection against climate changes and food security of India's population by 2047.

Ans 2. India is primarily an agrarian economy where the agriculture sector employs nearly half of India's workforce and contributes nearly 18% to the overall GDP. With the evident challenges of increasing population, depleting groundwater resources, loss of soil fertility and erratic nature of monsoon – there is a rising need for "sustainable agriculture".

The recent government initiatives have played a huge role in ensuring agricultural sustainability some of which acted as torchbearers for the above such as:

a) National Mission for Sustainable Agriculture (NMSA):

- It is one of the Missions within the National Action Plan on Climate Change (NAPCC) which aims to evolve and implement strategies to make Indian agriculture more resilient to climate change [CC].
- It aims to mitigate the impact of climate change on water and food security.
- Under NMSA, the Per Drop More Crop aims to improve on-farm water use efficiency, enhance the adoption of precision irrigation and other water saving technologies for which subsidy is being provided to the beneficiary to increase the area under micro irrigation.

b) National Innovations in Climate Resilient Agriculture [NICRA]:

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- Launched by ICAR [Indian Council of Agricultural Research] under MoAFW [Ministry of Agriculture and Farmers' Welfare] aims to study the impact of climate change on agriculture which includes crops, livestock, horticulture, fisheries etc.
- It aims to target the extreme weather prone regions which are vulnerable to floods, droughts, heat waves etc.

c) PMFBY [PM – Fasal Bima Yojana]:

- Aims to provide insurance for agricultural crops.
- It provides a comprehensive risk cover for crops to farmers against all non-preventable natural risks including the entire life cycle of the crop [pre-sowing to post harvest].
- The major aim was to promote sustainable agricultural practices by ensuring financial security against harvest losses and crop damage.

Efforts such as PMFBY, NMSA and NICRA mentioned above can play a huge role in addressing food security and climate resilience through the following means:

1. **Credit accessibility**: With initiatives like PM-FBY farmers have enhanced access to credit which promotes sustainable agricultural practices such as organic farming, integrated pest management, in situ moisture conservation etc.
2. **Boosts Productivity**: These initiatives can help farmers reduce their crop losses using climate resilient/high yielding seeds, crop monitoring mechanisms using drones, real time weather analysis etc.
3. **Enhance soil fertility**- Sustainable agricultural practices can reduce soil leaching and weathering under the influence of chemical fertilizers and pesticides. This can improve the health of the soil profile boosting productivity and doubling the farmers' income.
4. **Crop Diversification**: Efforts such as NICRA and NMSA has allowed farmers to adopt resilient intercropping systems and break stereotypical agricultural practices and shift to alternate crops such as pulses, oilseeds, millets boosting nutritional security and tackling the menace of hunger and malnutrition.
5. **Resource management**: Sustainable practices promote site –specific nutrient management, integrated pest management using bio-pesticides and micro –irrigation methods such as drip and sprinkler preventing depletion of groundwater tables.

India has progressed significantly w.r.t. sustainable agricultural practices. With appropriate checks and balances in place to address existing challenges such as digital illiteracy/digital divide, costly deployment of technology and bureaucratic delays – India shall soon see a paradigm shift w.r.t. share of the agriculture sector in the overall GDP contribution. The aim is to replicate the Sikkim Model to the entire country which made it earn the tag of "The First Organic state".

Q30. ADB cuts India's growth estimate for FY 2024-25 but highlights continued resilience of the services sector. Critically analyze the current state of India's services sector. While highlighting factors responsible for resilience and significance of these factors on pathway to India

Ans 1. India's service sector is the major contributor to GDP in India. The sector comprises industries like IT, IT-related services, tourism, hospitality services, financial services, insurance, medical-related services,

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transportation, etc. Today India is one of the fastest-growing major emerging economies, and the credit for this stellar growth goes to our resilient services sector in India. There are many factors that are involved in the resilience and growth of this sector.

The current state of the services sector in India is as follows:

1. India's service sector contributes to almost 30% of the overall workforce of the economy. The availability of cheap labor with India's large demographic dividend and its young population has contributed to the growth of this sector.
2. The service sector was mostly hit by the pandemic, but it is showing recovery with the growth rate about 8%. With the removal of restrictions and the lifting of the lockdown, the service sector has come back to its pre-pandemic level.
3. India's service sector not only contributes to just formal sector employment, but it also supports the mass informal sector. Hospitality, hotels, and tourism are some of the sectors that share a major chunk of the informal economy that the service sector is supporting.
4. The service sector is the key for exports in the country. India's exports, namely IT-related services, host the majority of call centers and BPOs, and it is also a renowned exporter of medical tourism.

Although the service sector in India has gained momentum post-pandemic and it is yet to attain a robust level of growth, this sector has shown resilience amidst the adversity. The major factors responsible for the resilience and significance of these sectors on the pathway to India are as follows:

1. **Information and technology-related services** continue to be a key driver of employment in India. India's cheap, efficient, talented labor pool helps in this endeavor. India provides consulting services and technical support to the global giants.
2. **Healthcare and medical services**: The government has taken some bold steps in this sector with initiatives like PMJAY, digitization of health records, and the infrastructure and services in this health sector have evolved significantly.
3. **Tourism and hospitality services**—The government has boosted infrastructure development, including roads, rail, and airports, to enhance and facilitate tourism experiences in India. Schemes like PRASAD, ADOPT a HERITAGE, INCREDIBLE INDIA The sector is showing resilience in the face of adversity. It has recovered well after the lockdown. With the increase in tourism, hospitality services have experienced a significant push.

The resilience of the service sector will play a crucial role in India's dream of Viksit Bharat by 2047. The sector is a major employer of India's demographic dividend. Addressing the need of this sector, such as effective capex expenditure in creating infrastructure to support the services sector and skilling human resources to make them demand ready. As this is the sector that employs a lot of human resources and requires skills. The government is targeting many schemes, but more effective implementation is needed. The service sector holds the potential of unlimited growth as India's manufacturing is a bit skewed. Thus, it is an important sector in realizing the dream of Viksit Bharat.

Q31. Briefly explain the concept of "informalization" in the Indian service sector and its implications for economic growth, tax revenue, and social security. What steps can be taken to formalize this sector effectively? (600 words)

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Ans 1. Informalization is a process of including the sectors that are outside the registered domain of the country by providing them with economic services. It is the increasing of reliance on the unorganized sector. It includes street vendors, gig workers, small shopkeepers, etc. Indian sector is heavily relied on the informal sector, as according to the recent data, 85% of India's workforce is employed in the informal sector. It has major implications to India's various sectors like economic growth, tax revenue, and social security.

IMPLICATION OF INFORMAL SECTOR ON ECONOMIC GROWTH

1. **Lower Productivity**- Though the informal sector contributes to more than 50% of India's GDP, but still because of its unregulated nature, it hampers productivity growth. Most of the workers are not able to use their creativity and innovation skills to the fullest because of the lack of resources provided and the technology used.
2. **Inefficient Service Delivery**- Since the informal sector has a lack of funds, that hinders the economic output. Because of the inefficient monetary value provided, they are unable to deliver their services.

IMPLICATION OF INFORMAL SECTOR ON TAX REVENUE

1. **Tax Evasion**- According to the latest reports, out of 5.6 crore enterprises, only 1.8 crore have filed for tax returns. This leads to less money available to the government for infrastructure development.
2. **Fiscal Constraints**- Tax to GDP ratio being low than the targeted makes it tough for the government to allocate funds for welfare schemes.

IMPLICATION OF INFORMAL SECTOR ON SOCIAL SECURITY-

1. **Lack of Social Benefits-** Informal workers lack social benefits like Health security, pension, etc. Data from e-shram portal reveals that only 6% of the informal workers are provided with health insurance, that too minimal.
2. **Lower Wages**- Recent data highlights that more than 96% of the registered employees on e-shram portal earn less than Rs. 10000, with no social security. The worsening situation is, that women are disproportionately discriminated against, as they earn only 31% of what men do for the same job.
3. **Widens Inequality Gap**- Either it is inequality among social groups or it is on gender terms, the informal sector perpetuates the inequality gap.

MEASURES TO FORMALISE INFORMAL SECTOR

1. **Targeted Government Initiatives**- The government can come up with certain schemes that can specifically focus on formalizing the informal sector. The schemes can focus on formalizing by making clear contracts and providing standardized regulations to them.
2. **Easy access to credit**- To make formalization more attractive to the informal sector, various offers can be made. For example, On registering as a formal sector, they can be given certain tax exemptions, and easy availability to credit at affordable rates.
3. **Expand Social Security**- The government can come up with initiatives like Pradhan Mantri Shram Yogi Maan Dhan Yojana, and Aatmanirbhar Bharat Rozgar Yojana, which can give them access to health benefits, pensions, paid leaves, etc.
4. **Providing Job Security and Higher Wages**- There can be measures to provide job security and higher wages to the informal workers, this can make them more confident and efficient in their jobs.

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5. **Easier Registration Process**- Workers from the informal sector find it quite tiring and cumbersome to register to these portals. So the time must be reduced from weeks to days and the process must be made easy on portals like e-shram, Unified GST Portal, etc.

Indian Informal Service Sector, since has a major contribution to the GDP growth, needs to be harnessed a little by the government's targeted steps to formalize the sector. By doing this India's majority workforce can not just significantly contribute to economic growth and tax revenue, but also enjoy social security.

Ans 2. The term informalization involves the phenomenon where the workers and businesses operate without legal contracts, compliance with labor laws and tax regulations, and they work without social security benefits. These workers are involved in low-wage, casual, or contractual work; they often lack steady income, job security, and access to social security benefits such as healthcare, insurance, pensions, and paid leaves. The examples of such works are gig workers working for online platforms and helpers in shops and hotels. These workers are not registered anywhere and are at the mercy of the employer/owner/contractor hiring them.

The following are the impacts of informalization for economic growth, tax revenue, and social security:

1. **Economic growth**—Here the economic growth is limited. The workers are generally unskilled, illiterate, untrained, and not efficient enough to utilize even modern technology, and hence it stifles innovation in this sector. Without social sector benefits, the person's growth aspirations are stalled. This is the main hurdle in India's economic growth. As this labor receives below-par wages, it affects their consumption power. In turn, affecting growth.
2. **Tax Revenue**—Most of the informal activities are out of government control; thus, there is more scope to hide income and expenses and prevent tax payments. People with no income security will also try to avoid tax payments or can find the tax-filing process complicated due to less awareness. This will increase the tax evasion in the economy.
3. **Social Security**: Informal workers are not provided any social security benefits, viz., pensions, insurance, provident funds, etc. They are most vulnerable to exploitation as they don't have any written contract or any rights. They also lack labor rights like paid leaves and safe working conditions. This creates financial insecurity and social inequality.

It is very much needed in the hour that the service sector, which is informal in nature, be brought under the ambit of the formal sector. The following steps can be taken to formalize the sector effectively.

1. **Regulation for the contractual and gig workers**—A regulatory framework can be established to cover the workers that work on a contract basis with the service organizations. This may include converging the wages and the labor acts in the contract for mandatory compliance leading to improved regulatory measures.
2. **Awareness Campaigns**: People can be made aware of the benefits of working with a formal sector viz. job security, better wages, and social security.
3. **Skilling programs**—The majority of the workforce prefers to do the low-level skill work as they are not educated enough to use their cognitive capabilities in their daily jobs. They find opportunities for their skills more in the informal sector. So, mass skilling programs should be conducted to make more people work in the formal sector.

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4. **Use of technology for monitoring the progress**—Digital technologies can go a long way in monitoring the progress and enforcing the laws using data analytics and artificial intelligence. These can further be utilized to provide access to social security benefits and hence make the formal sector more attractive.

Informalization in the Indian services sector has multiple implications for economic growth, tax revenue, and social security. But India's informal sector holds a huge share of India's workforce. Almost 85% of the workforce is employed by this sector. The government has started the initiative of registering workers on the e-Shram portal; this will ensure better social security benefits for those workers. But for India to realize its full potential, it's important to strengthen the regulatory framework and provide better conditions to its largest workforce. This will definitely help India to march towards its Viksit Bharat dream of 2047.

Q32. What are the key challenges faced by SMEs in the service sector particularly in rural India, and how do these challenges impact their role in employment generation, women empowerment and regional development?" (600 words)

Ans 1. Small and Medium Enterprises (SMEs) are a major part of service sector and play a crucial role in India's economic growth especially in rural areas. They contribute to employment generation, women empowerment and regional development. However, SMEs face a lot of challenges which hinder their potential to bridge that gap. Some of the key challenges faced by SMEs in rural India are as follows:

1. **Lack of access to finance and credit**- Due to lack of collateral and credit history and higher risks, lending institutions are reluctant to offer credit to such SMEs. This limits their investment in infrastructure, technology, upscaling their businesses and limits their growth potential.
2. **Limited access to market**- Due to inadequate infrastructure including poor transportation facilities and logistics networks, rural SMEs find it difficult to access local and global markets. This causes restrictions to scale up their operations and enhance their customer base. Rural enterprise don't have access to marketing expertise and digital tools to access larger markets.
3. **Technological barriers**- SMEs still operate with outdated technologies and lack the digital tools to streamline operations, improve productivity or reach a wider customer base. Also digital literacy is limited in rural areas which hinders growth.
4. **Shortage of skilled labour-** A large population of India is still unskilled and lacks the required skills to work in modern businesses. They lack necessary technical skills, digital literacy and professional training which affects their operational efficiency. Migration of younger population to urban areas further increase the skill gap and potential or urban areas to cater to their needs.
5. **Regulatory and Bureaucratic challenges**- SMEs in rural areas face regulatory hurdles and lack the awareness and expertise to access government digital initiatives introduced to simplify these processes. Further bureaucratic red tapism discourages new startups to formalize their businesses and access government schemes.

These challenges have profound impacts on SMEs in terms of:

1. **Employment generation**- A large chunk of rural population is dependent on SMEs of employment. But due to above challenges, there is limited acess to finance, market access and technological barriers which causes roadblocks in expanding businesses and generating employment. Due to this

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younger rural population migrates to urban areas in search of better jobs and cause drain of talents from rural areas. This further limits the economic growth of local economy and increase unemployment.

2. **Women empowerment**- A large percentage of workers working in informal sector comprises of women. Due to lack of formalization, skill development opportunities and absence of childcare facilities, women have to leave their low-paying jobs. Further social norms and gender biases limits their potential to grow. These factors also limits the women from starting their own businesses and generating employment.
3. **Regional development**- SMEs have the potential to drive regional development by the use of localized economic activity by improving infrastructure which can improve the standard of living. But the lack of access to markets and modern technologies makes it difficult for SMEs to compete in market. Lack of infrastructure and skilled workforce further limits the regional economic growth.

Hence it becomes imperative to address these challenges by improving access to finance through microfinance institutions, government schemes and digital lending platforms. Further collaborations with educational institutions can bridge the skill gap. Infrastructure development can boost SMEs access to market and competitiveness. Women targeted policies can increase their potential to contribute significantly in India's GDP. SMEs in the rural service sector can play a pivotal role in employment generation, women's empowerment and regional development if these challenges were tackled effectively and SMEs were provided adequate opportunity to grow and increasingly become formalised in the process.

Ans 2. Small and Medium Enterprises (SMEs) are the backbone of the Indian economy. In India, small enterprises are the one which has less than ten crores of investment in plant & machinery annually and annual turnover of less than fifty crores. Similarly, medium enterprises are the one which has less than fifty crores of investment in plant & machinery annually and annual turnover of less than two hundred and fifty crores. They play a crucial role in the economic growth, generate employment, and foster inclusivity in the country.

However, they face a stiff competition from big companies which are equipped with advanced technology and provide goods & services at affordable prices along with better quality. The rural enterprises particularly face this competition and are unable to unleash their full potential. The key challenges faced by SMEs in service sector especially in rural India are as follows-

1. **Limited Access to Finance**- The rural enterprises face a challenge in accessing finance from the financial institution due to lack of collateral and cumbersome loan process. In that case, they borrow from non-institutional lenders like moneylenders who charge exorbitant interest rates. It indirectly increases their cost of production which makes the goods uncompetitive.
2. **Skill gap & productivity**- The rural enterprises are unable to hire skilled force as most of them work in metropolitan cities which fetch them better wages. This hurts their productivity as the worker hired in the rural enterprises possess limited skills.
3. **Market Access**- The rural enterprises have limited market access which is restricted to rural area as their product becomes uncompetitive in urban and foreign destinations due to limited technological access.

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4. **Inadequate Infrastructure**- The supply of uninterrupted power, water, connectivity is a major concern which increases the time for goods to reach their destination. It also increases the cost of goods.
5. **Limited Digital Adoption**- The employees as well as employers have digital divide with respect to their urban counterparts. Also, they are reluctant to use it due to cybersecurity concerns and digital frauds.
6. **Competitiveness Concerns**- The urban enterprises as well as multinational companies have adequate access to finance and are technologically adaptive. This increases their efficiency and outweigh the goods produced by the rural enterprises.

Impact on Employment Generation, Women Empowerment & Regional Development-

- **Employment Generation**- SMEs in the service sector have huge potential in the employment generation as it includes services in education, healthcare, tourism, handicrafts, etc. However, challenges like limited skills, inadequate infrastructure, market access, etc. hinder employment opportunities. Moreover, it ultimately puts pressure on agriculture sector which is already burdened with disguised unemployment.
- **Women Empowerment**- Due to patriarchal society, women do not possess collateral like property against which they can borrow from banks. This stops them from becoming owners of enterprises who are otherwise encouraged through government schemes like Standup India. Also, due to digital divide between male and female, the women are further left behind in contributing to their maximum potential.
- **Regional Development**- The challenges faced by the enterprises of the rural area impact infrastructural growth, economic development and increase migration from rural to urban areas. By addressing these challenges, living standards can be enhanced and local jobs can be created.

The challenges faced by small and medium enterprises in rural India are access to finance, inadequate infrastructure, limited digital adoption, etc. which directly impact employment generation, women empowerment and regional development. The government has taken various initiatives like PM Kaushal Vikas Yojana, Startup India, etc. which had limited success so far. The higher budget allocation, focus on improving infrastructure and policy reforms will help in making the rural enterprises competitive.

Q33. Evaluate India's recent stance on global trade agreements, such as the RCEP & TEPA. How does this position reflect India's approach to globalization and de-globalization trends in the current international trade environment (600 words)

Ans 1. India’s stance on global trade agreements has been evolved since 1991 to present times. The shift from passive globalization to strategic engagement reflects that India keeps its long term economic & security interests and values over international pressure, which can also be seen in RCEP & TEPA.

Regional Comprehensive Economic Partnership (RCEP): RCEP is a trade agreement signed in 2020 by ASEAN and five other Asia-Pacific Nations to boost regional trade and economic partnership among themselves. Initially, India was also part of negotiations but it pulled out in 2019 because of following concerns:

a. **Trade deficit**: India has its largest trade deficit with China which was expected to further enlarge with India becoming a member of RCEP where China is present. China could have exploited the India market with this agreement worsening the trade deficit that India faces when both countries trade.

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b. **Agriculture and MSMEs concern**: India expressed concerns over the safeguarding of agriculture and MSME sectors of nation which could not be able to sustain competition from comparatively more developed nations in bloc. In order to safeguard domestic sector - till it is capable to compete - India withdrew from RCEP.
c. **Demand of rule of origin**: India raised a strong demand against the rule of origin of commodities to prevent third parties to sell its product in India routing through some RCEP member nation.

Trade and Economic Partnership Agreement (TEPA): Unlike RCEP, India signed TEPA in 2024 with four EFTA nations – Norway, Iceland, Switzerland and Liechtenstein – to boost trade and economic cooperation between India and EFTA bloc. The rationales behind India entering into this agreement are:

a. **Balanced agreement**: The trade between India and EFTA nations is comparable and similar extent of tariffs was being imposed. TEPA aims to benefit both the parties involved by removing and reducing various tariff and non-tariff restrictions. Besides trade, TEPA also includes provisions of investment, employment creation etc. which is going to benefit all the parties in medium to long term.
b. **Selective globalization**: India's approach to enter into partnership with EFTA nations reflects its interest in cooperation with like-minded economies. India and four European nations share similar values and stance towards prevailing global challenges. Further, whereas RCEP was focussed on boosting trade, TEPA includes transfer of technology which can boost entrepreneurship in India.

The present position of India highlights the following approach to globalization and de-globalization:

a. **Over dependence & unbalanced trade bloc**: India is aiming to reduce over dependence on some trading partners such as China where India faces huge trade deficit. India aspires to trade with nations where a balanced trade can take place. For example, India is seeking opportunities to sign FTAs with UK, Oman and UAE.
b. **Resilient & diversification**: Amid geo-political tensions, diversification of trading partners and commodities is the key for resilience. India has diversified its trading partners by enlarging its supply chains and export destinations. Indo-Pacific Economic Framework and QUAD Supply Chain are such examples.
c. **Emphasis of self-resilience**: While not pulling it out completely from globalisation, India aims to become self-reliant in most of the sectors through steps such as Make in India. This strengthens the India’s position in global market and also boosts its economic activities and employment.

The shift in India's approach to enter into trade agreements with different blocs highlights that it has got priorities cleared. India values partnerships that are not only build for economic gains but also promote mutual trust and ideology of 'Vasudev Kutambkam'. The strategic economic engagement with its partners will certainly play pivotal role in India's aspiration of becoming 'Viksit' by 2047.

Ans 2. India’s recent stance on Global trade agreements shows its commitment towards striking a balance between globalisation and De-globalisation. India has recently signed Trade and Economic Partnership Agreement with 14 countries, major ones being European Free Trade Association (EFTA) nations, and currently ongoing talks are also going on with many more countries, like, Oman, Indonesia etc. Meanwhile, India also refrains from joining some of the global trade agreements, like, Regional

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Comprehensive Economic Partnership (RCEP) with 10 ASEAN and 5 Other nations, in order to protect its domestic industries.

India is willing to sign FTA's and bilateral trade agreements, because-

a. **Trade Expansion**- The TEPA signed with EFTA nations is estimated to contribute around USD 100 billion in coming 15 years, and is expected to generate 1 million direct employment. Thus, the main reason for India's engagement in these agreements is to boost trade and secure tariff reliefs.
b. **Market Access**- Another major reason for engaging in these bilateral trade agreements is to expand the market access for domestic manufactures and maximise ease of doing business. Such FTAs provide domestic entrepreneurs with an opportunity of easy access to global markets and expansion.

But, at the same time we are also witnessing India refraining from joining some multilateral Trade agreements, like, RCEP, the reasons for the same can be-

a. **Protect Domestic Industries**- The main reason for India's withdrawal is to protect domestic industries, from the huge global giants, supplying better quality products at cheaper prices, thus providing impetus to domestic manufacturers. Engaging in RCEP was a threat to India's dairy industry from Australia and India's manufacturers from Chinese MNCs.
b. **Limit Imports**- The main reason for India's leaving RCEP was to limit china's dumping of goods, and to limit India's fiscal deficit due to overly high imports from China. As per government engaging in these RCEP was turning disadvantageous for India, skyrocketing its fiscal deficit.

Thus, it is clear that currently India is trying to secure a balance between Liberalisation and Protectionism policies. India is following similar strategy, with that like, US's "America First" strategy. Trying to safeguard its own interests. India's current approach towards globalisation and de-globalisation is-

1. **Securing a Balance**- India currently is trying to balance its globalisation and de-globalisation strategy, aiming at expanding its trade ties, but not at the cost of roof-touching fiscal deficit, in terms of heightened imports.
2. **Strengthening Regional Groupings**- India is moving towards bilateral- FTAs instead of monopolistic Multilateral trade agreements, and is working towards strengthening its political ties and global trade relations. India's engagements with gulf nations, participation in middle east Economic Corridor, are example of the same, moving towards strengthening its own ties instead of relying on global giants.
3. **Self-Reliance**- In this global unstable and undependable environment, India is channelizing its energy towards being self-reliant and boosting trade. The government has taken several initiatives like, Make In India, PLI Scheme etc for this and is working towards taking the advantage of the Global trade strategies, like, 'China plus one".
4. **Sustainable Development**- India's current outlook towards globalisation is a reflection of its commitment towards sustainable development, aiming towards fulfilling the needs of its future generations, by limiting the negative impacts of globalisation.

Thus, India is working towards mitigating the ill-effects of globalisation in this uncertain environment, reflecting an cautious and controlled attempt towards globalisation. This dual approach is on the same lines with global giants, like, "America First", giving much needed flexibility and autonomy to India in its supply chains. Such controlled globalisation is essential for serving India's economic interests and moving towards self-sufficiency and sustainable development path.

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Q34. What were the major objectives of the LPG reforms in India? Discuss the significance of liberalization, privatization, and globalization in transforming the Indian economy. (600 words)

Ans 1. The Liberalization, Privatization and Globalization (LPG) reforms of 1991 played pivotal role in transforming Indian economy from state-controlled economy to market oriented one. The reforms were primarily response to severe balance of payment crisis faced by Indian economy.

The primary objectives to bring LPG reforms are discussed below:

a. **Balance of payment crisis**: India faced a Balance of Payment (BoP) crisis where its foreign exchange reserves reduced to worth less than fortnightly imports. To take India out of this crisis, economic reforms were advised by IMF.
b. **Boost GDP**: India was facing with a slow and stagnant economic growth rate, often referred as Hindu growth (Around 4%). The reforms were needed to break this cycle of slow growth rate.
c. **Attract foreign investment**: Investment in India was limited due to restricted or no foreign investment which hampered the overall development prospects of nation.
d. **Reduce government control**: Government was controlling almost all the components of economy such as banking, manufacturing and trade etc.
e. **Fiscal consolidation:** In order to reduce the fast-growing fiscal deficit, there was a need to rationalize the government expenditure in subsidies & grants and boost its revenue.
f. **Increasing efficiency and productivity**: Indian manufacturing and territory sector was facing poor efficiency and low productivity in operations. Major PSUs were running in loss and were burden for exchequer.

Significance of liberalization, privatization, and globalization in transforming the Indian economy:

Liberalisation:

a. **Dismantle license raj**: The reforms removed the requirement for multiple restrictions earlier imposed such as large number of approval and clearances from government bodies to allow trade and establish industries in different sectors.
b. **FDI and foreign trade expanded**: Liberalising the FDI norms in multiple sectors such as insurance, telecom and banking opened channel for foreign capital and expertise in India. This also boosted the trade with partner nations.
c. **Financial sector reforms**: Private banks were allowed to establish and foreign banks also joined the Indian market. These reforms improved the resilience and competitiveness in Indian financial system.

Privatization:

a. **Strategic disinvestment**: Many of the PSUs were posting losses for years and were huge burden on exchequer. The reforms allowed disinvestment from these entities which generated revenue to government and improved efficiency of such entities.
b. **Entry of private players**: Private players were allowed entry in field which were earlier restricted. This boosted the entrepreneurship, employment and economic activities in nation.

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c. **Efficiency enhancement**: Bringing in private players and disinvestment resulted in high productivity in major industries. IT sector, Telecom sector, tourism sector and banking sector etc. experienced enhanced efficiency as a result of reforms.

Globalization:

a. **Boosted exports and imports**: India's engagement with global players boosted its exports and imports. India continued to export its surplus production which further enhanced manufacturing. India also gained access to foreign technology, equipment and goods through imports. Trade of services also experienced an exponential growth earning India a significant foreign exchange reserves.
b. **Growth of India Inc**.: Indian MNCs such as Wipro, TCS and Infosys etc. expanded their operations globally and made a global presence.
c. **Boom in forex reserves**: During 1991, India's forex reserve was around $1 bn. which presently stands at around $630 bn. - equivalent to more than 10 months of import bill. This large foreign exchange reserve provides a cushion to India against geopolitical uncertainties, trade wars and pandemics etc.

The reforms of 1991 played substantial strides in transforming the Indian economy from a slow and state controlled economy to fastest growing major economy. Even the current economic policies and reforms are formulated by keeping the spirit of LPG alive. Overall, these reforms allowed India to identify the real economic challenges by formulating inclusive-cum-targeted policies to pave the way for development.

Ans 2. The LPG Reforms in India were introduced as a part of New Economic Policy, 1991,by PV Narasimha Rao and Dr. Manmohan Singh. They were introduced as a prerequisite condition imposed by IMF for lifting India out of financial crisis. During 1991, India was witnessing severe economic crisis, due to its heightened BOP difficulties, internal paramounting inflation and war between gulf countries. At that time India was lefit with less then 1 billion of foreign reserves, to sustain just 3 weeks of its imports. Then, India came up with the strategy of Liberalisation, Privatisation and Globalisation(LPG) to transform India's economic position. The main objectives of LPG reforms are-

1. **Resolve BOP difficulties and secure Foreign Reserves**- LPG reforms were aimed at minimising restrictive trade conditions, promoting FDI and global ties to revive India's BOP position and secure much needed foreign exchange.
2. **Facilitate International trade**- Another objective of LPG policy was to liberalise india's political interference through elimination and minimisation of licensing requirements and regulations and opening up global markets and investors for Indian traders.
3. **Boost Economic Growth**- Pre-1991 reforms, inflation level in the country was around 17% curbed with large-scale poverty and unemployment and income disparities. The aim of LPG was to promote inclusive development and to raise the income levels of the nationals through providing employment opportunities and boosting economic growth.
4. **Economic Transformation**- One of the major objective of LPG reforms was to streamline the process of economic transformation from a protected nation relying on centralised planning to a market oriented economy, expanding its growth momentum.

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The LPG policy of the Government is one of the most successful initiatives of Government, lifting India out of protectionism trap towards being the 5th largest democracy of the world. Its significance can be explained as-

Liberalisation

a. **Boosting Domestic Growth**- LPG reforms provided a new spark to India's growth journey, raising India's growth rate from 3.5 % during 1980's to around 6.5% in 2000s. Liberalising India's markets has been quite beneficial raising production, output and income levels of residents.
b. **Attracting FDI-** LPG reforms have been instrumental towards attracting Foreign investors, through minimising trade barriers, removing licensing requirements and providing an conducive environment. India's FDI raised from around $97 million in 1990 to above $700 billion currently.

Privatisation

a. **Revival of sick PSUs**- Privatisation aided India in reviving its sick PSU units, through transferring their ownership to Private hands, and freeing them from corruption and red-tapism.
b. **Streamlining Work Environment-** Another advantage of the privatisation was that it streamlined work-environment and culture of entire nation, by providing a healthy competition to public sector and enforcing their accountability.

Globalisation

a. **Expansion of Trade ties**- The most important significance of globalisation was expansion of trade relations with outside world from being an overly protected economy earlier. Also expansion of domestic trade due to private sector explosion played a major role in expanding trade and income.
b. **Technology Inflow**- Globalisation led to advent of modern and updated technology and facilities in India. The digital revolution, service sector boom, spatial innovations are all result of India's globalisation strategy.

Thus, LPG reforms acted as a catalyst for Indian Economy, lifting it out of dreadful economic situation to a progressive nation striving for continuous growth and development. By addressing BOP difficulties, fostering industrial growth to ensure short-term stability to opening global routes for foreign investments and technology inflow supporting long-term growth aspirations of India, these reforms have played a transformative role towards its journey towards ensuring sustained economic growth.

Q35. Discuss the evolution of de-globalization, tariff wars, and the formation of regional groupings in the global economy. Analyze their potential impact on India's economic growth and development (600 words)

Ans 1. Since the Global Financial Crisis (GFC), global economics is experiencing a turn-around in pace and approach of globalisation. The engagement among nations is not limited to exports and imports but involves long-term strategic vision. The global economy has never been this complicated due to geopolitical uncertainties, trade wars and pandemic. All these factors have contributed towards evolution of de-globalization, tariff wars and the formation of regional grouping, which are discussed further.

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1. **De-globalization**: Countries are evolving their supply chains, restricting trade from selected trading partners and building self-resilience against any economic shock by limiting their interaction with rest of the world. De-globalisation is not reverse of globalization rather it is strategic engagement driven by economic and geopolitical factors such as:
    a. **Over-dependence**: Developing countries such as India have become over-dependent on countries such as China for its imports & investments resulting a huge trade deficit. To address this issue, countries are strengthening economic ties with other like-minded nations by entering into Free-Trade agreements, Economic Partnership agreements and Bilateral Investment Treaties (BIT) etc.
    b. **Geo-political tensions & pandemic**: Geo-political tensions such as invasion of Ukraine by Russia has cut-off the Russian market with western world. Also, COVID-19 disrupted many crucial supply chains and forced nations to develop their strategic reserves before exporting their produces.
2. **Trade war**: The trade war starts when two or nations starts imposing tariff or non-tariff barriers on each other. Some of example can be trade war between USA and China and recent case of USA imposing tariff on imports from Mexico, China and Canada. These barriers increase the import cost and boost demand for domestic products. Trade wars can adversely affect the production capacity and economic growth in exports dependent nations such as Canada.
3. **Formation of regional grouping**: Like-minded nations or neighbour countries have started to form trade bloc to facilitate smooth trade-flows, investment and strengthening supply chains. Some of such groups are African Continent Free Trade Agreement (AfCFTA), Regional Comprehensive Economic Partnership (RCEP) and Indo-Pacific Economic Framework (IPEF). These trade blocs are formed on basis of geopolitical or economic interests and aims to provide easy access to partners' markets.

The evolution of new geo-economic picture encompassing around de-globalization, trade wars and formations of regional groups can have both positive and negative impacts of India's economic growth and development.

1. Positive impacts:

a. Trade war among other nations provides opportunities to attract FDI in India and boosting its exports to tariff imposing countries such as USA.
b. De-globalization strengthen the self-resilience of domestic sectors by initiatives such as Make in India and Start Up India.
c. Diversification: Trade blocs formations and global uncertainties has resulted in India exploring more trading partners across the global to strengthen its supply chain.

2. Negative impacts:

a. Entering into regional groups pose threats to domestic sectors particularly agriculture and MSMEs as they have to face competition from foreign players.
b. Trade barriers reduce the overall export potential of India and restricts access of lucrative markets of trade blocs such as RCEP - where India is not a member.
c. Imposing tariff by major economies such as USA make investment there lucrative resulting re-patriation of investment from other nations. Such measures reduce the investment potential in developing nation such as India which impacts the valuation of Rupee.

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Globalisation has been evolving with trade wars and formation of trade blocs - resulting in more strategic engagements among trading and investing partners. Countries are more careful while formulating their foreign trade policies and choosing their supply chains. Navigating the path of evolving geo-economic landscape amid global uncertainties can take India towards its aspirations of becoming a developed nation by 2047. A proactive mind-set and building trustful relations with partners sharing similar values are necessitated.

Ans 2. In recent years, global trades have observed a recent transformation from a global hypermarket to a confined, fragmented, regional economy. Many nations witnessed de-globalization, tariff wars, and regional groupings focusing protectionism towards their respective countries. De-globalization is the retreat of trade economic activities from the integrated world, whereas Tariff wars is the imposition of trade barriers on the trade activities to protect the domestic players. The two (de-globalization and tariff wars) lead to the formation of regional groupings. They have evolved over the period of time.

EVOLUTION OF DE-GLOBALIZATION

1. **Post World War II era (1944-1980**)- The era known as 'Rapid Globalization', has come up with certain institutions under 'The Bretton Woods System' (1944) like GATT (later known as WTO), IMF, World Bank, that promoted global trade liberation and enhanced integration of global world.
2. **Rise of Globalisation (1980- 2008**)- Many MNCs come into the picture, that liberalized the trade. Adding, integration of China with the global world in 2001 boosted globalisation.
3. **Post GFC (2008-2016**)- Post Global Financial Crisis in 2008, nations were skeptical about the markets. They then started promoting nationalism.
4. **Promoting nationalism (2016-till date**)- Events like backlash from political parties, as seen in Brexit, US-China trade war, COVID-19, accelerated de-globalization.

EVOLUTION OF TARIFF WARS

1. **US-China Trade War**- In 2018, the US imposed tariffs on Chinese goods worth $550. China retaliated to it on its own terms.
2. **Carbon tax-** European Union's Carbon Border Adjustment Mechanism imposed carbon tax on imports from high carbon industries like steel, cement, etc
3. **India's Protection measures**- To safeguard domestic producers and promote Aatmanirbhar Bharat, India imposed taxes of 60%-100% on automobile sector, 20% on mobile phones, and 10% on semiconductors. It even barred Indian producers from exporting wheat and sugar to ensure food security in India.

EVOLUTION OF REGIONAL GROUPINGS

1. **RCEP (Regional Comprehensive Economic Partnership**)- It is led by China, and comprises 15 nations of Asia-Pacific bloc, contributing 30% of global GDP. It aims to reduce trade barriers among the partner countries. (India opted out in 2019, to protect domestic producers from cheap price imports from China).
2. **ASEAN (Association of South-east Asian Nations**)- It promotes to free trade and accelerate economic growth among the 10 member countries.

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3. **TEPA (Trade and Economic Partnership Agreement**)- A free trade agreement between India and European Free Trade Agreement (EFTA) to reduce the tariffs to an average of 22% to 0% on the items like watches, chocolates, etc. It aims to invest $100 billion in India by 2035 in a phased manner.

IMPACT ON INDIA

The Indian Economy was no exception to this impact. De-globalization, Tariff Wars, and Regional Grouping had their own impacts on the Indian economy as well. It came up with some opportunities and risks.

1. **Opportunities**
    a. **Boost Domestic Manufacturing** - Schemes like PLI in 14 different sectors, like electronics, toys, etc boosted domestic produce.
    b. **Attract FDI**- Foreign Direct Investment inflow crossed $1.3 trillion by 2023.
    c. **Trade Diversification**- Joining hands with various regional groups upthrusted Indian exports amounting more than $750 billion with various countries at concessional tariff rates.
2. **Adversity**
    a. **Hamper Imports**- Restricted trade towards some economies like Iran, Iraq, has disrupted the global chains
    b. **Affected Long-term investments**- Despite India having a confident future, investors fear to invest in India, because of depreciating INR, strong greenback, etc.

Albeit, India is strategically on the move towards its target of Viksit Bharat by 2047, still it has to encounter many challenges such as higher tariff rates, investments in renewable energy, and more. This tightrope walk may create uncertainty among local businesses. This can be decisively handled by focusing on Aatmanirbhar Bharat, aligned with burgeoning investments, and maintaining domestic producers' trust.

Q36. Enumerate the key features of Foreign Trade Policy 2023 (FTP 2023). Critically analyze the potential of FTP 2023 in boosting India's export competitiveness and making the country a key player in the global trade landscape. Courtesy (800 words)

Ans 1. FTP 2023, abbreviated as Foreign Trade Policy 2023, was passed by the Indian Government on 31 March 2023. It aims to boost expost in key emerging areas like pharmaceuticals, e-commerce, and high tech manufacturing. It has a target to increase India's exports to over $2 trillion by 2030. It has not just boosted Indian exports, but also provided buoyancy to domestic produce. Certain characteristics of FTP 2023 are there.

FEATURES OF FTP 2023-

1. **Reduced Transaction Cost-** Almost 50% to 60% MSME exporters have been benefited as the application cost under EPCG (Export Promotion Capital Goods) scheme has been reduced from ₹1000 to ₹100. Under Advance Authorization, exporters have been significantly benefited, as the transaction cost was reduced.
2. **Promotion of e-commerce**- To make the international market accessible to Indian producers, the policy has increased the consignment wise cap on e- commerce export from ₹5 lakh to ₹10 lakh.
3. **Internationalization of Indian Rupee**- International trade is facilitated with the help of Vostro accounts. FTP has promoted domestic currency in the global trade. RBI has allowed Indian exporters

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and importers to trade in local currency. This reduces the dependency on foreign currency, further mitigating currency risk for businesses. Highlighting the fact, FTP encourages issuance of rupee denominated bonds like 'Masala Bonds'

4. **Dynamic in nature**- Unlike, other policies FTP is more prone to the dynamic changes, and can easily be modified according to modern day requirement.
5. **Align with 'Aatmanirbhar Bharat'**- It aims to align with the goal of Aatmanirbhar Bharat. India has started to believe in self-reliance and FTP is a major contribution to it. FTP aims to integrate Indian market with the global economy, for that India must balance between self-dependency and strategic export.
6. **Ease of Doing business** - According to the World Bank report, India's rank in ease of doing business stands at 63 out of 190 countries. FTP has predominantly eased the documentation and registration processes for businesses specially for MSMEs (Micro Small, and Medium Enterprises).
7. **Ties with Global Leaders**- To enhance economic cooperations, FTP helps in building bilateral trade relations with trade partners like UAE, Saudi Arabia, Nigeria, and Russia.
8. **Towns of Export Excellence**- These towns get privilege to access export funds under Market Access Initiative and Common Service Provider. Until a few time in the past, there were a total of 39 TEEs, but recently 4 more TEEs, namely Moradabad, Varanasi, Faridabad, and Mirzapur are added.

FTP 2023 has shouldered the responsibility of boosting trade with the Ministry of Commerce and Industries. It has burgeoned India's export keeping technology as prime objective, which promoted district level exports. FTP has not only enhanced the global competitiveness of India's exports, but also made it a global leader in global supply chain.

INDIA: A GLOBAL EXPORT COMPETITOR

1. **Focus on e-commerce**- Observing the fact that e-commerce has potential to grow, FTP has majorly focused on it, by extending the export benefits to e-commerce platforms. It has projected for e-commerce to grow significantly to $200-$300 billion by 2030.
2. **District as Export Hub Initiative**- 'District as Export Hub Initiative' is an initiative under the policy that has employed craftsmen, traders, manufacturers, from local districts to export potential product of their district. It primarily focuses on developing districts.
3. **Streamline automation procedures**- FTP has streamlined the automation procedures, by making every process digitally available with fast registration time. It even reduced the cost of registeration. This move has motivated many MSME players to come in the picture.

GLOBAL TRADE LANDSCAPE LEADER: INDIA

1. **Digital exporter**- In 2023, India was the fourth largest exporter of digital services, valueing $257 billion. This was an increase of 17% from the previous year. This surge marks the India's potential to flourish in the sector.
2. **Diversified export portfolio** - India has made large strides in various sectors. Like India's petroleum oils exports reached more than $90 billion in 2024 from $60 billion in 2014, makin it the second largest exporter in the field. Also, it is the third largest exporter in agrochemicals, reaching $4 billion.
3. **Attracting Foreign Investments** - Many investors are positive about investing in India, seeing its potential. Example, Amazon invested in India, projecting its sale through its platform to $5 billion in 2025 from $3 billion in 2023.

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Though, FTP lays a solid foundation on India's export, but there have been persisting challenges like incompetency in infrastructure and logistics, lack of funds, unforeseen challenges, dynamic nature of the global trade, and global uncertainities like wars. They need to be decisively handled with strategically managing funds, and coming up with attractive schemes. Its success will hinge on continuous engagement of Indian traders.

Ans 2. Foreign trade is one of the key pillars of economic growth. To strengthen and institutionalize this element Government enumerated the FTP [Foreign Trade Policy] 2023. It is an essential set of rules on how India should conduct business with the rest of the world. The policy is based on the principles of trust and partnership with exporters with an aim to facilitate ease of doing business. It is a reflection of the pro-active stance taken by India to grab chances and meet ends in this fast-changing world.

The FTP is essentially based on Four Pillars:

1. Incentive to Remission,
2. Export promotion through collaboration - Exporters, States, Districts, Indian Missions,
3. Ease of doing business, reduction in transaction cost and e-initiatives, and
4. Emerging Areas – E-Commerce Developing Districts as Export Hubs and streamlining Special Chemicals, Organisms, Materials, Equipment, and Technologies (SCOMET) policy.

The key features of FTP are as follows:

1. Aims to significantly increase India's goods and services exports to $2 trillion by 2030 by boosting infrastructure
2. Promoting ease of doing business through digitalization leading to reduced costs and enhanced operational efficiency.
3. Simplifying policies for knowledge transfer and exchange of cutting-edge technology from digitally empowered/enabled economies.
4. Enabling international trade settlement in Indian Rupee reducing over-dependence and hegemonic position of US dollar.
5. Special advance authorization schemes for specific sectors like apparel boosting rural economy and reducing income inequality.
6. A focus on developing export hubs at the district level – strengthening the “Vocal for Local” movement.

FTP has the potential to transform India into a manufacturing hub and has immense potential to boost India’s export competitiveness. This would allow our country to hold a significant position in world economy and become a key player in the global trade landscape.

Benefits of FTP 2023:

1. **Economic Integration:** FTP aims to exploit the rising interconnectedness amongst economies through mutual agreements. It aims to integrate India with the world markets in a smooth manner thus boosting its image as a trustworthy economic partner.
2. **Ease of Doing Business** [EoDB]: FTP aims to shift from “culture of incentives” to boost domestic manufacturing in line with the principles of 'Atma Nirbhar Bharat' and 'Local goes Global.' The policy

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prioritizes simplifying export procedures through digitalization, reducing transaction costs, and implementing a one-time amnesty scheme for exporters to clear pending authorizations, making it easier for businesses to engage in international trade.

3. **Centre-state collaboration**: FTP aims to support local businesses and encourages partnerships with state governments to promote exports at the grassroots level. The policy thus helps to identify export potential and develop focused export strategies, fostering regional development.
4. **Sectoral Diversification**: The FTP aims to encourage exports across various sectors like agriculture, manufacturing, IT, and services by identifying and supporting emerging sectors like dual-use high-end technology under SCOMET.
5. **Strengthening e-commerce ecosystem**: The policy actively promotes e-commerce exports by establishing dedicated e-commerce hubs and facilitating access for MSMEs in remote areas through initiatives like "Dak Ghar Niryat Kendras", opening up new market opportunities.
6. **Export incentives**: The policy offers various export incentives like duty refunds and initiatives like the Advance Authorization scheme and EPCG [Export Promotion Capital Goods] scheme to enhance competitiveness of Indian products in international markets.

Key Challenges of FTP 2023:

1. **Regulatory hurdles**: Effective implementation of the policy, including streamlining bureaucratic procedures and ensuring timely delivery of benefits, is crucial for achieving desired results.
2. **Market Access Barriers**: Mitigating rising protectionism, geo-economic fragmentation and irrational imposition of tariffs remains a challenge.
3. **Infrastructural Gaps**: Lack of supply chain infrastructure, particularly in the form of logistics and connectivity can adversely affect export competitiveness and trade relations with foreign countries.
4. **Skill Development**: Up-skilling the workforce is the need of the hour to reap demographic dividend and boost export of services. Challenges like demand supply mismatch and lack of industry relevant skills hinders the effective implementation of FTP.
5. **Geo-economic fragmentation**: With rising frequency of adverse economic events like trade wars and unilateral imposition of tariffs – countries have been forced to adopt policies favouring "protectionism" and "association with regional groupings". This might hamper the smooth implementation of FTP.

Overall FTP 2023 is an ambitious and dynamic document which aims to boost exports, create favourable conditions for trade, and support steady economic growth. While it aims to promote EoDB, enhance collaboration and co-ordination amongst federal units and boost export potential of India it faces significant challenges. However through streamlining the process and building critical infrastructure – India can reach new heights and emerge as a global leader in the export industry.

Q37. Assess the successes and limitations of the 13th Ministerial Conference of the World Trade Organization (WTO). Recommend reform strategies for the WTO to maintain its significance amid changing global dynamics. (600 words)

Ans 1. The 13th Ministerial Conference of the World Trade Organization was held from February 26 to March 2, 2023. The summit took place in Abu Dabhi, with representatives of the WTO members

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participating. The conference has multiple objectives, such as trade-related discussions, formulating policies, and setting the organization's agenda. It is held once every two years.

The 13th WTO Ministerial Conference had mixed outcomes with both successes and limitations. The key outcomes of the same are as follows-

Successes-

1. **Accessions**- Two least-developed countries namely Comoros and Timor-Leste joined the WTO. This made the number of member countries reach 166 which would encompass around 98% of the world trade under the organization.
2. **Renewal of E-commerce moratorium**- The e-commerce moratorium period was renewed by the ministers to support digital trading across the countries. It is extended till MC 14 or March 2026, whichever is earlier.
3. **TRIPS non-violation and situation complaints**- Another key outcome of the conference is the extension of the moratorium on “non-violation” and “situation” complaints under the TRIPS agreement. This is often related to the e-commerce moratorium period.
4. **Domestic regulations of services**- Recognition of the agreement on Domestic Services Regulation aimed at implementing new disciplines for domestic regulation of services and integrating them into the existing framework of WTO was another commercially significant outcome of the conference.

Limitations-

1. **Fisheries Subsidiaries agreement**- Members concluded an agreement on Fisheries Subsidiaries marking significant progress in limiting illegal, unregulated, and unreported fishing (IUU) i.e. the fishing of the overfished stocks. Despite this, it is still subjected to further negotiations on subsidies contributed to overfishing due to nations like China and India demanding flexibility in setting the rules.
2. **Agriculture reforms**- The members did not reach any final consensus on agricultural negotiations. There existed a failure in key areas related to food security and agriculture subsidies.
3. **Dispute Settlement Mechanism**- The Dispute Settlement Mechanism (DSM) of WTO has been in a crisis for the past few years due to the US blocking the appointments in the Appellate Body. As a result, the WTO’s ability to enforce rules and settle trades has been hindered.

To maintain its significance in the global outlook despite all the changing dynamics of the world, the following reforms and strategies can be adopted by WTO-

1. **Bolstering the Dispute Settlement Mechanism**- Timely and effective settlement of disputes must be prioritized by the WTO, for which it should make efforts to restore the Appellate Body for dispute settlement. Efforts should be taken to resolve the issue of blocking new appointments for the same.
2. **Updating the trade rules**- The trade rules should be updated and address the new dimensions of trade like environmental sustainability, e-commerce, digital trading practices, etc.
3. **Plurilateral Cooperation**- The WTO should make efforts to enhance plurilateral cooperations and agreements among the members. This can significantly contribute to facilitating progress on several major issues, mitigating trade disputes, and allowing quick decisions within the framework.
4. **Addressing trade-distortions and trade subsidies**- The WTO should address the trade-distortion practices and subsidies under trade. This would lead to reduced unfair practices of trade and

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enhanced discipline among the members for creating and fostering a fair environment for world trade.

The 13th ministerial conference of the WTO had some significant successes like the accession of two new members, and consensus on many significant agreements. Though it had many significant successful outcomes, the overall outcome of the conference was mixed with some limitations also. To address these limitations and maintain its significance in the global dynamics, the WTO should implement reforms for an enhanced relevance in the global trade.

Q38. "The IMF operates as a steward of global financial stability, while the World Bank functions as an architect of sustainable development." Critically evaluate this statement, highlighting the distinct roles, functions, and approaches of these two institutions in addressing global economic challenges. (600 words)

Ans. The IMF and the World Bank, also known as the Bretton Wood twins, are two sister organizations aimed at promoting global economic stability and development. While the IMF is referred to as the "steward of global financial stability", and the World Bank as the "architect of sustainable development", it highlights the overall functioning of these organizations and how both these organizations have different approaches to the common goal.

IMF as a steward of global financial stability-

The International Monetary Fund (IMF) focuses on macroeconomic stability and crisis management by overseeing the international monetary systems. The IMF has the following roles-

1. **Surveillance**- The IMF monitors the economies across the worlds and keeps a check on them by identifying vulnerabilities in the economies, potential threats and risks so as to intervene timely for preventive policy measures.
2. **Financial aid**- The IMF provides financial assistance to economies of member nations going through crisis like balance of payment or instability of the currency.
3. **Assistance**- The IMF provides strategic guidance and technical assistance to the member nations for capacity development hence to prevent the economies from any vulnerabilities.

World Bank as an architect of sustainable development-

The World Bank is a global partnership of 5 institutions to achieve overall sustainability by reducing poverty and focusing on health and education. The World Bank focuses on long-term economic development through the following functions-

1. **Infrastructural development**- The World Bank provides funding for infrastructural development projects with a focus on building schools, hospitals, energy sustainability. It focuses on economic sustainability by fostering long-term development.
2. **Fighting poverty**- The World Bank aims at eradicating poverty and improving the living standards of people. For this, it supports social programs, invests in human development and reduced income inequalities.

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3. **Specialized expertise**- The World Bank provides guidance and assistance to the members in specialized key sectors like agriculture, governance, education, etc. hence to help the member countries design long term developmental strategies.

Hence, the World Bank and the IMF both have different approaches and functions to achieve the common goal of economic sustainability within the member countries. The contrasting comparison between the two institutions is as follows-

1. **Key focus areas**- The IMF and World Bank have different focus areas. While the former focuses on short-term financial stability by quick intervention, the latter is more focused on long term sustainability and economic development by funding infrastructure projects.
2. **Approach for lending**- The IMF involves in short-term lending for financial assistance in times of crisis. The World Bank, on the other hand, focuses in providing financial assistance in terms of funding long-term infrastructures by low-interest loans and grants.
3. **Intervention**- The IMF aims at macroeconomic stability with interventions in areas like exchange rates, inflation control. It does not intermediate between investors and recipients. The World Bank intervenes in specific sector improvements like poverty alleviation, health and education. It also intermediates between the investors and recipients.
4. **Conditions**- The IMF has strict conditions on policy reforms like fiscal consolidation, currency devaluation, and structural reforms. The conditions under World Bank are related to effective implementation of development projects. It imposes conditions like social sector reforms, governance reforms and sustainability.

The IMF and World Bank are two vital organizations for global economic stability and development. Though they came into existence on the same date, they have different mandates. While one focuses on stability the other focuses on long-term sustainability which makes them different in their functioning and approaches. Both these organizations play a pivotal role in the global economic landscape and in shaping the economy for a sustainable and better future.

Q39. Discuss the concept of demographic dividend and analyze the current trends in India's demographic profile. What government policies have been implemented to harness this dividend, and what challenges persist in realizing its full potential? (600 words)

Ans. India is currently experiencing the demographic dividend with around 65% of its population aged 15-64 years. The demographic dividend refers to the economic potential resulting from shifts in a population's age structure, particularly when the working age population (15-64) surpasses the non-working age population (less than 15 and more than 64). According to a study by United Nations Populations Fund (UNFPA), in India, it shall last longer than other country spanning 5 decades from 2005 to 2055.

Demographic dividend mainly arises from a decline in the total fertility rate and a stabilized increase in life expectancy. Therefore, let us analyse the current trends in India's demographic profile –

1. **High population density**: According to the UN estimates, India's population density is 483 persons per square km in 2023, rising from 382 in 2011. The rapid growth of population has reduced per capita cultivable land.

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2. **Rising life expectancy**: According to UNDP's report, India's life expectancy consistently rose from 59 years in 1991 to 67.7 years in 2022. This can lead to the population aging rapidly along with declining birth rate.
3. **Decline in Fertility rate:** India's total fertility rate (TFR) has declined from 6.18 in the 1950s to 1.9 in 2021. As 2.1 is considered the replacement level, it can lead to aging population.
4. **Changing age composition**: India's total dependency ratio has steadily decreased from 79 in 1971 to 47.5 in 2022. This decline is considered positive for the demographic dividend of the country.

Demographic dividend's potential can be harnessed only when aligned with right government policies, thus in India various initiatives have been taken to utilize our dividend which are as follows –

1. **Skill development initiatives**: Various schemes like Skill India Mission, Pradhan Mantri Kaushal Vikas Yojana, PM Vishwakarma Yojana, etc. are running. In the recent budget, the finance minister has announced establishment of National Centres of Excellence for skilling.
2. **Healthcare**: Ayushman Bharat yojana launched in 2018 provides coverage to 500 million people against diseases boosting the potential for productivity.
3. **Employment generation**: Prime Minister's Employment Generation Programme (PMEGP) helps in creating self-employment opportunities. MGNREGA provides 100 days of guaranteed employment in rural areas.
4. **Education**: The government has launched the National Education Policy, 2020 to boost growth by providing skill-based education.

Despite the various policies and initiatives, there are some bottlenecks in utilizing the full potential of demographic dividend in India such as –

1. **Mismatch of skills**: Though various schemes are running for skill development, the skills possessed by the workers fail to align with the demands of the market. There is a lack of technical skills in the youth.
2. **Low human development parameters**: India ranks 134 out of 193 countries in the UNDP's Human Development Index which indicates a need for significant improvements in health and education.
3. **Regional disparities**: India's federal structure that provides economic independence to states often leads to regional disparities due to lack of ground-level implementation of policies and schemes. This is evident as states like Chhattisgarh, Odisha, Bihar, Jharkhand are very less developed as compared to states like Kerela, Goa and Maharashtra.
4. **Aging population**: India faces the challenge of an aging population due to rise in life expectancy and decline in fertility rates, that may impact the potential of demographic dividend in future.

Nevertheless, India with relatively young population of median age of 28.4 years not only gets a competitive edge in terms of workforce but also an opportunity to unleash the consumption power of a young population. Increased consumption has already surged the nominal GDP growth rate of 10.6% in the past decade. Therefore, India can lead at the global forefront by harnessing the potential of its demographic dividend when complemented by new-age skills and a strong entrepreneurial spirit.

Q40. India is on the right side of the demographic transition that provides a golden opportunity for its rapid socio-economic development if policymakers align the developmental policies with this demographic shift. Elucidate? (400 words)

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Ans. Demographic transition is the process by which fertility rates eventually decline to low and stable levels. India is currently in the third stage of demographic transition, in which it is experiencing demographic dividend, which is an accelerated economic growth that a nation experiences when the working age population grows at a faster pace than the dependent population. Therefore, India is on the right side of the demographic transition that provides a golden opportunity for its socio-economic development if policymakers align the developmental policies with the demographic shift.

In order to capitalise the demographic dividend some of the required developmental policies that can be made are as follows –

1. **Education**- Human resource development has the biggest role in unlocking the potential of demographic dividend. The public expenditure on education needs to be increased and well channelised to ensure quality education. The National Education Policy, 2020 needs to be effectively implemented.
2. **Healthcare**- A productive and healthy workforce can be easily absorbed in the labour market thereby maximising the benefits of demographic dividend. Greater proportion of GDP should be devoted to public expenditure on health. More initiatives like Poshan, Matru Vandana Yojana and others should be launched.
3. **Skill Development**- More initiatives like Startup India, Skill India mission need to be introduced. Advanced training in the field of technology and artificial intelligence should be provided for augmenting knowledge, skills and productivity in the economy.
4. **Employment generation**- The benefits of demographic dividend can only be reaped with ample employment opportunities. The coverage of schemes like PM svaNidhi, PM Gareeb Kalyan Rojgar Abhiyan should be increased.
5. **Reformed outlook towards Informal Sector**- In India, approximately 85% of the workforce is employed in the informal sector. The informal sector should be provided with legal and contractual support along with social security schemes like Jeevan Jyoti Beema Yojana, Suraksha Beema Yojana to harness full potential of the young workforce.
6. **Small Scale Industries**- SSIs have a large share in the manufacturing sector. Their major issue is credit access and upgradation of technology. More government initiatives like MUDRA, Micro and Small enterprises cluster development programme, would enlarge employment generation through MSMEs.

Though, there are certain challenges like gender and regional disparities and lack of infrastructure, the hindrances can be overcome with favourable policies and initiatives along with good governance. The effective execution of right policies for education, healthcare and employment can reduce the gap between our potential demographic dividend and the actual dividend. India needs to grab this golden opportunity to fulfil its dream of Viksit Bharat by 2047.

Q41. In the wake of the Smart Cities Mission nearing completion and the recent launch of the Urban Infrastructure Development Fund (UIDF), critically analyze the role of urbanization in the nation's development. Further highlighting the challenges of equitable access to infrastructure and services in rapidly urbanizing regions. (600 words)

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Ans. Urbanization is the process of people moving from rural areas to urban areas, and the resulting increase in the proportion of people in cities and towns. As countries develop economically, they tend to become more urbanized. Cities often become hubs for economic activity, innovation, and job creation which can lead to economic growth. To support urbanization, government runs various initiatives like the Smart Cities Mission, launched in 2015 which now near to its completion on 31st March, 2025. Another recent initiative is the Urban Infrastructure Development Fund (UIDF) for creating urban infrastructure in Tier 2 and 3 cities through priority sector lending shortfall.

Considering the focus of India towards urbanization, let us analyse the role of urbanisation in the nation's development.

ROLE OF URBANIZATION IN INDIA'S DEVELOPMENT –

1. **Economic growth**- Certain features of urban areas, like high density, good connectivity, and a mix of land uses, can promote economies of scale and make cities more productive. Moreover, they contain large scope for innovation, by providing enough access to technology, capital markets and other networks.
2. **Infrastructural developments**- With increased urbanizations, both physical (roadways, airways connectivity) and digital infrastructure (electricity, internet and broadband coverage) facilities become easily accessible. For example, Smart cities mission has completed 7,380 projects with 100 cities coverage in areas of infrastructure, governance and social development.
3. **Increase in FDI-** When urban areas are well-designed and governed, with adequate infrastructure and services, they can attract businesses and investments, and facilitate the efficient movement of people and goods.
4. **Sustainable development**- Nowadays, developing countries are moving towards sustainable urbanization, developments are made by maintaining environmental concerns. This leads progress in the achievement of sustainable development goals like no poverty, zero hunger, climate action, good health, clean water and sanitation, reduced inequalities, etc.

However, the benefits of urbanization are not automatic, they require proper urban planning, therefore, there are several challenges involved in the of equitable access to infrastructure and services in rapidly urbanizing regions which are as follows –

1. **Informal economy**- The faulty urbanization process in most of the developing countries leads to growth of informal sector in the urban areas as we know that in India, more than 80% of the workforce in employed in the informal sector that lacks social security, infrastructure facilities, access to credit and regulation.
2. **Rural-urban divide**- Improved infrastructure and economic growth in the urban areas often creates inequalities in the country's inclusive socio-economic development by creating a rural-urban divide This increases the rural-urban migration to a great extent leading to overcrowding in metropolitan cities which ultimately causes mismanagement and poverty, unemployment, and growth of slums in the cities.
3. **Lack of infrastructure**- Despite initiatives like Smart Cities Mission and UIDF, infrastructure in the cities is poor in the rapidly urbanizing regions. Urban roads, electricity, water supply, sewage, sanitation and housing are deficient as compared to the rising urban population. This is also affecting the health and education, thereby affecting the poor.

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4. **Lower access to education**- The rising migration to the urban areas has suddenly increased pressure on the government to invest in education. It has created educational inequalities where the impoverished are largely in government schools with poor educational infrastructure and aid facilities while the rich have access to private-public schools with high quality infrastructure and manpower.

Therefore, in essence, the relationship between urbanization and economic development is shaped by a range of factors, including infrastructure, land use, business environment, and institutional strength. Public-private partnerships can also be an effective way for governments to leverage private sector resources and expertise for urban development. When managed well, urbanization can be a powerful driver of socio-economic development of India.

Q42. With the National Migrant Labour Policy and One Nation, One Ration Card (ONORC) initiative, examine the role of migration in India's development. Highlighting key challenges faced by migrants and suggesting policy measures.

Ans. Migration is the movement of people away from their usual place of residence to a new place of residence either across an internation border or within a State. According to the Report of Migration in India, 2020-21, the total migration rate in India was 28.9%. The National Labour Migrant Policy has been released by the NITI Aayog to create a database for migrant workers, including the informal economy to facilitate internal migration, increase minimum wages, etc. Also, One Nation One Ration Card (ONORC) initiative has been implemented in 36 states, that ensures food security for all internal migrants, by providing access to food from any Fair Price Shop in India through one ration card.

Migration in the centre of development of a nation as it equalises regional inequalities, playing a pivotal role in India's development.

ROLE OF MIGRATION IN INDIA'S DEVELOPMENT –

1. **Urbanization**- Rural-Urban migration leads to urbanization through rising population of cities, developing cities as hubs for economic activity, innovation, and job creation which can lead to economic growth and development.
2. **Rise in per-capita income**- When population migrates from rural areas to urban, it reduces the pressure of population on land, per worker output and productivity on land increases and so does per capita income. Thus, family income rises which encourages farmers to adopt better resources of production thereby increasing farm produce.
3. **Remittances to the source region**- The remittances from migrants to their homes can significantly contribute to the economic prosperity of the source regions, especially the rural areas reducing the regional disparities.
4. **Social Change**- Migration fosters the intermingling of different cultures, contributing to the development of a composite culture and broadening social perspectives.

Apart from the development caused through migration, there are various setbacks faced by the migrants in India –

1. **Lack of Social Security**- Migrant workers are mostly employed in the informal sector, that lacks social security benefits like health insurance, maternity leaves, pensions, etc.

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2. **Exploitation and Wage Discrimination**- Migrants face problems like wage discrimination, long working hours as compared to local workers. As per a survey, 64% migrant workers did not receive full wages during the lockdown imposed during COVID19 pandemic.
3. **Gender discrimination**- Female migrants face sexual harassment, low wages and childcare facilities. In 2022, more than 10,000 trafficking cases were report, out of that many were migrant workers.
4. **Lack of coordination between states**- There is a lack of harmonisation between the states that leads to unfair treatment of the migrants. For example, during the lockdown in the pandemic migrant labourers did not receive food and money from the states they were working in, they faced immense atrocities in returning to their states.

In order to address the challenges of migrants, some policy measure that can be adopted for their welfare are as follows –

1. **Formalisation of Employment**- Formal employment contracts should be encouraged to include migrants into organised sectors, to ensure fair wages and legal protection to the migrant workers.
2. **Gender sensitive policies for female migrants**- Policies should be made to address the discriminations and harassments faced by the women in the migrant workforce, including facilities like wage parity, safety measures and creches for childcare.
3. **State collaboration**- State governments should develop policies for inter-state migrant workers. Effective implementation of National Migrant Policy and ONORC can help in integrating welfare schemes across states.

Therefore, necessary policies should be made for the welfare of migrants in India along with infrastructural and healthcare developments. Their welfare is essential for inclusive economic growth and development in India. Initiatives like ONORC and e-Shram portal should be implemented at the ground level. A well-drafted National Migration Policy is crucial to boost the planned migration, leading to urbanisation and economic growth of India.

Q43. The 2024-25 budget emphasizes women-led development, with Gender Budget Statement (GBS) allocations reaching 1% of Gross Domestic Product (GDP) for the first time and pro-women funding exceeding ₹3 lakh crore. Critically analyze the effectiveness of gender budgeting in addressing gender disparities in India. Highlight the key challenges and suggest measures for improvement. (600 words)

Ans. According to European Institute for gender equality, gender budgeting refers to "gender-based assessment of budgets incorporating a gender perspective at all levels of the budgetary process and restructuring revenues and expenditures in order to promote gender equality." It does not require separate budget for women rather addressing women needs through existing budget. In 2024-25 budget, the Gender Budget Statement allocations reached 1% of the GDP for the first time and pro-women funding exceeded Rs3 lakh crore.

Gender budgeting has been able to address the gender disparities in India in the following ways –

1. **Increased Resource Allocation**: There are various schemes to allocate resources specifically to women like PM Awas Yojana that ensures the ownership to houses solely or jointly for women boosting women empowerment. PM Matru Vandana yojana provides financial support of Rs5000 to pregnant women and lactating mothers.

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2. **Boost in financial literacy**: Gender budgeting addresses gender gaps through schemes like Beti Bachao Beti Padhao scheme and other scholarship programmes that increases girls' enrolment in schools and higher education.
3. **Rising financial inclusion**: Various initiatives for financial inclusion like Mudra loans boost women empowerment in India. The Stand-Up India scheme has been providing loans of 10 lakh to 1 crore to women entrepreneurs, based on which another new scheme has been announced in the Budget 2025, in which 5 lakh women will be provided loans up to 2 crores in the next 5 years for entrepreneurship.
4. **Increase in women's workforce participation**: Through programs like Namo Drone Didi and Lakhpati Didi and other skill development initiatives have increased the women workforce participation to a great extent in the rural as well as urban sector.

Despite several initiatives for gender budgeting, its effectiveness in addressing gender disparities is still limited due the following challenges –

- **Complexities in allocation**- The complex methods of allocation of funds to gender-based schemes often leads to over or under reporting of allocation in gender budget statement. Schemes like PM SVANidhi and PM Vishwakarma are not accurately reported.
- **Poor implementation**- Due to weak implementation at the ground level, the required amount sanctioned for those schemes are not fully allocated to women.
- **Impact to limited sectors**- Most of the initiatives and schemes launched under gender budgeting are limited to sectors like housing, nutrition and social welfare. Other key sectors like safety, transportation, menstrual hygiene, clean water and sanitation are neglected.

However, the challenges can be can be overcome through some of the following measures –

- **Inclusion of all the sectors**: Gender budgeting should be included in all the sectors like infrastructure, sanitation and rural development.
- **Strong monitoring of implementation**: Robust monitoring and evaluation mechanisms should be set up to ensure effective implementation of gender-based initiatives.
- **Political Participation**: Women's participation in local panchayats, state as well as central ministries should be increased so that ground level problems of women can be addressed.
- **Transparent and simplified allocation of funds**: The mechanism for the allocation of funds to women-centric schemes should be made transparent and simple to avoid over and under utilisation of funds.

Therefore, the hurdles on the way towards achievement of Sustainable Development Goal 5 of gender equality can be addressed through effective measures for Gender Budgeting. In the Budget 2025-26, the gender budgeting allocations have been increased from 3 lakh crore to 4.49 lakh crore, which is the largest gender budget released ever. Women empowerment can be ensured in all the sectors like health, education, infrastructure, agriculture, so that they can contribute equally in the workforce to ensure the socio-economic development of India.

Q44. As per PLFS 2023-24, India's female Labor Force Participation Rate (LFPR) remains significantly lower than that of males. Analyze the factors behind this gap and discuss its impact on India's development. Suggest ways to enhance women's workforce participation. (600 words)

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Ans. Female Labor Force Participation Rate (LFPR) is the percentage or share of female included in the total workforce of the country. As per the Periodic Labor Force Survey 2023-24 released by the National Sample Survey Office (NSSO), India's female LFPR is 41.7% which is significantly lower than that of male that is 78.8%. Despite the booming era of economic growth and modernisation for India, women still lag much behind men in their participation in India's development.

There are various factors that create this gender gap in India leading to lower participation of women in the workforce which are as follows –

1. **Patriarchal Societal norms**- Indian society is still under the clutches of orthodox patriarchal society norms of binding women in household chores, loaded with the responsibilities of family all alone. This limits the participation of women in workforce to a great extent.
2. **Safety concerns**- Continuously rising cases of sexual violence and harassment against women in public places or even at workplaces prevent women from choosing to contribute to the development of the country. As per the records of the National Crime Bureau, more than 400 cases of harassment at workplaces are reported per year, and most of them are not even recorded.
3. **Discrimination in wages**- In India, women are often paid lower wages as compared to men. According to World Inequality Report released in 2022, women earn only 18% of the wages paid while men earn 82%.
4. **Lack of education and skills**- In most of the rural and lower income families, women school and college dropout rates are high leading to a lack in their education and skills required for most of the jobs available in the formal and corporate sectors. Also, most of the women refrain from working in the informal sectors, due to lack of social security benefits.

This gender gap in India affects India's development at large in the following ways –

1. **Lower economic growth**: Lower participation of women in the labour force leads to reduced productivity and lower Gross Domestic Product (GDP).
2. **Poverty and inequality**: The low female LFPR is the major cause of poverty and rising equalities in India also leading to delays in achieving our Sustainable Development Goals 1,5 and 10.
3. **Reduced innovations**: Low participation of women in the workforce lead to decrease in innovations and advancements as varied and diverse perspectives involved are home to new ideologies for the growth of the country.

However, women's workforce participation can be enhanced through the following measures –

1. **Targeted education and skill developments**- Initiatives must be taken to ensure quality and skill-based education focusing particularly on women. Vocational training programmes can be launched especially for those females who are less educated but are seeking employment.
2. **Policy Reforms**- There is a need for reforms in the policies to ensure parity in wages for women even in the informal sector. 'Equal pay for equal work' should be implemented at the grassroot level.
3. **Safety measures**- Strict punishments should be imposed in any cases of breach of women's safety. Committees and police helplines should be easily accessible for female protection to ensure more and more participation of females in the workforce.
4. **Awareness Campai**gns- Non-governmental organisations (NGOs), social media influencers and even general public should raise awareness campaigns to change the staunch patriarchal customs of the society that restrict women from being self-dependent.

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Therefore, through adoption of the required measures to improve the female workforce participation rate, India can reap the benefits of economic growth, sustainable development and new advancements and innovations. When the two wheels of society, walk together on the path of development, only then India can achieve its aspirations of becoming a developed nation by 2047.

Q45. "Development and welfare schemes for the vulnerable, by their nature, are discriminatory in approach." Critically evaluate while explaining the concept of social justice. (600 words)

Ans. Social justice is a concept which promotes that everyone must have equal rights and opportunities in the country. We have people from different social groups in the society and it is necessary to create a safety net for people who are devoid of various needs. Social justice can be achieved by making adjustment in economic and political rights and breaking some barriers so that everyone can be on the same platform. Beneficiaries must be targeted effectively to bring expected outcomes in the country

The advantages of development and welfare schemes are:

a. **Equality and inclusion**- Women reservation bill and reservation in jobs for SC/ST/OBCs help the minority groups to get relaxation in order to achieve equal status with all others in the society. They can become financially independent and thus equality can be promoted in the economy.
b. **Improve social indicators**- India can reduce its poverty and unemployment rate, which will help to strengthen its position among other nations. This will also increase investment and business activities in the economy.
c. **Less disputes**- The welfare schemes will help in eliminating the discriminatory factors between various social groups. When the living standards of unprivileged people improve, they can ask for rights of people in the minority groups through their participation in decision making activities, without getting dominated by the people of upper class.
d. **Economic growth-** Decrease in social cohesion will help to focus on productive activities in the economy, enhancing the economic growth for the country. This will help India to achieve its goal of Viksit Bharat effectively by 2047.
e. **Address historical injustice-** If we look back into the history, then women, farmers and lower-caste groups were tortured by the upper class people. They had to face violence and unjustified labour works were made to be done by them with no justice ever served. Reservation system somewhat does justice by giving them extra advantages in the country.

The challenges associated with development and welfare schemes are:

a. **Erosion of Merit**- Providing advantages in education and job based on castes can take away the opportunities from meritorious people in the society. This can reverse the whole situation and we can lose talents in the actual work field, consequently leading to an decrease in productivity.
b. **Corruption**- The implementation of the reservation system is not transparent and the creamy layer of the society often take advantages of it to get benefits in an unfair manner. This leads to loss of government resources as well as opportunities of the actual deserving ones in the country.
c. **Social cohesion**- The provision of advantages to some particular social groups often creates the feeling of being neglected in the mind of other social groups. They think that unfair advantages are being

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given and most of the times the people who take benefits are often looked down upon in the society even after getting high profile jobs.

d. **Vote bank politics**- Political groups take advantages of the social divide in the economy, to promote their own agendas and values through them. They often become the targets to collect more votes by luring them with fake promises of developments and incentives.

Thus, it is evident that the path of attaining social justice in the economy is complex and requires proper planning and strategy to make it achievable. The most crucial thing here is that people must be wise enough to take decisions by themselves for the welfare of the economy. The government must increase the capital expenditure to increase developmental activities from where people can earn their own resources to become self-reliant and help in promoting holistic development in the country.

Q46. In the context of recent debates over the Uniform Civil Code (UCC) and its implications, critically analyze the challenges of balancing social justice and multiculturalism in India. Suggest measures to ensure harmony while upholding constitutional values. (600 words)

Ans. Uniform Civil Code is a concept mentioned under Article 44 of Indian Constitution which applies a single set of laws to all citizens of a country in every personal matter to promote equality and secularism. It will prevent discriminatory judgements to be fair and equal to all. By personal matters, it means marriage, adoption, maintenance and others. Uttarakhand has become the first state to implement UCC to prevent discrimination against anyone.

While social justice promotes that everyone must have equal rights and opportunities, the concept of multiculturalism promotes living in a society with cultural diversity. So, the challenges in balancing between these two approaches are:

a. **Caste and Reservation system**- This system aims to provide relaxation to the unprivileged class so that they can achieve equal status with others. But, many other castes feel that they are getting neglected by not being included under any reservation system. The Kukis and Meitis conflict in Manipur was due to this reason, which created a disturbing situation in the state.
b. **Religious pluralism**- Many people feel uneasy to accept each others traditions and religious practices and thus every person is free to follow any religion of his/her choice. Belief of one religion may be legally wrong for another religion, creating conflict between the two parties.
c. **Westernization**- After independence, Indians were fascinated by the western culture and many of their traditions are being followed today. This also creates divide between people who hold British responsible for India's poor situation and hating western culture and people who admire the principles of western culture.
d. **Linguistic Diversity**- Language difference prevents people from communicating and engaging in a better way with others. Tribal people often face difficulties in adjusting in any urban or semi-urban area and are devoid of opportunities prevalent there.
e. **Political influence**- Many political parties use propaganda to create conflicts between various social groups. This helped them in targeting a specific section of people to promote their political party views and gain votes by providing benefits to that particular group only. This leads to neglecting other social groups in the country.

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Measures to ensure harmony holding constitutional values are:

a. **Education and awareness**-Values like secularism, equality and justice must be educated from early age to the school children so that they are wise enough to make right and justified decision against any illegal activity.
b. **Inclusion**-Schemes and initiatives must be implemented to uplift the neglected and marginalized groups of the society so that they can take stand for themselves to mitigate inequality.
c. **Responsible me**dia-The media channels and newspapers must be responsible to educate the right value to the people of our country. They should not fall under the trap of favoritism and show the right and wrong in fair and justified manner.
d. **Community engagement activities**-Community gatherings must be organized by the ruling parties at regular intervals, like cleaning activities or organizing any event. This will help people to engage with each other and understand each other better.
e. **Strict law**- Strict laws must be in place to punish strictly for discriminatory activities against other people. A perception of fear must be present inside to not to repeat any illegal activity against other social groups.

Harmony is very necessary in a country like India with cultural diversity. Disputes should be less and people should focus on productive work to promote development. Uniform Civil Code holds every potential to promote inclusion and achieve holistic development in every nook and corner of the country.

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